



بانك ملت
bank mellat

ANNUAL REPORT
BANK MELLAT TURKEY
2017

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**CONVENIENCE TRANSLATION INTO ENGLISH OF
INDEPENDENT AUDITOR'S REPORT
ON THE BOARD OF MANAGERS' ANNUAL REPORT
ORIGINALLY ISSUED IN TURKISH**

To the Board of Managers of Bank Mellat, Merkezi: Tahran-İran İstanbul Türkiye Merkez, Ankara ve İzmir Şubeleri

1. Opinion

We have audited the annual report of Bank Mellat, Merkezi: Tahran-İran İstanbul Türkiye Merkez, Ankara ve İzmir Şubeleri (the "Branch") 1 January - 31 December 2017 period.

In our opinion, the financial information and the analysis made by the Board of Managers by using the information included in the audited financial statements regarding the Branch's position in the Board of Managers' Annual Report are consistent and presented fairly, in all material respects, with the audited full set unconsolidated financial statements and with the information obtained in the course of independent audit.

2. Basis for Opinion

Our independent audit was conducted in accordance with the Independent Standards on Auditing that are part of the Turkish Standards on Auditing (the "TSA") issued by the Public Oversight Accounting and Auditing Standards Authority ("POA") and the scope of "Regulation on Independent Audit of Banks" published on the Official Gazette No.29314 dated 2 April 2015. Our responsibilities under those standards are further described in the Auditor's Responsibilities in the Audit of Annual Report section of our report. We hereby declare that we are independent of the Branch in accordance with the Ethical Rules for Independent Auditors (the "Ethical Rules") and the ethical requirements regarding independent audit in regulations issued by POA that are relevant to our audit of the financial statements. We have also fulfilled our other ethical responsibilities in accordance with the Ethical Rules and regulations. We believe that the audit evidence we have obtained during the independent audit provides a sufficient and appropriate basis for our opinion.

3. Our Audit Opinion on the Full Set Unconsolidated Financial Statements

We expressed an unqualified opinion in the auditor's report dated 29 March 2018 on the full set unconsolidated financial statements for the 1 January - 31 December 2017 period.

4. Board of Managers' Responsibility for the Annual Report

The Branch management's responsibilities related to the annual report according to Articles 514 of Turkish Commercial Code ("TCC") No. 6102 and "Regulation on Principles and Procedures Regarding Preparation and Promulgation of Annual Reports by Banks" published in Official Gazette No.26333 dated 1 November 2006 are as follows:

- a) to prepare the annual report within the first three months following the balance sheet date and present it to the Board of Managers;

- b) to prepare the annual report to reflect the Branch's operations in that year and the financial position in a true, complete, straightforward, fair and proper manner in all respects. In this report financial position is assessed in accordance with the financial statements. Also in the report, developments and possible risks which the Branch may encounter are clearly indicated. The assessments of the Board of Managers in regards to these matters are also included in the report.
- c) to include the matters below in the annual report:
- events of particular importance that occurred in the Branch after the operating year,
 - the Branch's research and development activities,
 - financial benefits such as salaries, bonuses, premiums and allowances, travel, accommodation and representation expenses, benefits in cash and in kind, insurance and similar guarantees paid to members of the Board of Managers and senior management.

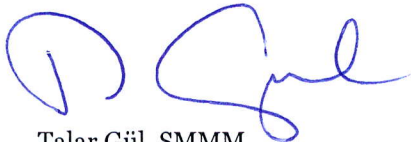
When preparing the annual report, the Board of Managers considers secondary legislation arrangements enacted by the Banking Regulation and Supervision Agency, Ministry of Customs and Trade and other relevant institutions.

5. Independent Auditor's Responsibility in the Audit of the Annual Report

Our aim is to express an opinion and issue a report comprising our opinion within the framework of article 397 of the TCC and "Regulation on Independent Audit of Banks" published on the Official Gazette No.29314 dated 2 April 2015 regarding whether or not the financial information and the analysis made by the Board of Managers by using the information included in the audited financial statements in the annual report are consistent and presented fairly with the audited unconsolidated financial statements of the Branch and with the information we obtained in the course of independent audit.

Our audit was conducted in accordance with the TSAs. These standards require that ethical requirements are complied with and that the independent audit is planned and performed in a way to obtain reasonable assurance of whether or not the financial information and the analysis made by the Board of Managers by using the information included in the audited financial statements in the annual report are consistent and presented fairly with the audited unconsolidated financial statements and with the information obtained in the course of audit.

PwC Bağımsız Denetim ve
Serbest Muhasebeci Mali Müşavirlik A.Ş.



Talar Gül, SMMM

Istanbul, 14 May 2018

I. GENERAL PRINCIPLES WITH RESPECT TO THE ANNUAL REPORT

- | | |
|---|--|
| 1. Reporting period | : 2017 |
| 2. Commercial Title of the Branch | : Bank Mellat Merkezi Tahran İran İstanbul
Türkiye Merkez Şubesi |
| 3. Address of Bank Mellat Headquarters
Address | : Taleghani Avenue. No: 276 Tehran – Iran |
| Address of the Branch in Turkey | : Büyükdere Cad. Binbirçiçek Sok No.1 34330
1. Levent - İstanbul / Turkey |
| 4. Phone | : (0212) 279 80 15 |
| 5. Fax | : (0212) 284 62 14 |
| 6. Website | : www.mellatbank.com |
| 7. Electronic Mail | : mellat@mellatbank.com |

II. CONTENTS OF THE ANNUAL REPORT

A. Introduction

1. Summary Financial Information

Balance Sheet (TRY -thousand)

ASSETS	31 Dec 2017	(%)	31 Dec 2016	(%)	+/- (%)
CASH RESERVES AND CENTRAL BANK	133.408	13,17	74.912	14,24	78,09
BANKS	483.515	47,75	200.735	38,15	140,87
FINANCIAL ASSETS READY FOR SALE (Net)	376.764	37,21	232.561	44,20	62,01
LOANS AND RECEIVABLES	7.952	0,79	7.964	1,51	(0,15)
Branch Risk Group	1.668	0,16	74	0,01	2.154,05
Other	1.151	0,11	3.720	0,71	(69,06)
Non-Performing Loans (Net)	5.133	0,51	4.170	0,79	23,09
OTHER ASSETS	10.999	1,09	9.960	1,89	10,43
TOTAL ASSETS	1.012.638	100,00	526.132	100,00	92,47
LIABILITIES	31 Dec 2017	(%)	31 Dec 2016	(%)	+/- (%)
DEPOSITS	708.245	69,94	275.591	52,38	156,99
Branch Risk Group	415.495	41,03	108.901	20,70	281,53
Other	292.750	28,91	166.690	31,68	75,63
LOANS RECEIVED	-	-	-	-	-
MISCELLANEOUS LIABILITIES	650	0,06	1.709	0,32	(61,97)
OTHER FOREIGN ASSETS	2.517	0,25	1.503	0,29	67,47
PROVISIONS	4.852	0,48	3.749	0,71	29,42
TAX DEBT	3.999	0,39	3.608	0,69	10,84
SHAREHOLDER'S EQUITY	292.375	28,87	239.972	45,61	21,84
TOTAL LIABILITIES	1.012.638	100,00	526.132	100,00	92,47
OFF-BALANCE LIABILITIES	31 Dec 2017	(%)	31 Dec 2016	(%)	+/- (%)
GUARANTEES AND SURETIES	8.923	100,00	5.248	100,00	70,03
Letters of Guarantee	5.988	67,11	4.873	92,85	22,88
Letters of Credit	2.935	32,89	375	7,15	682,67
Other Guarantees and Sureties	-	-	-	-	-
UNDERTAKINGS	87	100,00	80	100,00	8,75

Income Statement (TRY -thousand)

INCOME & EXPENSE ITEMS	31 Dec 2017	31 Dec 2016	Increase/ (Decrease)	
			Amount	(%)
INTEREST INCOME	46.926	28.097	18.829	67,01
INTEREST EXPENSES	(3.154)	(520)	(2.634)	506,54
NET INTEREST INCOME	43.772	27.577	16.195	58,73
NET FEES AND COMMISSIONS	26.527	9.694	16.833	173,64
COMMERCIAL PROFIT / LOSS (NET)	10.475	6.545	3.930	60,05
INCOME FROM OTHER ACTIVITIES	1.185	2.883	(1.698)	(58,90)
TOTAL OPERATIONAL INCOME	81.959	46.699	35.260	75,50
PROVISION FOR DECREASE IN VALUE (-)	(2.272)	(1.481)	(791)	53,41
OTHER OPERATING EXPENSES (-)	(13.409)	(9.871)	(3.538)	35,84
NET OPERATIONAL PROFIT/LOSS	66.278	35.347	30.931	87,51
TAX PROVISION (±)	(13.389)	(6.979)	(6.410)	91,85
NET PERIOD PROFIT/LOSS	52.889	28.368	24.521	86,44

2. Historical Development of the Branch

Bank Mellat Iran, established in 1980 as a state bank as a consequence of nationalization of 10 private banks, was registered with Tehran Stock Market and went public in 2008. The size of assets of the Bank is USD 57,384 million as of 20 March 2017 and the shareholder's equity of the Bank amounts to USD 2.152 million as of the same date. The bank has branches in Turkey, Armenia and Korea, and subsidiary banks in UK, Germany and Malaysia. The primary purpose of the branches and subsidiaries outside of Iran is to play an intermediary role in foreign trade transactions between Iran and especially these countries and the third countries. The Branch is granted permission to operate as the branch of a foreign bank established in Turkey by the decree dated 05th February 1981 and number 82/2406 of the Council of Ministers.

Bank Mellat has 3 branches in Turkey, the Main Branch in Istanbul which became operational on 16th April 1982, and the branches in Ankara and Izmir.

3. Shareholding Structure of the Branch

The Shareholding Structure of Bank Mellat Tehran Iran, which possesses the whole capital of the Branch is as follows:

Shareholder	31 December 2017	31 December 2016
	(**)Share Percentage (%)	(*)Share Percentage (%)
Equity shares (Public Shares)	30,00	30,00
State of Islamic Republic of Iran	17,00	17,00
Saba Tamin Insurance Company	4,22	8,71
Bank Mellat Employee Future Trust Fund	6,45	6,45
Social Security Institution of Iran	3,81	3,81
Mellat Financial Group Company	3,77	3,40
Other Shares Publicly Traded	34,75	30,63
Total	100	100

(*) This is the shareholding structure as declared by the General Directorate for Financial Affairs, Directorate for Stock Market and Stocks of Bank Mellat Iran as of 31.12.2016.

(**) This is the shareholding structure as declared by the General Directorate for Financial Affairs, Directorate for Stock Market and Stocks of Bank Mellat Iran as of 31.12.2017.

4. Changes in its Capital and Shareholding Structure During the Operating Period

There have been no changes in the capital and the shareholding structure of the Branch during the accounting period.

5. Titles of Natural or Legal Persons who hold Qualified Shares and Information about Their Shares

100% controlling capital holder of the Branch is the Bank Mellat residing in Tehran Iran. Natural or legal persons who hold qualified shares of the Bank Mellat Tehran, Iran as of the end of the period are indicated in the following table.

BANK MELLAT, HEAD OFFICE: TEHRAN, IRAN, ISTANBUL, TURKEY HQ, ANKARA AND IZMIR BRANCHES
2017 ANNUAL REPORT

Name, Surname/Title	31 December 2017			
	Share Amount	Share Ratios	Paid Share	Unpaid Shares
Equity shares (Public Shares)	60.000	%30,00	60.000	-
State of Islamic Republic of Iran	34.000	%17,00	34.000	-

6. Remarks Regarding the Shares, if any, Held by the Chairman and Members of the Board of Managers and General Manager and Deputy General Managers of the Branch

There is not any share held by the chairman or members of the Board of Managers, or the general manager, or deputy general manager.

7. Remarks on the Operating Period made by the Chairman of the Board of Managers and General Manager and Their Prospects

7.1. Message of the Chairman of the Board of Directors

In line with our expectations of early 2017, despite global and regional economic and geopolitical uncertainty, both the global and Turkish economy have experienced moderate improvement. Under the measures taken by the government, the increase in the volume of loans provided to Turkish economy and the consequent high economic growth rates have provided positive quantitative developments across all sectors for 2017. In 2017, exchange rates and FED interest rate hikes have provided smooth transition in line with market expectations. Especially, if there are no unexpected adverse events regarding FED policies, prices and regional geopolitical issues, the similar trend is predicted to continue both for Turkish and global economy in 2018. Our Bank, operating in Turkey for 36 years, will continue to display all the effort required to achieve the targeted trade volume between the two countries.

7.2. General Manager's Message

Year 2017 was completed very successfully for our bank as it was last year. The high growth rates achieved at the end of 2016 were also maintained in 2017. In comparison with the same period of the previous year, our assets total increased by 92.47%, our deposit total by 156.99% and our net profit by 86.44%. Profitability ratios consisted of profit before tax / total assets (6,55%), profit before tax / total equity (22,67%) and profit before tax / paid-in capital (33,14%). In addition to numerical high growth, our Bank's capital adequacy and liquidity ratios continued to remain at a positive level well above the international and local borders and sector averages. We will continue our activities to continue the same successful development in 2018 without leaving the risk measures at hand.

8. Remarks Regarding the Staff, Number of Branches, Branch Service Type, Scope of Activities and Position in the Sector

The branch performs various banking operations. Its core business includes playing intermediary role in trade transactions with the Islamic Republic of Iran and financing such operations when required.

The Bank has three branches in Turkey, including the Main branch. It carries out all banking services within the scope of permits granted through its branches. It is engaged in opening deposit accounts in Turkish Lira and foreign currencies, acting as an intermediary for cashing checks or clearing bills and as an exchange dealer and

meeting any kind of cash and non-cash loan demands, particularly acting as an intermediary for export and import transactions. Under the current circumstances the branch utilizes a significant part of its resources in bank deposits, bank bills, and treasury bonds or state bonds. As a natural consequence of this situation, it works with a capital adequacy ratio that is higher than the average of the sector.

As of December 31st, 2017, the number of the Branch's staff consists of 50 people (December 31st, 2016: 50 People).

B. Information about the Management and Corporate Governance Practices

1. Board of Directors

The vision, mission, short and long term strategic objectives of our Branch which operates as the branch in Turkey of a bank founded abroad are determined by the Board of Managers, established in accordance with the Article 23 of the Banking Law no. 5411, and with such powers and responsibilities of an executive board.

As of the end of the period, the Board of Director which consists of four members gathers in periods it deems necessary, and regularly reviews the policies and strategies specified, with reference to the continuously changing circumstances. Our Branch's Board of Directors also acts as the credit committee.

The Board of Managers provisionally delegates some of its powers to the senior management based on the decisions made from time to time.

During the meeting, all written proposals and demands about the agenda are submitted for the approval of Board of Directors together with all necessary documents; the proposals and demands approved by the Board are communicated to the authorities to be implemented pursuant to the meeting. The proposal approved by the Board is turned into resolution till the last day of the month the meeting is held, at latest, and presented for the signature of Board's President and Members.

The curriculum vitae and professional experiences of the members of the Board of Directors are as follows:

Title	Name	Position	Educational Status
Chairman of the Board of Managers:	Aziz Akhondi Asl	Chairman	Bachelor's Degree
Members of the Board of Directors:	Mohammadhossein Abbasi	General Manager	Bachelor's Degree
	Ahmad Jamehdor	Member	Bachelor's Degree
	Erol Asma (*)	Member Responsible for Internal Systems	Bachelor's Degree

(*) Due to Mr. Yusuf Çağala leaving our bank, Mr. Erol Asma has been appointed as a Member of the Board of Directors Responsible for Internal Systems as of 10 July 2017.

AZİZ AKHONDİ ASL – Chairman of the Board of Managers

Aziz AKHONDİ ASL graduated from The City of Rest Trade College in Iran and was awarded the Bachelor's Degree in Trade. He worked as a Vice General Manager, Regional General Manager, and Member of the Board of Managers during his professional career in banking. He has been working as Vice General Manager who is responsible for Foreign Transactions at the Head Office in Tehran since May 2016, and started working as the Chairman of the Board of Managers at the Branch on 1 November 2016.

MOHAMMADHOSSEİN ABBASİ – Member

Mohammad Hossein ABBASİ graduated from Azad University in Iran and was awarded the Bachelor's Degree in Accounting. He worked as a Specialist, Vice Manager, Vice Manager for Foreign Transactions, and Assistant General Manager for Financial Affairs during his career in banking. And he started working at the branch with the capacity of General Manager on 01 December 2016.

AHMAD JAMEHDOR – Member

Ahmad JAMEHDOR is a graduate of Ankara Academy of Economical and Commercial Sciences, Department of Banking and Insurance. He started his professional banking career at the Branch in 1985 and worked in several departments such as current accounts, remittances, accounting, human resources, and financial affairs. He was appointed as the Assistant General Manager in May 2009. He is the Assistant General Manager in charge of Financial Control, Treasury, Accounting, Human Resources, Information Systems, Administrative Affairs and Operations. In September 2013 he was appointed Deputy General Manager.

EROL ASMA - Member Responsible for Internal Systems managing the Audit Committee

Erol Asma graduated from Marmara University, Faculty of Economics and Administrative Sciences, Department of International Relations, and started his banking career in 1993. Erol Asma, who has been in various positions at various banks and financial institutions, joined the branch in February 2016; He served as the Internal Systems Coordinator until July 10, 2017, when he was appointed as a Board member in 2017, and since then, he has been appointed as a Member of the Board of Managers Responsible for Internal Systems.

2. Senior Management

General Manager is responsible for the management and operation of the Branch and the units thereof as per the basis and risk management principles identified by the Board of Managers. Details about the top management are stated below.

BANK MELLAT, HEAD OFFICE: TEHRAN, IRAN, ISTANBUL, TURKEY HQ, ANKARA AND IZMIR BRANCHES
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Title	Name	Position	Educational Status
General Manager	Mohamadossein ABBASI		Bachelor's Degree
Assistant General Manager / Deputy General Manager:	Ahmad Jamehdor	Deputy General Manager in charge of Financial Control, Treasury, Accounting, Human Resources, Information Systems, Administrative Affairs and Operations	Bachelor's Degree
Assistant General Manager	Nader Motedaien	Assistant General Manager in charge of Current Accounts	Bachelor's Degree
Assistant Manager	Mostafa Sharafi	Assistant General Manager Responsible for Loans and External Transactions	Bachelor's Degree

Details about the background of the senior management are as follows:

MOHAMMADHOSSEIN ABBASI – General Manager

Mentioned in section, Board of Managers.

AHMAD JAMEHDOR – Deputy General Manager–Vice General Manager

Mentioned in section, Board of Managers.

NADER MOTEDAIEN – Deputy General Manager

Nader MOTEDAIEN graduated from Marmara University in Turkey, Faculty of Economics and Administrative Sciences, Department of Economics (English). Nader MOTEDAIEN, who started his career in banking in 1993, worked as a Supervisor in Foreign Affairs Department, a Specialist in Foreign Transactions Department and a Premium Branch Deputy Manager. He started working at the branch with the capacity of Assistant General Manager on 13 October 2015.

MOSTAFA SHARAFI – Assistant General Manager

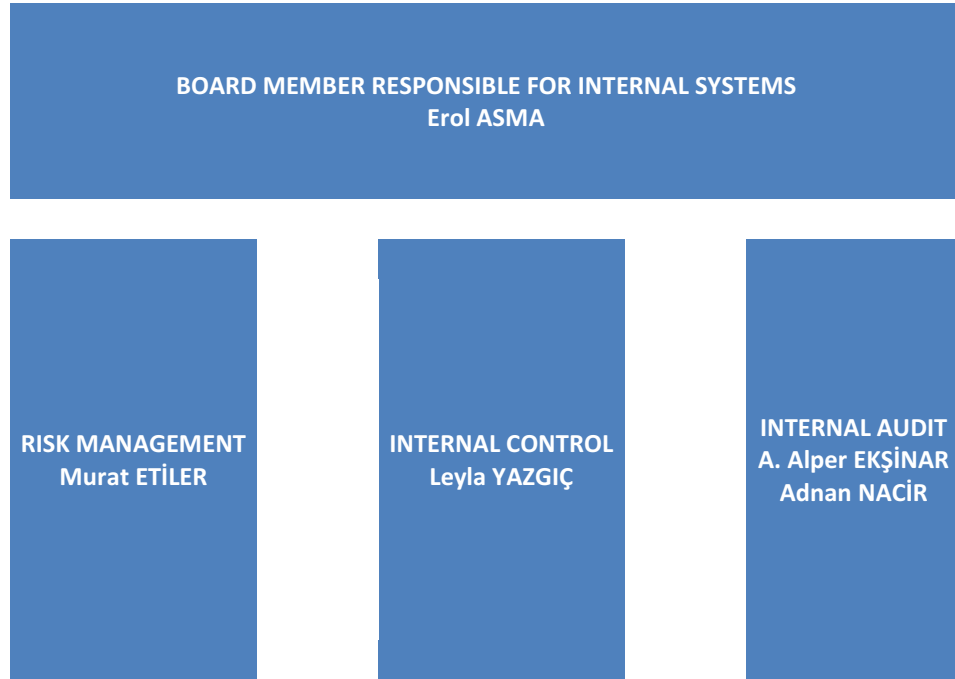
Mostafa SHARAFI graduated from Azad University in Iran with BA degree in English Language Translation. During his banking career, he has worked as the 2nd Person in Charge of Administrative Affairs, as an Accounting and Budget Specialist, and as Foreign Currency Exchange Specialist. He started working at our branch with the capacity of Assistant General Manager on 09 February 2017.

3. Information About the Operations Conducted Pursuant to the Provisions of the Regulation on the Internal Systems of Banks and the Department Managers Regarding Internal Systems

Internal Audit, Internal Control and Risk Management systems, which comprise the internal systems of the Bank, are subject to the Board of Managers under the supervision and audit of the non- executive member who is in charge of internal systems. The member who is in charge of internal systems is obliged to report any issue that may negatively affect the operation of the Branch to Board of Managers,

through the reports he regularly receives from independent audit firm and internal control, internal audit and risk management departments.

Internal Audit, Internal Control and Risk Management Departments operate within the scope of Regulations approved by Board of Managers. Organization Chart of Internal Systems is as follows.



Vocational information of line managers working within internal systems of the Branch are indicated below.

Erol Asma has a Bachelor's Degree and 25 years of experience in Finance/Banking. He was appointed as the Board Member Responsible for Internal Systems in July, 2017.

A. Alper Ekşinar, Internal Audit Department: He has a Master's Degree and 27 years of experience in Finance/Banking. He was appointed as the Internal Audit Department manager in October 2014.

Leyla Akça Yazgıç, Internal Control Department: She has a Bachelor's Degree and has been working for the Branch for 22 years. She was appointed as the Internal Control unit manager on 01.10.2012.

Murat Etiler, Risk Management Department: He has a Bachelors degree and 27 years of banking experience. He has been working at our Branch for approximately eight years. He was appointed as a unit manager on 12.08.2013.

4. Other Committees

Names, tasks, powers and members of miscellaneous committees within our Branch are explained below:

The committees have been established pursuant to the regulations as specified under the Banking Law no. 5411 and relevant legislation and organized in accordance with those regulations and every measure required to allow them to work independently have been taken by the Branch.

Assets/Liabilities Committee

Assets & Liabilities committee, consisting of the assistant general managers under the chairmanship of the General Manager is responsible for evaluating the market conditions and determining the policies regarding maturity consistency between assets and liabilities, maintaining the interest rate difference, foreign exchange position and liquidity pursuant to those conditions. During the year, the Committee had 66 meetings and resolutions.

Executive Committee for Information Technologies

The Executive Committee for Information Technologies consists of the Member of the Board of Managers who is responsible for Internal Systems, Deputy General Manager of the Main Branch, System and Network Manager, Application Development and Software Manager and Internal Control and Risk Management Executives under the chairmanship of the General Manager. The Committee holds meetings yearly.

The Committee was established to fulfill the following missions:

- To ensure that Information Technologies are consistent with the Bank's scale and operations and the quality of offered products and the strategic objectives of the Bank,
- Approval of the policies regarding the management, sustainability, maintaining the information security and confidentiality in Information Technologies,
- To assess the risks that may be imposed due to the use of Information Technologies and approve the action plans designed for minimizing the risk levels resulting from Information Technologies,
- Approval of the resource needs prioritized in line with the strategies for Information Technologies,
- To evaluate the findings regarding general controls in information technologies and application controls identified in consequence of internal audits and independent audits and approve the actions to be taken,
- Evaluation of risk analysis results regarding outsourced support services for Information Technologies and submitted report regarding qualification of outsourcing companies,
- Assessment of detected breaches of information security and making decisions regarding actions to be taken and establishing an "emergency response team" when required,
- Assessment of the results of the tests performed for the purpose of ensuring business continuity and data security,
- Evaluation of the current developments in information technologies and data security and their applicability at the Bank,
- Assessment of the complaints that may occur regarding Information Technologies and the services provided based on the same and approval of the actions to be taken,
- Evaluation and approval of investments and projects regarding Information Technologies.

Risk Committee

Scope of activities of the Committee;

- Preparation of the risk management strategies and policies to be followed, and their submission to the Board of Managers for approval,
- Negotiating and resolving the issues brought to the agenda by Risk Management,
- Determination of the limits regarding exposed risks, monitoring the limit violations, making proposals to the Board of Managers for eliminating such risks,
- Making proposals to the Board of Managers on changes in risk policies,
- Monitoring and reporting for the risk detection, identification, measurement and management process to be performed by the Risk Management Unit,
- Monitoring to ensure the accuracy and reliability of risk measurement methods and results.

The committee consists of a member of the Board of Managers Responsible for Internal Systems, the Assistant General Manager and the Risk Management Unit Manager, chaired by the General Manager. During the year, the Committee had 12 meetings and resolutions.

Audit Committee

In line with relevant legislations, due to Yusuf ÇAĞALA leaving our bank, Erol ASMA has been appointed as a member of the Board of Managers Responsible for Internal Systems on 10.07.2017 to carry out the duties of the committee, and still continues this duty.

Member of the Board of Managers Responsible for the Internal Systems, managing the functioning of the Audit Committee, is in charge of the matters referred to in paragraph 2 of Article 7 of the Internal Systems Regulation published in Official Gazette 29057 on July 11, 2015.

Purchasing Committee

It is responsible for the purchase and sale of movables and software in line with the requirements of the Bank. 19 purchases were made during the year.

5. Information Regarding the Practices of Human Resources:

Probation period for any contracted personnel to be employed at the Branch is two months whereas this period is four months for the personnel to be employed as a union member. Those employees who are thought to be useful for the Branch during the probation period will become a member of the permanent staff upon the relevant line manager's suggestion. Branch managers and division heads will submit their requests regarding whether the employment contract of the staff subject to probation period is to be maintained in such timeframe that their request will be received by the personnel department at least 10 days before the end of such period.

Advancement means promoting an employee of the Branch to a higher position than his/her current position. In case of advancement remuneration of the staff also changes starting from the clerical level. Fulfilment of the following conditions is required for advancement of an employee;

- Completing a specified term of office at the current position;
- Be granted positive qualification;
- Bear the necessary capabilities and qualifications that a higher title requires;
- There should be a vacant position in the upper title.
- The staff should pass the exam to be applied when necessary.

In order to be promoted to the position just above them, Branch personnel must serve in their current position:

- for minimum 3 years if they are university graduates,
- for minimum 4 years if they are high-school graduates.

However, these period may be extended for one year maximum, within the framework of the authorizations.

A dividend payment is made at least once a year in consideration of the performance note and other criteria (warnings and punishments). A dividend payment of 365 thousand Turkish liras was made in March 2018.

6. Information about the transactions with the risk group in which the branch is included

6.1. Information about the credits extended to the risk group in which the branch is included

Credit Risk of the Risk Group in which the Branch is included ^{(1) (2)}	31 December 2017		31 December 2016	
	Cash	Non-Cash	Cash	Non-Cash
Credits and Other Receivables				
Opening Balance	24.878	-	61.127	-
Period-End Balance	169.391	-	24.878	-
Received Interest and Commission Revenues	366	240	1.631	107

(1) Risk group is defined in paragraph 2 of Article 49 of the Banking Law number 5411.

(2) The information in the table also covers the receivables from the banks as well as the loans extended.

6.2. Information about deposit accounts owned by the risk group in which the branch is included

Risk Group Of The Branch ⁽¹⁾	Subsidiaries, Affiliates & Partnerships jointly controlled		Direct & Indirect Partners of the Branch		Other Real & Legal Entities included in the Risk Category	
	31 December 2017	31 December 2016	31 December 2017	31 December 2016	31 December 2017	31 December 2016
Deposit						
Beginning of Period	-	-	-	-	108.901	83.696
End of Period ⁽²⁾⁽³⁾	-	-	-	-	415.495	108.901
Deposit Interest Expenses	-	-	-	-	2.977	25

(1) Risk group is defined in paragraph 2 of Article 49 of the Banking Law number 5411.

(2) (TRY 98,859 and TRY 316,636 of the deposit of the amount of TRY 415,495 indicated in Deposit – Risk Group line of the balance sheet as of 31 December 2017 belong to Bank Mellat Headquarters – Iran and the Central Bank of Iran, respectively.)

(3) (TRY 58,019 and TRY 50,882 of the deposit of the amount of TRY 108,901 indicated in Deposit – Risk Group line of the balance sheet as of 31.12.16 belong to Bank Mellat Headquarters – Iran and the Central Bank of Iran, respectively.)

6.3. Information about the loans borrowed from the risk group in which the branch is included

Loans borrowed from the Risk Group in which the Branch is included ⁽¹⁾	31 Dec 2017	31 Dec 2016
Beginning of Period	-	-
Period End	-	-
Interest Expense on Loan	-	-

(1) Risk group is defined in paragraph 2 of Article 49 of the Banking Law number 5411.

6.4. Information about futures contracts, options contracts and suchlike other contracts made between the Branch and the risk group in which the branch is included

As of dates December 31st 2017 and December 31st 2016, the bank has no futures and option contracts with the risk group of the Branch, and other similar contracts.

6.5. Information about the Benefits provided for Senior Management:

As of 31 December 2017, payments of TRY 2,309 thousand (31 December 2016: TRY 1,665 thousand) were made to the senior management of the Branch.

7. Outsourced Services and Information About Service Providers

Support service organizations and services outsourced or to be outsourced under the scope of the Regulation on Support Services for Banks and the Authorization of the Institutions to Provide Such Services are as follows:

Name/Title	Service Purchased
FİNEKSUS NETWORK ÇÖZÜMLERİ A.Ş.	Swift Paygate Messenger Software Maintenance
DESMER GÜVENLİK HİZMETLERİ TİC. A.Ş.	Safe Transportation of Cash (Group Service) and External Security Provider
GÜZEL SANATLAR ÇEK BASIM LTD. ŞTİ.	Printing of the Checkbooks

C. Assessment of Financial Information and Risk Management

1. Assessment of Functioning of Internal Control, Internal Audit and Risk Management Systems made by the Audit Committee and Its Activities within the Accounting Period

1.1. Activities of Internal Control Department

The Internal Control Unit is structured to prevent the risks in the financial and operational activities of the Bank and hold them under control at a reasonable level. Internal control activities are continuously monitored at every stage of the business; the practices, policies and processes that determine these activities are renewed in line with the needs, and the integrity of these activities is ensured by the internal control system.

The workflows related to the activities of the Branch have the necessary control tiers and points appropriately. Conducting the operations for the activities of the activities in an efficient, correct, regular and secure manner, functional task divisions, transactions, approval authorities and limits, information systems controls, post-processing controls and other process-specific controls are provided by the staff at each level. Said activity and internal control structure also plays an important role in

the reliable and effective execution of accounting and financial reporting systems processes and controls.

The main components of the internal control activities structured within the internal control system are controls for the execution of activities, information and communication, financial reporting systems and compliance controls.

The internal control unit, operating in accordance with the member of the board responsible for internal systems, intends to make the utmost contribution to ensure that the internal control system is in compliance with the legislations and standards in terms of structure and functioning, and is healthy, effective and strong. The activities of the internal control unit responsible for examining, monitoring, evaluating and reporting the results of the controls on the activities of the branch are structured to include the head office units and branches.

The findings, opinions and recommendations related to the internal control activities are first shared with the employees and related process owners, contributing to the implementation of measures and solutions that improve the processes and activities of the internal control system. All these activities are continuously monitored by the internal control officers as well as those who are carrying out the activities and the evaluations related to the activities are reported to the senior management.

The results of internal control activities are also regularly monitored and assessed by the Board of Managers and the board member acting as the audit committee.

The internal control unit is subject to quarterly review for the head office units and at least twice per year for the other branches. Internal control activities are carried out on the basis of testing the control steps and points on work flows in terms of banking processes, and according to the prepared risk matrix.

1. 2. Activities of Internal Audit Department

The Bank Mellat internal audit unit continues to work under the supervision of the member of the board responsible for internal systems. The Internal Audit Unit performs the task of auditing in line with the internal policies, policies, principles and targets of the branches and all other departments including the internal control, risk management, legislation and MASAK compliance, as well as the laws and other relevant legislation and activities carried out by all branches. This unit, which performs banking processes and information systems audits, also carries out preliminary research, investigation and investigation activities if necessary.

The reports prepared as a result of the work of the unit, having an auditor and an assistant auditor, are transmitted to the Board of Managers and related units through the audit committee in accordance with its importance and priority, and the measures taken for the identified issues are monitored by the internal audit unit. The Board of Managers closely monitors the activities of the unit, thanks to the periodic activity reports submitted by the board member who serves as the audit committee.

In 2017, the supervision of the banking processes carried out by three branches, and the head office units in the framework of COBIT, was carried out in accordance with the determined risk-oriented annual plan.

1. 3. Risk Management Activities

The risk management process and the functions involved in this process are among the primary responsibilities of the Board of Directors. Risk Management Unit, which is a functional part of the risk management function together with the Assets-Liabilities Committee, reports to the Board of Managers and the senior management with daily and monthly reports on exposed risks.

Board of Managers closely monitors the work of these committees and the risk management unit and continually evaluates the conformity of the results to the objectives set out.

Stress test and scenario analysis carried out during the period taking into account the existing conditions are submitted to the information and evaluation of the Board of Managers.

1. 4. Compliance Activities

Compliance is one of the main tasks and responsibilities of managers and employees at every stage in the branch. Such activities can be grouped as compliance with legislations (Internal Auditing Unit), compliance regarding banking activities (Internal Control Unit) and compliance for Laundering the Proceeds of Crime (Compliance Manager).

Within this scope, automatic rating of various banking transactions in terms of risk has been improved, by considering customer risks, transaction risks and amount risks.

The results of compliance activities are regularly monitored and evaluated by the senior management of the Branch.

1. 5. Overall Assessment

In 2017, the sums underlying the loan risk and the market risk increased by 53.33% and 109.33% respectively, compared to the previous year whereas the sum underlying the operational risk increased by 41.02%. During the same period, the principal capital and shareholder's equity increased by 21.92% and 21.84% respectively. Total assets increased from TRY 526,132 thousand (end of 2016) to TRY 1,012,638 thousand in 2017. In 2017, there was a significant increase in total assets, and the basis amount for loan risk, the basis amount for market risk and operational risk increased. As a result of these developments; the standard rate for capital adequacy realized at 62.83%, far beyond the sector average and legal limits, at the end of 2017 (it was 80,21% for the previous year).

2. Independent Audit Report

**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES**

**INDEPENDENT AUDITOR'S REPORT,
FINANCIAL STATEMENTS AND NOTES
FOR THE YEAR ENDED**

31 DECEMBER 2017

**(TRANSLATED INTO ENGLISH FROM THE
ORIGINAL TURKISH REPORT)**

SEE NOTE I. OF SECTION THREE



**CONVENIENCE TRANSLATION INTO ENGLISH OF
INDEPENDENT AUDITOR'S REPORT
ORIGINALLY ISSUED IN TURKISH
INDEPENDENT AUDITOR'S REPORT**

To the Board of Managers of Bank Mellat, Head Office: Tahran-Iran İstanbul Turkey Main, Ankara and İzmir Branches

A. Audit of the Unconsolidated Financial Statements

1. Opinion

We have audited the accompanying unconsolidated financial statements of Bank Mellat, Head Office: Tahran-Iran İstanbul Turkey Main, Ankara and İzmir Branches (the "Branch"), which comprise the statement of unconsolidated balance sheet as at 31 December 2017, unconsolidated income statement, unconsolidated statement of income and expense items under shareholders' equity, unconsolidated statement of changes in shareholders' equity, unconsolidated statement of cash flows for the year then ended and the notes to the unconsolidated financial statements and a summary of significant accounting policies and unconsolidated financial statement notes.

In our opinion, the unconsolidated financial statements present fairly, in all material respects, the unconsolidated financial position of the Branch as at 31 December 2017, and its unconsolidated financial performance and its unconsolidated cash flows for the year then ended in accordance with the Banking Regulation and Supervision Agency ("BRSA") Accounting and Financial Reporting Legislation which includes "Regulation on Accounting Applications for Banks and Safeguarding of Documents" published in the Official Gazette no.26333 dated 1 November 2006, and other regulations on accounting records of Banks published by Banking Regulation and Supervision Agency and circulars and interpretations published by BRSA and Turkish Accounting Standards ("TAS") for those matters not regulated by the aforementioned regulations.

2. Basis for Opinion

Our audit was conducted in accordance with the "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and the Standards on Independent Auditing (the "SIA") that are part of Turkish Standards on Auditing issued by the Public Oversight Accounting and Auditing Standards Authority (the "POA"). Our responsibilities under these standards are further described in the "Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements" section of our report. We hereby declare that we are independent of the Branch in accordance with the Ethical Rules for Independent Auditors (the "Ethical Rules") and the ethical requirements regarding independent audit in regulations issued by POA that are relevant to our audit of the unconsolidated financial statements. We have also fulfilled our other ethical responsibilities in accordance with the Ethical Rules and regulations. We believe that the audit evidence we have obtained during the independent audit provides a sufficient and appropriate basis for our opinion.



3. Other Matter

The unconsolidated financial statements of the Branch as of 31 December 2016 were audited by another audit firm whose audit report dated 14 April 2017 expressed an unqualified opinion on those financial statements.

4. Responsibilities of Management and Those Charged with Governance for the Unconsolidated Financial Statements

The Branch management is responsible for the preparation and fair presentation of the unconsolidated financial statements in accordance with the BRSA Accounting and Financial Reporting Legislation, and for such internal control as management determines is necessary to enable the preparation of unconsolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the unconsolidated financial statements, management is responsible for assessing the Branch's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Branch or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Branch's financial reporting process.

5. Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements

Responsibilities of independent auditors in an independent audit are as follows:

Our aim is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an independent auditor's report that includes our opinion. Reasonable assurance expressed as a result of an independent audit conducted in accordance with "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and SIA is a high level of assurance but does not guarantee that a material misstatement will always be detected. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these unconsolidated financial statements.



As part of an independent audit conducted in accordance with “Regulation on Independent Audit of Banks” published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and SIA, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement in the unconsolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Assess the internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Branch’s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management’s use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Branch ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor’s report to the related disclosures in the unconsolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our independent auditor’s report. However, future events or conditions may cause the Branch to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the unconsolidated financial statements, including the disclosures, and whether the unconsolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence. We also communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



B. Other Responsibilities Arising From Regulatory Requirements

1. No matter has come to our attention that is significant according to subparagraph 4 of Article 402 of Turkish Commercial Code (“TCC”) No. 6102 and that causes us to believe that the Branch’s bookkeeping activities concerning the period from 1 January to 31 December 2017 period are not in compliance with the TCC and provisions of the Branch’s articles of association related to financial reporting.
2. In accordance with subparagraph 4 of Article 402 of the TCC, the Board of Managers submitted the necessary explanations to us and provided the documents required within the context of our audit.

Additional Paragraph for Convenience Translation

The effects of differences between accounting principles and standards explained in detail in Section Three and accounting principles generally accepted in countries in which the accompanying unconsolidated financial statements are to be distributed and International Financial Reporting Standards (“IFRS”) have not been quantified in the accompanying unconsolidated financial statements. Accordingly, the accompanying unconsolidated financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

PwC Bağımsız Denetim ve
Serbest Muhasebeci Mali Müşavirlik A.Ş.

Talar Gül, SMMM
Partner

Istanbul, 29 March 2018

**THE UNCONSOLIDATED FINANCIAL REPORT OF
BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2017**

Headquarter's Address : No: 276, Taleghani Ave, Tahran – İran
Turkey Main Branch Address : Büyükdere Cd. Binbirçiçek Sk. No:1 34330 1.Levent-İstanbul/Türkiye
Telephone : (0212) 279 80 15
Fax : (0212) 284 62 14
Website : www.mellatbank.com
E-mail address : mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH AND HEAD OF BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communiqué on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.


Aziz Akhondi Asl

Mohammadhossein Abbasi

Aliakbar Jamehdor

Erol Asma

Chairman of the Board
of Managers

Member of the Board of
Managers and
General Manager

Member of the Board
of Managers and Asst.
General Manager

Member of the Board of
Managers and Internal
Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title : Yener Bozkurt / Accounting Department Chief
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

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BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

**SECTION ONE
GENERAL INFORMATION**

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahrān-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahrān, Iran, established its branches in İstanbul, Ankara and İzmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahrān, Iran, is as follows:

Shareholders	31 December 2017 (**)Share Percentage (%)	31 December 2016 (*)Share Percentage (%)
Justice share recipients (provincial investors)	30,00	30,00
Islamic Republic of Iran	17,00	17,00
Saba Tamin Investment Co.	4,22	8,71
Bank Mellat's Staff Future Security Fund	6,45	6,45
Social Security Organisation of Iran	3,81	3,81
Mellat Financial Group Co.	3,77	3,40
Other Shares Quoted on Stock Exchange	34,75	30,63
Total	100,00	100,00

(*) Shareholding structure as of 31 December 2016, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

(**) Shareholding structure as of 31 December 2017, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Education
Chairman of the Board of Managers:	Aziz Akhondi Asl	Chairman	Under Graduate
Member of the Board of Managers:	Mohammadhossein Abbasi	General Manager	Under Graduate
	Ahmad Jamehdor	Member	Under Graduate
	Erol Asma	Member Responsible For Internal Systems	Under Graduate
Assistant General Manager / Vice General Managers:	Ahmad Jamehdor	Financial Controlling, Treasury, Accounting, Human Resources, Information Systems, Administrative and Operations Assistant Responsible General Manager	Under Graduate
	Nader Motedaïen	Current Accounts Responsible Assistant General Manager	Under Graduate
	Mostafa Sharafi	Loans and Foreign Operations Responsible General Manager	Under Graduate

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

GENERAL INFORMATION (Continued)

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

Explanations of shareholders and entities that have share in the capital of Bank Mellat Tahrn Iran, which has all of the capital of the company;

31 December 2017				
Name/Commercial Title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	60.000	%30,00	60.000	-
Islamic Republic of Iran	34.000	%17,00	34.000	-
31 December 2016				
Name/Commercial Title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	60.000	%30,00	60.000	-
Islamic Republic of Iran	34.000	%17,00	34.000	-

V. BRIEF INFORMATION ON THE BRANCH’S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2017, the Branch has 50 employees (31 December 2016: 50 employees).

VI. DIFFERENCES BETWEEN THE COMMUNIQUE ON PREPARATION OF FINANCIAL STATEMENTS OF BANKS AND TURKISH ACCOUNTING STANDARDS AND SHORT EXPLANATION ABOUT THE ENTITIES SUBJECT TO FULL CONSOLIDATION OR PROPORTIONAL CONSOLIDATION AND ENTITIES WHICH ARE DEDUCTED FROM EQUITY OR ENTITIES WHICH ARE NOT INCLUDED IN THESE THREE METHODS:

The Branch does not have investments in subsidiaries and associates subject to consolidation.

VII. CURRENT OR LIKELY, ACTUAL OR LEGAL BARRIERS TO IMMEDIATE TRANSFER OF EQUITY OR REPAYMENT OF DEBTS BETWEEN BRANCH AND ITS SUBSIDIARIES:

None.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO

UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2017			PRIOR PERIOD 31 December 2016		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	23.042	110.366	133.408	22.233	52.679	74.912
	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	BANKS	(I-c)	97.167	386.348	483.515	47.961	152.774	200.735
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Interbank Money Market Placements		-	-	-	-	-	-
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	376.764	-	376.764	232.561	-	232.561
5.1	Share Certificates		755	-	755	654	-	654
5.2	Public Debt Securities		100.228	-	100.228	60.904	-	60.904
5.3	Other Marketable Securities		275.781	-	275.781	171.003	-	171.003
VI.	LOANS AND RECEIVABLES	(I-e)	6.466	1.486	7.952	6.838	1.126	7.964
6.1	Loans and Receivables		1.333	1.486	2.819	2.668	1.126	3.794
6.1.1	Bank's Risk Group		182	1.486	1.668	74	-	74
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		1.151	-	1.151	2.594	1.126	3.720
6.2	Non-Performing Loans		8.305	-	8.305	6.957	-	6.957
6.3	Specific Provisions (-)		(3.172)	-	(3.172)	(2.787)	-	(2.787)
VII.	FACTORING RECEIVABLES		-	-	-	-	-	-
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-g)	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-h)	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	SUBSIDIARIES (Net)	(I-i)	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-j)	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-k)	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Unearned Income (-)		-	-	-	-	-	-
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-l)	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	TANGIBLE ASSETS (Net)	(I-m)	8.930	-	8.930	8.226	-	8.226
XV.	INTANGIBLE ASSETS (Net)	(I-n)	452	-	452	388	-	388
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		452	-	452	388	-	388
XVI.	INVESTMENT PROPERTY (Net)	(I-o)	-	-	-	-	-	-
XVII.	TAX ASSET	(I-p)	662	-	662	698	-	698
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		662	-	662	698	-	698
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-r)	-	-	-	-	-	-
18.1	Held for Sale Purposes		-	-	-	-	-	-
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	OTHER ASSETS	(I-s)	654	301	955	527	121	648
	TOTAL ASSETS		514.137	498.501	1.012.638	319.432	206.700	526.132

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION) (Devamı)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2017			PRIOR PERIOD 31 December 2016		
			TL	FC	Total	TL	FC	Total
I.	DEPOSITS	(II-a)	252.014	456.231	708.245	99.964	175.627	275.591
1.1	Deposits of Bank's Risk Group		239.568	175.927	415.495	56.340	52.561	108.901
1.2	Other		12.446	280.304	292.750	43.624	123.066	166.690
II.	TRADING DERIVATIVE FINANCIAL LIABILITIES	(II-b)	-	-	-	-	-	-
III.	FUNDS BORROWED	(II-c)	-	-	-	-	-	-
IV.	MONEY MARKETS		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	MARKETABLE SECURITIES ISSUED (Net)		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	FUNDS		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	SUNDRY CREDITORS		547	103	650	1.245	464	1.709
VIII.	OTHER LIABILITIES	(II-d)	2.204	313	2.517	1.316	187	1.503
IX.	FACTORING PAYABLES		-	-	-	-	-	-
X.	FINANCIAL LEASE PAYABLES (Net)	(II-e)	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	HEDGING DERIVATIVE FINANCIAL LIABILITIES	(II-f)	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	PROVISIONS	(II-g)	3.461	1.391	4.852	3.623	126	3.749
12.1	General Loan Loss Provision		868	1.291	2.159	1.765	32	1.797
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		2.537	-	2.537	1.734	-	1.734
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		56	100	156	124	94	218
XIII.	TAX LIABILITY	(II-h)	3.999	-	3.999	3.608	-	3.608
13.1	Current Tax Liability		3.999	-	3.999	3.608	-	3.608
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)	(II-i)	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	SUBORDINATED LOANS	(II-j)	-	-	-	-	-	-
XVI.	SHAREHOLDERS' EQUITY	(II-k)	292.375	-	292.375	239.972	-	239.972
16.1	Paid-in capital		200.000	-	200.000	200.000	-	200.000
16.2	Capital Reserves		(908)	-	(908)	(422)	-	(422)
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	(602)	-	(602)	(169)	-	(169)
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		(306)	-	(306)	(253)	-	(253)
16.3	Profit Reserves		698	-	698	724	-	724
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		698	-	698	724	-	724
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		92.585	-	92.585	39.670	-	39.670
16.4.1	Prior Years' Income or (Loss)		39.696	-	39.696	11.302	-	11.302
16.4.2	Current Year Income or (Loss)		52.889	-	52.889	28.368	-	28.368
	TOTAL LIABILITIES		554.600	458.038	1.012.638	349.728	176.404	526.132

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED STATEMENT OF OFF-BALANCE SHEET
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. STATEMENT OF OFF-BALANCE SHEET

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2017			PRIOR PERIOD 31 December 2016		
			TL	FC	Total	TL	FC	Total
A.	OFF-BALANCE SHEET COMMITMENTS (I+II+III)		5.809	3.201	9.010	4.445	883	5.328
I.	GUARANTEES AND WARRANTIES	(III-a-2, 3)	5.722	3.201	8.923	4.365	883	5.248
1.1.	Letters of Guarantee		5.722	266	5.988	4.365	508	4.873
1.1.1.	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2.	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3.	Other Letters of Guarantee		5.722	266	5.988	4.365	508	4.873
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1.	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2.	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	2.935	2.935	-	375	375
1.3.1.	Documentary Letters of Credit		-	2.935	2.935	-	375	375
1.3.2.	Other Letters of Credit		-	-	-	-	-	-
1.4.	Prefinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1.	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2.	Other Endorsements		-	-	-	-	-	-
1.6.	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7.	Factoring Guarantees		-	-	-	-	-	-
1.8.	Other Guarantees		-	-	-	-	-	-
1.9.	Other Collaterals		-	-	-	-	-	-
II.	COMMITMENTS	(III-a-1)	87	-	87	80	-	80
2.1.	Irrevocable Commitments		87	-	87	80	-	80
2.1.1.	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2.	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3.	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4.	Loan Granting Commitments		-	-	-	-	-	-
2.1.5.	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6.	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7.	Commitments for Cheques		87	-	87	80	-	80
2.1.8.	Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9.	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10.	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11.	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12.	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13.	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1.	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2.	Other Revocable Commitments		-	-	-	-	-	-
III.	DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1.	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2.	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3.	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1.	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2.	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1.	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2.	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3.	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4.	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1.	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2.	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3.	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4.	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5.	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6.	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1.	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2.	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1.	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2.	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6.	Other		-	-	-	-	-	-
B.	CUSTODY AND PLEDGES RECEIVED (IV+V+VI)		63.736	1.458.708	1.522.444	70.827	1.211.035	1.281.862
IV.	ITEMS HELD IN CUSTODY		-	1.072	1.072	-	16	16
4.1.	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2.	Investment Securities Held in Custody		-	-	-	-	-	-
4.3.	Checks Received for Collection		-	1.072	1.072	-	16	16
4.4.	Commercial Notes Received for Collection		-	-	-	-	-	-
4.5.	Other Assets Received for Collection		-	-	-	-	-	-
4.6.	Assets Received for Public Offering		-	-	-	-	-	-
4.7.	Other Items Under Custody		-	-	-	-	-	-
4.8.	Custodians		-	-	-	-	-	-
V.	PLEDGES RECEIVED		10.616	227.599	238.215	21.614	190.166	211.780
5.1.	Marketable Securities		-	-	-	-	-	-
5.2.	Guarantee Notes		2.744	65.131	67.875	8.687	55.029	63.716
5.3.	Commodity		-	-	-	-	-	-
5.4.	Warranty		-	-	-	-	-	-
5.5.	Immovable		7.872	162.223	170.095	12.697	134.820	147.517
5.6.	Other Pledged Items		-	245	245	230	317	547
5.7.	Pledged Items-Depository		-	-	-	-	-	-
VI.	ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		53.120	1.230.037	1.283.157	49.213	1.020.853	1.070.066
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		69.545	1.461.909	1.531.454	75.272	1.211.918	1.287.190

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED STATEMENT OF INCOME
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2017-31/12/2017)	PRIOR PERIOD (01/01/2016-31/12/2016)
I.	INTEREST INCOME	(IV-a)	46.926	28.097
1.1	Interest on Loans	(IV-a-1)	471	2.312
1.2	Interest Received from Reserve Requirements		1.247	428
1.3	Interest Received from Banks	(IV-a-2)	8.352	6.815
1.4	Interest Received from Money Market Transactions		-	193
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	36.856	18.348
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		36.856	18.348
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		-	1
II.	INTEREST EXPENSE	(IV-b)	(3.154)	(520)
2.1	Interest on Deposits	(IV-b-4)	(3.154)	(518)
2.2	Interest on Funds Borrowed	(IV-b-1)	-	-
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(IV-b-3)	-	-
2.5	Other Interest Expenses		-	(2)
III.	NET INTEREST INCOME (I + II)		43.772	27.577
IV.	NET FEES AND COMMISSIONS INCOME		26.527	9.694
4.1	Fees and Commissions Received		26.805	9.770
4.1.1	Non-cash Loans		1.589	519
4.1.2	Other		25.216	9.251
4.2	Fees and Commissions Paid		(278)	(76)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(278)	(76)
V.	DIVIDEND INCOME	(IV-c)	-	-
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)	10.475	6.545
6.1	Trading Gains / (Losses) on Securities		-	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		10.475	6.545
VII.	OTHER OPERATING INCOME	(IV-e)	1.185	2.883
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII)		81.959	46.699
IX.	PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)	(IV-f)	(2.272)	(1.481)
X.	OTHER OPERATING EXPENSES (-)	(IV-g)	(13.409)	(9.871)
XI.	NET OPERATING INCOME/(LOSS) (VIII+IX+X)		66.278	35.347
XII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		-	-
XIII.	GAIN / (LOSS) ON EQUITY METHOD		-	-
XIV.	GAIN / (LOSS) ON NET MONETARY POSITION		-	-
XV.	PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+...+XIV)	(IV-h)	66.278	35.347
XVI.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	(13.389)	(6.979)
16.1	Current Tax Provision		(13.300)	(7.012)
16.2	Deferred Tax Provision		(89)	33
XVII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)		52.889	28.368
XVIII.	INCOME FROM DISCONTINUED OPERATIONS		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXI.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIII.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	52.889	28.368
	Earnings/(Loss) per share		-	-

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED STATEMENT OF PROFIT AND LOSS ACCOUNTED UNDER EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY		CURRENT PERIOD 1 January - 31 December 2017	PRIOR PERIOD 1 January - 31 December 2016
I.	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS		
II.	TANGIBLE ASSETS REVALUATION DIFFERENCES	(433)	765
III.	INTANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
IV.	CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS	-	-
V.	PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)	-	-
VI.	THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES	-	-
VII.	EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS	-	-
VIII.	OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS	(53)	70
IX.	DEFERRED TAX RELATED TO VALUATION DIFFERENCES	-	(167)
X.	NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)	(486)	668
XI.	CURRENT YEAR PROFIT/LOSS	52.889	28.368
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	169	781
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-	-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-	-
1.4	Other	52.720	27.587
XII.	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	52.403	29.036

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2016**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2016 – 31/12/2016	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transacti ons Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156.914	-	-	-	-	-	1.352	(309)	11.431	39.394	(781)	-	-	-	-	208.001
II.	Corrections According to Turkish Accounting Standard No.8		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	Corrections of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	Changes in Accounting Policies		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Adjusted Beginning Balance (I + II)		156.914	-	-	-	-	-	1.352	(309)	11.431	39.394	(781)	-	-	-	-	208.001
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Marketable Securities Valuation Differences	(V-d)	-	-	-	-	-	-	-	-	-	-	612	-	-	-	-	612
VI.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Capital Increase (*)	(V-c)	43.086	-	-	-	-	-	(757)	-	-	(39.394)	-	-	-	-	-	2.935
14.1	Cash Increase		2.935	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2.935
14.2	Internal Resources		40.151	-	-	-	-	-	(757)	-	-	(39.394)	-	-	-	-	-	-
XV.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	Other		-	-	-	-	-	-	-	56	-	-	-	-	-	-	-	56
XIX.	Current Year Income or Loss		-	-	-	-	-	-	-	-	28.368	-	-	-	-	-	-	28.368
XX.	Profit Distribution	(V-a)	-	-	-	-	-	-	129	-	(11.431)	11.302	-	-	-	-	-	-
20.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.3	Other		-	-	-	-	-	-	129	-	(11.431)	11.302	-	-	-	-	-	-
	Period End Balance (I+....+XVIII)		200.000	-	-	-	-	-	724	(253)	28.368	11.302	(169)	-	-	-	-	239.972

(*) The branch has increased its capital to TL 200.000 with an increase of TL 43.086 in capital which comes TL 39.394 of it from the previous year profits, TL 757 from the reserve funds and the remaining TL 2.935 from the cash.

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	PRIOR PERIOD 01/01/2017 – 31/12/2017	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/ (Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		200.000	-	-	-	-	-	724	(253)	28.368	11.302	(169)	-	-	-	-	239.972
II.	Corrections According to Turkish Accounting Standard No.8		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	Corrections of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	Changes in Accounting Policies		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Adjusted Beginning Balance (I + II)		200.000	-	-	-	-	-	724	(253)	28.368	11.302	(169)	-	-	-	-	239.972
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Marketable Securities Valuation Differences	(V-d)	-	-	-	-	-	-	-	-	-	-	(433)	-	-	-	-	(433)
VI.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Capital Increase	(V-c)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	Other		-	-	-	-	-	-	-	(53)	-	-	-	-	-	-	-	(53)
XIX.	Current Year Income or Loss		-	-	-	-	-	-	-	-	52.889	-	-	-	-	-	-	52.889
XX.	Profit Distribution	(V-a)	-	-	-	-	-	-	(26)	-	(28.368)	28.394	-	-	-	-	-	-
20.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.3	Other		-	-	-	-	-	-	(26)	-	(28.368)	28.394	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		200.000	-	-	-	-	-	698	(306)	52.889	39.696	(602)	-	-	-	-	292.375

The accompanying explanations and notes form an integral part of these financial statements.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2017 – 31/12/2017)	PRIOR PERIOD (01/01/2016 – 31/12/2016)
A.	CASH FLOWS FROM BANKING OPERATIONS			
1.1	Operating Profit before changes in operating assets and liabilities		37.687	26.006
1.1.1	Interest received		39.358	24.422
1.1.2	Interest paid		(3.045)	(512)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		26.805	9.770
1.1.5	Other income		140	116
1.1.6	Collections from previously written-off loans and other receivables		3	762
1.1.7	Payments to personnel and service suppliers		(8.162)	(5.925)
1.1.8	Taxes paid		(14.875)	(5.239)
1.1.9	Other		(2.537)	2.612
1.2	Changes in operating assets and liabilities		431.746	156.037
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(272)	(190)
1.2.4	Net (increase) / decrease in loans		(37)	1.794
1.2.5	Net (increase) / decrease in other assets		(76)	2.398
1.2.6	Net increase in bank deposits		323.218	93.452
1.2.7	Net increase / (decrease) in other deposits		109.479	57.278
1.2.8	Net (decrease) in funds borrowed		-	-
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		(566)	1.305
I.	Net cash provided from banking operations		469.433	182.043
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	Net cash provided from investing activities		(137.876)	(78.074)
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(358)	(54)
2.4	Fixed assets sales		-	12
2.5	Cash paid for purchase of investments available-for-sale		(322.318)	(210.858)
2.6	Cash obtained from sale of investments available-for-sale		184.800	133.300
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	(474)
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	Net cash provided from financing activities		-	2.935
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	2.935
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	Effect of change in foreign exchange rate on cash and cash equivalents	(VI-a)	9.561	1.120
V.	Net increase in cash and cash equivalents (I + II + III + IV)		341.118	108.024
VI.	Cash and cash equivalents at beginning of the period	(VI-a)	275.295	167.271
VII.	Cash and cash equivalents at end of the period (V + VI)	(VI-a)	616.413	275.295

The accompanying explanations and notes form an integral part of these financial statements

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

PROFIT DISTRIBUTION TABLE FOR THE YEAR ENDED 31 DECEMBER 2017

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VII. PROFIT DISTRIBUTION TABLE

		(*) CURRENT PERIOD (01/01/2017 – 31/12/2017)	PRIOR PERIOD (01/01/2016 – 31/12/2016)
I.	DISTRIBUTION OF CURRENT YEAR INCOME		
1.1	Current Year Income	66.278	35.347
1.2	Taxes And Duties Payable (-)	(13.389)	(6.979)
1.2.1	Corporate Tax (Income tax)	(13.300)	(7.012)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties (**)	(89)	33
A.	NET INCOME FOR THE YEAR (1.1-1.2)	52.889	28.368
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+1.5))]	52.889	28.335
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	DISTRIBUTION OF RESERVES		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	EARNINGS PER SHARE		
3.1	To Owners Of Ordinary Shares	-	-
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	DIVIDEND PER SHARE		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

(*) As at date of these financial statements, profit distribution for 2016 has not yet been determined.

(**) Deferred tax income is presented under other tax and legal duties. Deferred tax income should be deducted during profit distribution, thus it is classified under extraordinary reserves.

The accompanying explanations and notes form an integral part of these financial statements

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**UNCONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As of 20 March 2017, the financial statements issued by the Headquarters of the Branch is presented below.

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	(*) CURRENT PERIOD (20 March 2017)	(**) PRIOR PERIOD (20 March 2016)
Cash and cash equivalents	640.240	755.974
Central bank	7.506.226	6.746.183
Other assets	49.237.101	46.868.828
Total Assets	57.383.567	54.370.985
Deposits	37.956.629	37.956.629
Other liabilities	17.274.639	14.372.876
Shareholders' equity	2.152.299	2.041.480
Total Liabilities	57.383.567	54.370.985
BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	(*) CURRENT PERIOD (20 March 2017)	(**) PRIOR PERIOD (20 March 2016)
Interest and investment income	7.286.802	5.654.155
Interest expense on deposits	(4.528.905)	(4.180.041)
Other expenses	(1.978.288)	(1.175.993)
Other income	1.543.732	1.865.245
Total net income	2.323.341	2.163.366
Personnel and operating expenses	(2.187.506)	(2.160.767)
Profit before tax	135.835	2.599
Taxes payables	(39.076)	(37.602)
Net Profit	96.759	(35.003)

(*) Since the financial statements for the period 1 January – 31 December 2017 have not been published, the financial statements prepared by the headquarters of the Branch dated 20 March 2017 are presented.

(**) The prior period has been revised.

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch, financial statements in accordance with “the Banking Regulation and Supervision Agency (“BRSA”) Accounting and Reporting Regulation” which includes the regulation on “The Procedures and Principles Regarding Banks’ Accounting Practices and Maintaining Documents” published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards published by the Public Oversight Accounting and Auditing Standards Authority for the matters not regulated by the aforementioned legislations.

Standard Amendments and Interpretations

Implementations of New or Revised Turkish Financial Reporting Standards and Interpretations

The amendments of TAS and TFRS which have entered into force as of 1 January 2017 have no material impact on the Branch’s accounting policies, financial position and performance. The amendments of TAS and TFRS which are published but not yet effective as of finalization date of financial statement, will have no impact on the accounting policies, financial condition and performance of the Branch.

Explanations on TFRS 9 Financial Instruments Standard

The Branch’s impairment provision for the loans and receivables is calculated in accordance with the “Regulation on the Procedures and Principles Regarding the Determination of the Qualifications of Loans and Other Receivables and Provisions for These Loans by Banks” (“Provisions Regulation”), published by the BRSA in Official Gazette No. 26333 dated 1 November 2006. The Branch will not apply the principles of TFRS 9 regarding impairment, which will be effective from 1 January 2018, as per the BRSA exception dated 5 January 2018 and numbered 32521522-101.02.02.-E.225. The Branch will calculate and recognize a provision for impairment in accordance with the “Regulation on the Procedures and Principles for Classification of Loans by Banks and Provisions to be Set Aside”, issued by the BRSA on 1 January 2018, within the scope of Clause 6 of Article 9 of the Regulation. The provision calculation method is not based on the expected loan loss model of TFRS 9 but it is based on the 10th, 11th, 13th and 15th articles of the Regulation, according to “Specific provisions accounted for by banks that do not apply TFRS 9”, until otherwise stated. In future periods, if the transaction volume and diversification of the Branch increase, it will take the actions necessary to calculate provisions for loans in accordance with TFRS 9.

Additional paragraph for convenience of translation into English:

The differences between accounting principles, as described in the preceding paragraphs, and accounting principles generally accepted in countries in which these accompanying unconsolidated financial statements are to be distributed and International Financial Reporting Standards (“IFRS”) have not been quantified in the accompanying unconsolidated financial statements. Accordingly, the accompanying unconsolidated financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2017**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch’s operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey (“CBRT”) in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2017, rates used for conversion of foreign currency balances into Turkish Lira are TL 3,7719 for USD, TL 4,5155 for Euro and TL 0,03342 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2017 and 31 December 2016, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged.

As of 31 December 2017, the Branch has no derivative instruments that qualify for hedge accounting. The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income when collected. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available- for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS: (Continued)

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the “effective yield method”.

If the collectability of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions “Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks’ Loans and Other Receivables and the Provision for These Loans and Other Receivables” as published in the Official Gazette dated 1 November 2006 with No. 26333, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expenses are deducted from the net income for the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is presented in other income.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under “loans and receivables” with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the “effective yield method”; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2017 and 31 December 2016.

d. Available-for-sale financial assets:

Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders’ equity as “Marketable securities value increase fund”, unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders’ equity are transferred to the income statement.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the “effective interest method”, or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2017 and 31 December 2016.

Securities subject to repurchase agreements (“repo”) are classified as “Fair value difference through profit or loss”, “Available-for-sale” and “Held-to-maturity” according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under “Funds Provided under Repurchase Agreements” in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the “effective interest method”.

Funds given against securities purchased under agreements (“reverse repo”) to resell are accounted under “Receivables from Reverse Repurchase Agreements” in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the “effective interest method”.

XI. ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS AND EXPLANATIONS ON OBLIGATIONS RELATED TO THESE ASSETS:

The Branch has no discontinued operations and obligations related to these assets as at the balance sheet date (31 December 2016: None).

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as of 31 December 2017 and 31 December 2016.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lives, between 3 and 5 years, on a straight-line basis. At the balance sheet date TL 240 of amortization expense (31 December 2016: TL 159).

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2017 and 31 December 2016.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of 31 December 2017 and 31 December 2016.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with “Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets” (“TAS 37”).

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a “contingent” liability exists and it is disclosed in the related notes to the financial statements.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% for the year 2017 (2016: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

The Law numbered 7061 on "Amendment of Certain Taxes and Laws and Other Acts" was published on the Official Gazette dated 5 December 2017 and numbered 30261. As amended in the clause 10 of the Law, the 20% corporate tax rate, will be applied as 22% for entities' corporate income belonging to the taxation periods of 2018, 2019 and 2020. The rate of 22% will be applicable for the provisional tax returns for the same years.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION: (Continued)

Corporations are required to pay advance corporate tax quarterly at a rate of 20% (2018, 2019, 2020: 22%) on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and 50% for immovable sales beginning from 5 December 2017, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings. Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date. According to the Law, which was approved in the Grand National Assembly on 28 November 2017 and published in the Official Gazette dated 5 December 2017, the rate of Corporate Tax for the years 2018, 2019 and 2020 was increased from 20% to 22%. Therefore, deferred tax assets and liabilities are measured at the tax rate of 22% that are expected to apply to these periods when the assets is realised or the liability is settled, based on the Law that have been enacted. For the periods 2021 and after, the reversals of temporary differences are measured by 20%.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2017 and 31 December 2016.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XX. EXPLANATIONS ON ACCEPTANCES AND AVALIED DRAFTS:

Avalied drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2017 and 31 December 2016.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned. In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. Such "bonus shares" distributions are treated as issued shares in earnings per share calculations. Accordingly, the weighted average number of shares used in these calculations is determined by taking into account the retrospective effects of such share issuances. If the issued share price increases after the balance sheet date but only because of the distribution of the bonus shares prior to the preparation date of the financial statements, the calculation of earnings per share is made considering the total new share name. Earnings per share have not been calculated since the branch is not publicly traded.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Information related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2017 are presented on the table below:

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2017					
Interest Income	12	459	46.455	-	46.926
Net Fees and Commissions Income	-	26.527	-	-	26.527
Other Operating Income and Trading Income/(Loss) (Net)	-	11.660	-	-	11.660
Operating Revenue	12	38.646	46.455	-	85.113
Interest Expense	(4)	(477)	(2.673)	-	(3.154)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.882)	(10.663)	(3.136)	-	(15.681)
Operating Expense	(1.886)	(11.140)	(5.809)	-	(18.835)
Operating Profit	(1.874)	27.506	40.646	-	66.278
	-	-	-	-	-
Profit Before Tax	-	-	-	66.278	66.278
Corporate Tax	-	-	-	(13.389)	(13.389)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	52.889	52.889
Segment Assets (*)	2.819	5.133	993.687	10.999	1.012.638
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	2.819	5.133	993.687	10.999	1.012.638
Segment Liabilities (*)	5.456	192.941	510.498	11.368	720.263
Shareholders' Equity	-	-	-	292.375	292.375
Total Liabilities	5.456	192.941	510.498	303.743	1.012.638

(*) "Segment Assets" in "Other" column amounting to TL 10.999 include tangible assets amounting to TL 8.930, intangible assets amounting to TL 452, tax assets amounting to TL 662 and other assets amounting to TL 955; "Segment Liabilities" in the "Other" column amounting to TL 11.368 include other liabilities amounting to TL 2.517, provisions amounting to TL 4.852 and tax liability amounting to TL 3.999.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2016					
Interest Income	15	2.298	25.784	-	28.097
Net Fees and Commissions Income	-	9.694	-	-	9.694
Other Operating Income and Trading Income/(Loss) (Net)	-	9.428	-	-	9.428
Operating Revenue	15	21.420	25.784	-	47.219
Interest Expense	(14)	(479)	(27)	-	(520)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.363)	(7.720)	(2.269)	-	(11.352)
Operating Expense	(1.377)	(8.199)	(2.296)	-	(11.872)
Operating Profit	(1.362)	13.221	23.488	-	35.347
	-	-	-	-	-
Profit Before Tax	-	-	-	35.347	35.347
Corporate Tax	-	-	-	(6.979)	(6.979)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	28.368	28.368
Segment Assets (*)	5.264	2.700	508.208	9.960	526.132
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	5.264	2.700	508.208	9.960	526.132
Segment Liabilities (*)	6.768	33.176	237.356	8.860	286.160
Shareholders' Equity	-	-	-	239.972	239.972
Total Liabilities	6.768	33.176	237.356	248.832	526.132

(*) "Segment Assets" in "Other" column amounting to TL 9.960 include tangible assets amounting to TL 8.226, intangible assets amounting to TL 388, tax assets amounting to TL 698 and other assets amounting to TL 648; "Segment Liabilities" in the "Other" column amounting to TL 8.860 include other liabilities amounting to TL 1.503, provisions amounting to TL 3.749 and tax liability amounting to TL 3.608.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2016 financial statements in order to be in conformity with the financial statements as of 31 December 2017.

XXVIII. OTHER INFORMATION

None.

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SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON SHAREHOLDERS ‘EQUITY:

Total capital and capital adequacy ratio have been calculated in accordance with the “Regulation on Equity of Banks” and “Regulation on Measurement and Assessment of Capital Adequacy of Banks”.

The capital adequacy ratio of the Branch is 62,83% (31 December 2016: 80,21%)

	31 December 2017	Amount for application before 1/1/2014
Common Equity Tier I Capital	293.283	
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	698	
Gains reflected to equity according to Turkish Accounting Standards (TAS)		
Profit	92.585	
Current Period Profit	52.889	
Prior Period Profit	39.696	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-	
Minority Interest	-	
Common Equity Tier I Capital Before Deductions	293.283	
Deductions From Common Equity Tier I Capital		
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital	-	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(908)	-
Leasehold Improvements on Operational Leases (-)	-	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	(362)	(362)
Net Deferred Tax Asset/Liability (-)	(530)	-
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	-	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-
Other items to be Defined by the BRSA (-)	-	-

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2017	Amount for application before 1/1/2014
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-	-
Total Deductions from Common Equity Tier I Capital	(1.800)	-
Total Common Equity Tier I Capital	291.483	-
ADDITIONAL TIER I CAPITAL		
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	-
Third parties' shares in additional main capital	-	-
The shares of third parties in additional main capital (those under Temporary Article 3)	-	-
Additional Tier I Capital before Deductions	-	-
Deductions from Additional Tier I Capital		
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period		
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(90)	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(132)	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	-	-
Total Deductions from Additional Tier I Capital	(222)	-
Total Additional Tier I Capital	-	-
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	291.261	-
TIER II CAPITAL		
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	-
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	2.159	-
Total Deductions from Tier II Capital	2.159	-
Deductions from Tier II Capital		
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2017	Amount for application before 1/1/2014
Total Deductions from Tier II Capital	-	-
Total Tier II Capital	2.159	-
Total Equity (Total Tier I and Tier II Capital)	293.420	-
Total Tier I Capital and Tier II Capital (Total Equity)		
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-	-
Other items to be Defined by the BRSA (-)	-	-
Items to be Deducted from the Sum of Tier I and Tier II Capital (Capital) During the Transition Period	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-	-
CAPITAL		
Total Capital (Total of Tier I Capital and Tier II Capital)	293.420	-
Total Risk Weighted Assets	467.013	-
CAPITAL ADEQUACY RATIOS		
CET1 Capital Ratio (%)	62,41	-
Tier I Capital Ratio (%)	62,37	-
Capital Adequacy Ratio (%)	62,83	-
BUFFERS		
Bank-specific total CET1 Capital Ratio	-	-
Capital Conservation Buffer Ratio (%)	1,25	-
Bank-specific Counter-Cyclical Capital Buffer Ratio (%)	-	-
Additional CET1 Capital Over Total Risk Weighted Assets Ratio Calculated According to the Article 4 of Capital Conservation and Counter-Cyclical Capital Buffers Regulation	-	-
Amounts Lower Than Excesses as per Deduction Rules		
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-	-
Remaining Mortgage Servicing Rights	-	-
Net Deferred Tax Assets arising from Temporary Differences	-	-
Limits for Provisions Used in Tier II Capital Calculation		
General Loan Provisions for Exposures in Standard Approach (before limit of one hundred and twenty five per ten thousand)	-	-
General Loan Provisions for Exposures in Standard Approach Limited by 1.25% of Risk Weighted Assets	2.159	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach, Limited by 0.6% Risk Weighted Assets	-	-
Debt Instruments Covered by Temporary Article 4 (effective between 1.1.2018-1.1.2022)		
Upper Limit for Additional Tier I Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier I Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-
Upper Limit for Additional Tier II Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier II Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2016
Common Equity Tier I Capital	240.394
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000
Share Premium	-
Share Cancellation Profits	-
Reserves	724
Other Comprehensive Income according to TAS	-
Profit	39.670
Current Period Profit	28.368
Prior Period Profit	11.302
General Reserves for Possible Losses	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	240.394
Deductions From Common Equity Tier I Capital	
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(422)
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	-
Net Deferred Tax Asset/Liability (-)	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	(233)
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	(419)
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	(1.074)
Total Common Equity Tier I Capital	239.320
ADDITIONAL TIER I CAPITAL	
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	
Deductions from Additional Tier I Capital	
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

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I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2016
Deductions from Tier I Capital	(434)
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(155)
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(279)
Total Tier I Capital	238.886
General Provisions	1.797
Tier II Capital before Deductions	1.797
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	1.797
CAPITAL BEFORE DEDUCTIONS	240.683
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	240.683
Amounts lower than Excesses as per Deduction Rules	-
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

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BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

b. Reconciliation of capital items to balance sheet:

Current Period	Carrying value	Amount of correction	Value of the capital report	Explanation of differences
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	(602)	-	(602)	
Securities Value Increase Fund	(602)	-	(602)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Reserves (Effective Portion)	-	-	-	
Revaluation Surplus on Assets Held for Sale and Assets of Discontinued Operations	-	-	-	
Other Capital Reserves	(306)	-	(306)	
Bonus Shares of Associates, Affiliates and Joint-Ventures	-	-	-	
Share Premium	-	-	-	
Profit Reserves	698	-	698	
Profit or Loss	92.585	-	92.585	
Prior Periods Profit/Loss	39.696	-	39.696	
Current Period Net Profit/Loss	52.889	-	52.889	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(892)		(892)	
Common Equity Tier I Capital	291.483		291.483	

Current Period	Carrying value	Amount of correction	Value of the capital report	Explanation of differences
Subordinated Debts			-	
Deductions from Tier I Capital (-)			(222)	
Tier I Capital			-	
Subordinated Debts			-	
General Provisions			2.159	
Deductions from Tier II Capital (-)			-	
Tier II Capital			2.159	
Deductions from Total Capital (-)			(222)	
Total			293.420	

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BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

Prior Period	Carrying value	Amount of correction	Value of the capital report	Explanation of differences
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	(169)	-	(169)	
Securities Value Increase Fund	(169)	-	(169)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Reserves (Effective Portion)	-	-	-	
Revaluation Surplus on Assets Held for Sale and Assets of Discontinued Operations	-	-	-	
Other Capital Reserves	(253)	-	(253)	
Bonus Shares of Associates, Affiliates and Joint-Ventures	-	-	-	
Share Premium	-	-	-	
Profit Reserves	724	-	724	
Profit or Loss	39.670	-	39.670	
Prior Periods Profit/Loss	11.302	-	11.302	
Current Period Net Profit/Loss	28.368	-	28.368	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(652)		(652)	
Common Equity Tier I Capital	239.320		239.320	

Prior Period	Carrying value	Amount of correction	Value of the capital report	Explanation of differences
Subordinated Debts			-	
Deductions from Tier I Capital (-)			(434)	
Tier I Capital			-	
Subordinated Debts			-	
General Provisions			1.797	
Deductions from Tier II Capital (-)			-	
Tier II Capital			1.797	
Deductions from Total Capital (-)			(434)	
Total			240.683	

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BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS ‘EQUITY (Continued)

**c. Approaches applied to assess the adequacy of internal capital requirement in terms of
current and future activities**

The Branch prepares 'Internal Capital Assessment Process' document on the basis of 'Risk Management Policies and Implementation Procedures' approved by the Board of Managers on November 27, 2012 and updated on November 20, 2017. It has been aimed to determine the needed capital size in the period of next one year by evaluating and calculating effectively all risks that Branch will be met due to this document. Branch prepared taking into account the latest information 2015 “2016, 2017, 2018 Internal Capital Requirement Analysis” March 30, 2016, No. 7 was accepted by the Board of Managers. Branch prepared taking into account the latest information 2016 “2017, 2018, 2019 Internal Capital Requirement Analysis” March 31, 2017, No. 13 was accepted by the Board of Managers.

In the Analysis of Internal Capital Requirement, the Branch's activities and services, the main and sub-risk elements that may be exposed to them and the current legal capital requirement are analyzed based on the recent developments over the financial data of the previous year and the forecasts and anticipations calculated for the next three years of operation within the scope of the scenario submitted by BRSA. Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are included in the calculation of internal capital requirements for these risks has been placed. It has been considered credit risk (in general, country), market risk (currency and interest rate) and operational risk in addition to banking accounts that cannot quantify with re-pricing risk with reputational risk.

II. EXPLANATIONS ON CREDIT RISK:

- a.** The branch tries to reduce credit risk by classifying the credibility with high banks and financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased after 2014.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department of the Branch.

- b.** At 31 December 2017, the Branch has no forward and option contracts or any other similar agreements.
- c.** At 31 December 2017, the Branch has been faced with an insignificant amount of credit risk exposure.
- d.** The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK: (Continued)

- e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.
- f. The Branch is not active in international banking market.
- g.
 - 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2016: 100%).
 - 2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2016: 100%).
 - 3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 1,67% (31 December 2016: 2,50%).
- h. The general loan loss provision amount provided for credit risk is TL 2.159 (31 December 2016: TL 1.797).

Exposure Categories (Current Year)	Current Period Risk Amount (*)	Current Period Average Risk Amount (**)
Conditional and unconditional receivables from central governments or central banks	221.283	160.181
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	763.224	632.525
Conditional and unconditional receivables from corporates	3.138	1.420
Conditional and unconditional retail receivables	4.350	3.419
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	8.706	5.552
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	1.237	876
Other items	36.421	37.363
Total	1.038.359	841.336

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

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II. EXPLANATIONS ON CREDIT RISK (Continued)

Exposure Categories (Current Year)	Current Period Risk Amount (*)	Current Period Average Risk Amount (**)
Conditional and unconditional receivables from central governments or central banks	127.116	150.734
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	350.561	256.734
Conditional and unconditional receivables from corporates	6.400	8.631
Conditional and unconditional retail receivables	498	848
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	4.451	4.417
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	654	655
Other items	22.077	23.490
Total	511.757	445.509

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to “the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks”.

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II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

	Exposure Categories (*)																
	Conditional and unconditional receivables from central governments or central banks	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from corporates	Conditional and unconditional retail receivables	Conditional and unconditional receivables secured by mortgages	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgages	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	Total
31 December 2017																	
Current Period																	
1. Domestic	221.283	-	-	-	-	592.437	3.138	4.135	-	8.706	-	-	-	-	-	36.421	866.120
2. European Union (EU)	-	-	-	-	-	126.319	-	-	-	-	-	-	-	-	-	-	126.319
3. OECD Countries (**)	-	-	-	-	-	34	-	-	-	-	-	-	-	-	-	-	34
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	1.491	-	-	-	-	44.180	-	215	-	-	-	-	-	-	-	-	45.886
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	222.774	-	-	-	-	762.970	3.138	4.350	-	8.706	-	-	-	-	-	36.421	1.038.359

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.

(**) Includes OECD countries other than EU countries, USA and Canada

(***) Includes asset and liability items that can not be allocated on a consistent basis.

	Exposure Categories (*)																
	Conditional and unconditional receivables from central governments or central banks	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from corporates	Conditional and unconditional retail receivables	Conditional and unconditional receivables secured by mortgages	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgages	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	Total
31 December 2016																	
Prior Period																	
1. Domestic	126.021	-	-	-	-	321.520	7.700	490	-	7.332	-	-	-	-	-	22.731	485.794
2. European Union (EU)	-	-	-	-	-	482	-	-	-	-	-	-	-	-	-	-	482
3. OECD Countries (**)	-	-	-	-	-	28	-	-	-	-	-	-	-	-	-	-	28
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	-	25.173	256	24	-	-	-	-	-	-	-	-	25.453
7. Associates, Subsidiaries and Joint – Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	126.021	-	-	-	-	347.203	7.956	514	-	7.332	-	-	-	-	-	22.731	511.757

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.

(**) Includes OECD countries other than EU countries, USA and Canada

(***) Includes asset and liability items that can not be allocated on a consistent basis.

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

	Exposure Categories (*)																		
	Conditional and unconditional receivables from central governments or central	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional retail receivables	Conditional and unconditional receivables secured by mortgages	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgages	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	TL	FC	Total
Current Period																			
Agriculture	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	2	-	1.325	-	-	-	-	-	-	1.327	-	1.327
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	2	-	1.325	-	-	-	-	-	-	1.327	-	1.327
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	571	-	-	-	-	-	-	-	-	571	-	571
Services	127.138	-	-	-	-	593.636	4.629	2.950	-	7.016	-	-	1.237	-	-	-	509.203	227.403	736.606
Wholesale and Retail Trade	-	-	-	-	-	-	4.491	2.833	-	7.016	-	-	-	-	-	-	9.914	4.426	14.340
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	-	138	87	-	-	-	-	-	-	-	100	125	225
Financial Institutions	127.138	-	-	-	-	593.636	-	-	-	-	-	-	1.237	-	-	-	499.159	222.852	722.011
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	30	-	-	-	-	-	-	-	-	30	-	30
Others	94.145	-	-	-	-	168.097	-	827	-	257	-	-	-	-	-	36.421	25.744	274.003	299.747
Total	221.283	-	-	-	-	761.733	4.629	4.350	-	8.706	-	-	1.237	-	-	36.421	536.953	501.406	1.038.359

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

	Exposure Categories ^(*)																		
	Conditional and unconditional receivables from central governments or central	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional retail receivables	Conditional and unconditional receivables secured by mortgages	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgages	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	TL	FC	Total
Prior Period																			
Agriculture	-	-	-	-	-	-	-	-	-	107	-	-	-	-	-	-	107	-	107
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	107	-	-	-	-	-	-	107	-	107
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	1.698	-	-	-	-	-	-	-	-	-	698	1.000	1.698
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	1.698	-	-	-	-	-	-	-	-	-	698	1.000	1.698
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	1.621	-	-	257	-	-	-	-	-	-	1.878	-	1.878
Services	-	-	-	-	-	346.986	4.606	-	-	375	-	-	-	-	-	22.731	221.166	153.533	374.698
Wholesale and Retail Trade	-	-	-	-	-	-	4.108	-	-	375	-	-	-	-	-	-	4.108	375	4.483
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	458	-	-	-	-	-	-	-	-	-	64	394	458
Financial Institutions	-	-	-	-	-	346.986	-	-	-	-	-	-	-	-	-	22.731	216.953	152.764	369.717
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	40	-	-	-	-	-	-	-	-	-	40	-	40
Others	126.021	-	-	-	-	217	31	514	-	6.593	-	-	-	-	-	-	92.587	40.789	133.376
Total	126.021	-	-	-	-	347.203	7.956	514	-	7.332	-	-	-	-	-	22.731	316.435	195.322	511.757

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

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BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

31 December 2017	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	-	19.429	40.687	40.111
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	178.966	118.172	71.813	18.401	-
Conditional and unconditional receivables from corporates	68	-	-	-	-
Conditional and unconditional retail receivables	85	215	16	1.442	2.154
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	179.119	118.387	91.258	60.530	42.265

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Credit risk amounts which have no maturities do not comprise in the table.

31 December 2016	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	5.087	14.789	-	40.250
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	54.451	117.830	65.032	1	-
Conditional and unconditional receivables from corporates	492	632	1.020	1.551	47
Conditional and unconditional retail receivables	-	25	3	87	215
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	54.943	123.574	80.844	1.639	40.512

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

(**) Credit risk amounts which have no maturities do not comprise in the table.

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II. EXPLANATIONS ON CREDIT RISK (Continued)

l. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Current Period Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	243.743	-	486.711	41.224	-	256.920	458	-	-	-
Exposures after Credit Risk Mitigation	244.184	-	486.711	41.224	-	256.479	458	-	-	-

Prior Period Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	99.047	-	159.159	78.387	-	174.949	215	-	-	-
Exposures after Credit Risk Mitigation	100.689	-	159.159	78.387	-	173.307	215	-	-	-

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue up to 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

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BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

31 December 2017	Credits		Value	
	Impaired	Past Due	Adjustments	Provisions(**)
	Credits	Credits	(*)	
Agriculture	108	-	-	108
Farming and Stockbreeding	108	-	-	108
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	1.325	-	-	362
Mining and Quarrying	-	-	-	-
Production	1.325	-	-	362
Electricity, Gas and Water	-	-	-	-
Construction	-	-	-	-
Services	6.614	-	-	2.627
Wholesale and Retail Trade	6.614	-	-	2.627
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	258	-	-	75
Total	8.305	-	-	3.172

(*) The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

(***) The figures represent the non-cash loan risk is not included in the related table.

31 December 2016	Credits		Value	
	Impaired	Past Due	Adjustments	Provisions(**)
	Credits	Credits	(*)	
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	6.699	-	-	2.712
Services	-	-	-	-
Wholesale and Retail Trade	-	-	-	-
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	258	1.545	-	105
Total	6.957	1.545	-	2.817

(*) The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

(***) The figures represent the non-cash loan risk is not included in the related table.

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BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

o. Movements in value adjustments and provisions:

Current Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	2.787	388	(3)	-	3.172
General Provisions	1.797	1.281	(919)	-	2.159

Prior Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	3.156	107	(476)	-	2.787
General Provisions	2.287	1.374	(1.864)	-	1.797

III. EXPLANATIONS ON CURRENCY RISK:

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method"

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 Japanese Yen	U.A.E. Dirham
As of 29 December 2017	3,7719	4,5155	3,3421	1,02780
As of 28 December 2017	3,8197	4,5385	3,3659	1,04090
As of 27 December 2017	3,8029	4,5116	3,3482	1,03640
As of 26 December 2017	3,8087	4,5205	3,3546	1,03800
As of 25 December 2017	3,8113	4,5171	3,3538	1,03870

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD	3,8457
Euro	4,5541
100 Japanese Yen	3,3992
U.A.E. Dirham	1,04799

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

III. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2017				
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	45.938	64.203	225	110.366
Banks	360.011	26.239	98	386.348
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	-
Loans and Receivables	1.486	-	-	1.486
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	301	-	-	301
Total Assets	407.736	90.442	323	498.501
Liabilities				
Bank Deposits	198.964	62.845	3	261.812
Foreign Currency Deposits	183.976	9.943	500	194.419
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	59	44	-	103
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	54	359	-	413
Total Liabilities	383.053	73.191	503	456.747
Net On-Balance Sheet Position	24.683	17.251	(180)	41.754
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	2.658	443	-	3.101
31 December 2016				
Total Assets	136.862	69.531	307	206.700
Total Liabilities	121.040	54.836	496	176.372
Net On-Balance Sheet Position	15.822	14.695	(189)	30.328
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	419	370	-	789

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. As of 31 December 2017, the Branch has no foreign currency indexed loans (December 31, 2016: None) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 1.291 (31 December 2016: TL 32) has also not been included in the table above. The provision was determined for non-cash loan in the amount of TL 100 (31 December 2016: TL 94).

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IV. EXPLANATIONS ON INTEREST RATE RISK

“Interest rate risk” is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2017	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	79.566	-	-	-	-	53.842	133.408
Banks	96.861	33.545	2.724	-	-	350.385	483.515
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	106.003	87.221	142.674	40.111	-	755	376.764
Loans and Receivables	1.514	215	624	466	-	5.133	7.952
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (*)	-	-	-	-	-	10.999	10.999
Total Assets	283.944	120.981	146.022	40.577	-	421.114	1.012.638
Liabilities							
Bank Deposits	120.120	9.968	-	-	-	380.410	510.498
Other Deposits	21	-	-	-	-	197.726	197.747
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	650	650
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (**)	1.093	-	83	-	-	302.567	303.743
Total Liabilities	121.234	9.968	83	-	-	881.353	1.012.638
Balance Sheet Long Position	162.710	111.013	145.939	40.577	-	-	460.239
Balance Sheet Short Position	-	-	-	-	-	(460.239)	(460.239)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	162.710	111.013	145.939	40.577	-	(460.239)	-

(*) “Other Assets” line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(**) Shareholders’ equity is presented under “Other liabilities” item in the “Non interest bearing” column.

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IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2016	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	56.837	-	-	-	-	18.075	74.912
Banks	47.742	21.699	-	-	-	131.294	200.735
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	22.910	87.862	80.418	40.716	-	655	232.561
Loans and Receivables	353	652	2.574	215	-	4.170	7.964
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (*)	12	-	-	-	-	9.948	9.960
Total Assets	127.854	110.213	82.992	40.931	-	164.142	526.132
Liabilities							
Bank Deposits	-	9.973	-	-	-	177.337	187.310
Other Deposits	806	-	868	-	-	86.607	88.281
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	1.709	1.709
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (**)	617	-	9	-	-	248.206	248.832
Total Liabilities	1.423	9.973	877	-	-	513.859	526.132
Balance Sheet Long Position	126.431	100.240	82.115	40.931	-	-	349.717
Balance Sheet Short Position	-	-	-	-	-	(349.717)	(349.717)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	126.431	100.240	82.115	40.931	-	(349.717)	-

(*) “Other Assets” line includes Tangible Assets, Deferred Tax Assets, and Other Assets.

(**) Shareholders’ equity is presented under “Other liabilities” item in the “Non interest bearing” column.

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BRANCH (Continued)**

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2017	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash and Central Bank of Turkey	-	1,29	-	3,94
Banks and Other Institutions	1,01	2,50	-	10,32
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	13,27
Loans and Receivables	8,00	-	-	13,57
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	5,89
Other Deposits	-	-	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2016	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash and Central Bank of Turkey	-	0,49	-	4,90
Banks and Other Institutions	0,50	1,40	-	8,56
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	10,74
Loans and Receivables	9,00	-	-	16,08
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	0,25	-	4,50
Other Deposits	0,25	0,75	-	4,30
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

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IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to “Regulation on Equities of Banks” published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank’s net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch’s balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank’s net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank’s net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank’s operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank’s net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

The interest rate risk resulting from the banking book is measured legally as per the “Regulation on Measurement and Evaluation of Interest Rate Risk Resulting from Banking Book as per Standard Shock Method”. Economic value differences arising from interest rate fluctuations table is prepared in accordance with “Standard Shock Method” and presented as below.

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V EXPLANATIONS ON POSITION RISK OF EQUITY SECURITIES IN BANKING BOOK:

Position risk of equity shares on banking book

- a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

The branch does not have stocks that are not traded on the stock exchange.

- b) For balance sheet values of equity investments, fair value and for those traded on the stock exchange, the comparison with the market price if the market value differs significantly from the fair value:

31 December 2017		Comparison		
	Equity Investments	Carrying Value	Fair Value	Market Value
1	Securities Available for Sale	755	755	-
	Traded on Stock Exchange	755	755	-
2	Associates	-	-	-
	Traded on Stock Exchange	-	-	-
3	Subsidiaries	-	-	-
	Traded on Stock Exchange	-	-	-

31 December 2016		Comparison		
	Equity Investments	Carrying Value	Fair Value	Market Value
1	Securities Available for Sale	654	654	-
	Traded on Stock Exchange	654	654	-
2	Associates	-	-	-
	Traded on Stock Exchange	-	-	-
3	Subsidiaries	-	-	-
	Traded on Stock Exchange	-	-	-

- c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital

None.

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VI. EXPLANATIONS ON LIQUIDITY RISK:

The liquidity risk of the Branch is the risk of being unable to fulfill its payment obligations on time due to not having enough cash sources or cash inflows to finance its cash outflows fully and on time due to cash flow instabilities. It has been evaluated in two main categories:

Funding Liquidity Risk: It is a kind of risk which does not meet the any unexpected loss and non defaulting debts and liabilities.

Market Liquidity Risk: It is a kind of risk which consists of the position that cannot be sold without affecting market price due to insufficient market depth or market conditions' deterioration or that cannot be completed with the position of market price for any reasons.

a. Information on liquidity risk management, including the risk capacity of the branch, the responsibilities and structure of the liquidity risk management, the reporting of the liquidity risk within the bank, the liquidity risk strategy, and how the policies and practices are communicated to the board and lines of business:

The applications and responsibilities related to the liquidity risk has been determined according to the Treasury Liquidity and Market Management Policies and Practices approved by Board of Managers. The Branch's liquidity policy is to own sufficient liquidity reserve and opportunities to meet its liabilities even in cases of stress, resulting from the market conditions or other conditions specific to the Branch.

Branch has a high risk coverage ratio due to its capital and asset / liability structure. The liquidity coverage ratio of the Branch which is able to meet the cash outflows with high quality liquid asset stake is considered to be well above the market averages and quite high. There are also ready-to-use limits for the CBRT

In the daily / weekly / periodically structured meetings of the Assets and Liabilities Committee and the Risk Committee attended by the senior management, the indicators related to the liquidity status are examined and the liquidity risk is addressed. In addition, the Board of Managers is informed through the regular reports prepared by the Risk Management Department and the Audit Committee.

For liquidity risk management, the Risk Management Unit monitors the funding and liquidity risk, market conditions, the distribution of accounts in different foreign currency types, the maturity structure, costs and expected future cash flow obligations.

The Risk Management Unit monitors the limits on liquidity risk determined by the Board of Managers. In addition to these, the Risk Management Unit implements periodic liquidity stress tests to measure the effects of adverse scenarios on the liquidity situation of the Branch. The Fund Management Department manages the funding and liquidity risk to prevent inadequate funding at any time or any source and regularly reports on the liquidity position of the Assets and Liabilities Committee and the Branch's liquidity position. The General Accounting Unit Financial Reporting Service monitors the liquidity coverage ratio and regularly reports to the BRSA.

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
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VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

b. Information on the centralization degree of liquidity management and funding strategy and the functioning between the Bank and the Bank's subsidiaries:

The Branch's liquidity management is performed by the Asset and Liability Management. The branch has no subsidiary subject to consolidation.

c. Information on the Bank's funding strategy including the policies on funding types and variety of maturities:

Branch spread to the base of demand current and time deposit accounts and that a stable, long-term diversification and aims to be the source of the funds used. Ratio of liquid assets to total assets ratio and risk indicators related to liquidity, credit and the ratio of funds, issues such as the concentration in provided funds are being closely monitored.

ç. Information on liquidity management on the basis of currencies constituting a minimum of five percent of the Branch's total liabilities:

The total liabilities of branches are in Turkish Lira, Euro or US Dollar, and GBP and Iranian Riyal are in foreign currency. TL liquidity of the branch is managed by cash and cash convertible securities held by CBRT and Banks. TL assets are used for funding TL assets and FC liabilities are used for funding of FX assets. Foreign currency funds are provided from foreign currency denominated borrowings and foreign bank deposits held in our Branch. Foreign currency liquidity is held in correspondent bank accounts within limits.

d. Information on liquidity risk mitigation techniques:

Liquidity risk is mitigated by using techniques such as maintaining high quality liquid asset buffer to cover possible fund outflows, diversification of funding sources so far as possible and inclusion to the base, homogenizing the maturity distribution of repayments as far as possible, obtaining limits from funding institutions to use when necessary and ensuring that a determined portion of funding sources are comprised of deposits. In addition, core deposit analysis is performed and concentration on collected funds are closely monitored.

e. Information on the use of stress tests:

In order to analyze the source of the possible liquidity insufficiencies and whether comfortably move exists on existing off-balance sheet and balance sheet positions relevant with liquidity risk expectation, The scenarios are implemented by Risk Management Directorate and 3 types liquidity stress tests are prepared by Banking Regulation and Supervision Agency (BRSA). These includes stress test scenarios are special to the Branch, related with the overall market or scenarios take in consideration both of the situations. Stress tests related with liquidity risk are repeated at monthly periods. Results are tracked with key risk indicators and monitored by Senior Management.

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VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

f. General information on urgent and unexpected liquidity situation plans:

Necessary strategy and procedures for the management of possible liquidity crisis are determined with the Liquidity Contingency Plan, which is approved and reviewed by the Board of Managers. The plan ultimately aims to protect current and participating account holders, lenders and shareholders. The basic indicators of the Liquidity Emergency Action Plan have been identified, and if the unexpected developments in the liquidity situation or other indicators are triggered, the plan is put into practice. The Risk Committee is responsible for monitoring the plan, and the Asset and Liability Committee is responsible for its implementation.

Analysis of financial liabilities by remaining contractual maturities:

The following table is prepared before the Branch's liabilities are undiscounted and based on the earliest date to the payment.

31 December 2017	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	698.749	-	10.015	-	-	708.764
Borrowings	-	-	-	-	-	-
Total	698.749	-	10.015	-	-	708.764

31 December 2016	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	264.750	10.012	874	-	-	275.636
Borrowings	-	-	-	-	-	-
Total	264.750	10.012	874	-	-	275.636

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BRANCH (Continued)**

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (*)	Total
31 December 2017								
Assets								
Cash and the Central Bank of the Republic of Turkey	21.984	111.424	-	-	-	-	-	133.408
Banks	350.385	96.861	33.545	2.724	-	-	-	483.515
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-	-
Available-for-sale Financial Assets	-	106.003	87.221	142.674	40.111	-	755	376.764
Loans and Receivables	-	1.514	215	624	466	-	5.133	7.952
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets ⁽¹⁾	-	-	-	284	-	-	10.715	10.999
Total Assets	372.369	315.802	120.981	146.306	40.577	-	16.603	1.012.638
Liabilities								
Bank Deposits	380.410	120.120	9.968	-	-	-	-	510.498
Other Deposits	197.726	21	-	-	-	-	-	197.747
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	650	-	-	-	-	-	-	650
Other Liabilities ^(**)	-	1.093	-	83	-	-	302.567	303.743
Total Liabilities	578.786	121.234	9.968	83	-	-	302.567	1.012.638
Net Liquidity Gap	(206.417)	194.568	111.013	146.223	40.577	-	(285.964)	-
31 December 2016								
Total Assets	145.134	132.089	110.213	83.196	40.931	-	14.569	526.132
Total Liabilities	265.653	1.423	9.973	877	-	-	248.206	526.132
Net Liquidity Gap	(120.519)	130.666	100.240	82.319	40.931	-	(233.637)	-

(*) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(**) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

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VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Leverage Ratio:

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below. As of 31 December 2017, the leverage ratio calculated by three-month average amounts is 28,94% (31 December 2016: 41,33%).

		Current Period (*)	Prior Period (*)
On-balance sheet assets			
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)	983.759	562.221
2	(Assets deducted in determining Tier I capital)	(1.074)	(1.113)
3	Total on-balance sheet risks (sum of lines 1 and 2)	982.685	561.108
Derivative financial instruments and credit derivatives		-	-
4	Replacement cost associated with all derivative instruments and credit derivatives	-	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-	-
Securities or commodity financing transactions (SCFT)		-	-
7	Risks from SCFT assets (excluding on-balance sheet)	-	-
8	Risks from brokerage activities related exposures	-	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-	-
Other off-balance sheet transactions		-	-
10	Gross notional amounts of off-balance sheet transactions	8.848	5.466
11	(Adjustments for conversion to credit equivalent amounts)	-	-
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	8.848	5.466
Capital and total risks			
13	Tier I capital	286.819	234.174
14	Total risks (sum of lines 3, 6, 9 and 12)	991.533	566.574
Leverage ratio			
15	Leverage ratio	28,94	41,33

(*) Amounts in the table are three-month average amounts.

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VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Liquidity Coverage Ratio

Current Period	Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
	TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets			214.029	102.867
1 Total high-quality liquid assets (HQLA)	214.029	102.867	214.029	102.867
Cash Outflows				
2 Retail deposits and deposits from small business customers	6.162	6.027	469	460
3 Stable deposits	2.954	2.843	148	142
4 Less stable deposits	3.208	3.184	321	318
5 Unsecured wholesale funding	639.862	449.194	521.901	348.916
6 Operational deposits	927	926	232	232
7 Non-operational deposits	195.444	165.973	78.178	66.389
8 Unsecured funding	443.491	282.295	443.491	282.295
9 Secured wholesale funding			-	-
10 Other cash outflows of which:	-	-	-	-
11 Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12 Outflows related to restructured financial instruments	-	-	-	-
13 Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14 Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15 Other irrevocable or conditionally revocable off-balance sheet obligations	7.630	2.148	884	336
16 Total Cash Outflows			523.254	349.712
Cash Inflows				
17 Secured receivables	-	-	-	-
18 Unsecured receivables	-	-	-	-
19 Other cash inflows	434.526	374.680	434.526	374.680
20 Total Cash Inflows	434.526	374.680	434.526	374.680
21 Total HQLA			214.029	102.867
22 Total Net Cash Outflows			130.813	87.428
23 Liquidity Coverage Ratio (%)			163,90	117,66

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages.

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2017.

Current Period	Highest	Date	Lowest	Date	Average
TL+FC	189,13	10.10.2017	139,43	23.10.2017	164,07
FC	138,97	26.12.2017	96,11	23.10.2017	117,58

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
Prior Period		TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets				108.637	31.873
1	Total high-quality liquid assets (HQLA)	131.121	46.511	108.637	31.873
Cash Outflows					
2	Retail deposits and deposits from small business customers	7.610	6.857	572	523
3	Stable deposits	3.792	3.253	190	163
4	Less stable deposits	3.818	3.604	382	360
5	Unsecured wholesale funding	313.718	147.430	248.295	120.555
6	Operational deposits	2.198	2.039	550	510
7	Non-operational deposits	106.292	42.243	42.517	16.897
8	Unsecured funding	205.228	103.148	205.228	103.148
9	Secured wholesale funding			-	-
10	Other cash outflows of which:	-	-	-	-
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	4.466	1.202	551	218
16	Total Cash Outflows			249.418	121.297
Cash Inflows					
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	263.492	133.404	263.492	133.404
20	Total Cash Inflows	263.492	133.404	263.492	133.404
21	Total HQLA			108.637	31.873
22	Total Net Cash Outflows			64.805	30.324
23	Liquidity Coverage Ratio (%)			168,13	98,39

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages.

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2016.

Prior Period	Highest	Date	Lowest	Date	Average
TL+FC	254,54	01.11.2016	96,45	07.10.2016	174,12
FC	133,37	30.12.2016	71,80	18.10.2016	100,64

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VII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The estimated fair value of demand deposits refers to the amount to be paid on demand. Estimated fair value of fixed rate deposits is calculated by using discounted cash flow using market interest rates applied to similar loans and other debts.

Fair values of loans are calculated discounting future cash flows at current market interest rates for fixed rate loans. The carrying values of floating-rate loans are deemed an approximation for their fair values.

The table summarizes the book value and fair value of the financial assets and liabilities that were not accounted by the values in Bank's financial statements. Book value is the sum of the acquisition value and accumulated profit share accruals.

	Carrying Value		Fair Value	
	31 December 2017	31 December 2016	31 December 2017	31 December 2016
Financial Assets	868.231	441.260	868.231	441.260
Interbank Money Market Placements	-	-	-	-
Banks	483.515	200.735	483.515	200.735
Financial Assets Available-for-Sale	376.764	232.561	376.764	232.561
Loans (*)	7.952	7.964	7.952	7.964
Financial Liabilities	708.895	277.300	708.895	277.300
Bank Deposits	309.411	187.310	309.411	187.310
Other Deposits	398.834	88.281	398.834	88.281
Miscellaneous Payables	650	1.709	650	1.709

(*) It is observed that the fair value approximates to the recorded value.

TFRS 7 the standard of "Financial Instruments: Disclosures" requires to be classified according to certain levels, with items presented with fair values on the financial statements. These levels are based on the observability of the data used to calculate the fair value. The classification of the fair value is as follows:

**VIII. EXPLANATIONS ON THE ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF
OTHER PERSONS**

The Branch does not perform purchases, sales and custody services in the name of others. The Branch has no fiduciary based transactions.

IX. EXPLANATIONS ON RISK MANAGEMENT

Risk Management System refers to the Board of Managers, the Audit Committee, the Risk Management Committee and the Risk Management Department which has been composed in order to manage systemic risks that the Branch is exposed. Board of Managers is the owner of the Branch's Risk Management System and ensures the establishment of an effective, sufficient and appropriate risk management system as well as the continuity of the system. The main objective of the Branch's Risk Management System is to identify, measure, monitor and control the risks that the Branch is exposed to, by determining the policies, limits and procedures to control, to monitor, and if necessary to change the risk-return structure of the Branch's future cash flows and the level & the quality of related activities.

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a. Explanation on risk management and risk weighted amounts:

1. Risk weighted amounts:

	Overview of Risk Weighted Amounts	Risk Weighted Amounts		Minimum Capital Requirements
		Current Period	Prior Period	Current Period
1	Credit risk (excluding counterparty credit risk) (CCR)	374.365	244.001	29.949
2	Of which standardised approach (SA)	374.365	244.001	29.949
3	Of which internal rating-based (IRB) approach	-	-	-
4	Counterparty credit risk	-	-	-
5	Of which standardised approach for counterparty credit risk (SA-CCR)	-	-	-
6	Of which internal model method (IMM)	-	-	-
7	Equity position in banking book under basic risk weighting or internal rating-based	755	654	60
8	Equity investments in funds – look-through approach	-	-	-
9	Equity investments in funds – mandate-based approach	-	-	-
10	Equity investments in funds – 1250% risk weighting approach	-	-	-
11	Settlement risk	-	-	-
12	Securitisation exposures in banking book	-	-	-
13	Of which IRB ratings-based approach (RBA)	-	-	-
14	Of which IRB supervisory formula approach (SFA)	-	-	-
15	Of which SA/simplified supervisory formula approach (SSFA)	-	-	-
16	Market risk	42.075	20.100	3.366
17	Of which standardised approach (SA)	42.075	20.100	3.366
18	Of which internal model approaches (IMM)	-	-	-
19	Operational risk	49.818	35.326	3.985
20	Of which basic indicator approach	49.818	35.326	3.985
21	Of which standardised approach	-	-	-
22	Of which advanced measurement approach	-	-	-
23	Amounts below the thresholds for deduction from capital (subject to 250% risk weight)	-	-	-
24	Floor adjustment	-	-	-
25	Total (1+4+7+8+9+10+11+12+16+19+23+24)	467.013	300.080	37.360

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation:

31 December 2017	Carrying values in financial statements prepared as per TAS	Carrying values of items in accordance with Turkish Accounting Standards			Not subject to capital requirements or subject to deduction from capital
		Subject to credit risk	Subject to Counterparty credit risk	Subject to market risk	
Assets					
Cash (Cash on Hand, Money in Transit, Purchased Cheques) and Balances With Central Bank of Turkey	133.408	3	-	-	133.405
Financial Assets Held for Trading	-	-	-	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Banks	483.515	483.515	-	-	-
Interbank Money Markets Placements	-	-	-	-	-
Financial Assets Available-for-Sale	376.764	5.535	-	-	371.229
Loans	7.952	7.952	-	-	-
Factoring Receivables	-	-	-	-	-
Investment Held-to-Maturity	-	-	-	-	-
Investment in Associates	-	-	-	-	-
Investment in Subsidiaries	-	-	-	-	-
Investment in Joint-Ventures	-	-	-	-	-
Lease Receivables	-	-	-	-	-
Derivative Financial Assets Held for Risk Management	-	-	-	-	-
Tangible Assets	8.930	8.930	-	-	-
Intangible Assets	452	-	-	-	452
Investment Property	-	-	-	-	-
Tax Asset	662	662	-	-	-
Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Other Assets	955	955	-	-	-
Total Assets	1.012.638	507.552	-	-	505.086
Liabilities					
Deposits	708.245	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Funds Borrowed	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Miscellaneous Payables	650	-	-	-	-
Other External Fundings Payable	2.517	-	-	-	-
Factoring Payables	-	-	-	-	-
Lease Payables	-	-	-	-	-
Derivative Financial Liabilities Held for Risk Management	-	-	-	-	-
Provisions	4.852	-	-	-	-
Tax Liability	3.999	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Debts	-	-	-	-	-
Shareholders' Equity	292.375	-	-	-	-
Total Liabilities	1.012.638	-	-	-	-

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

	Carrying values of items in accordance with Turkish Accounting Standards				
	Carrying values in financial statements prepared as per TAS	Subject to credit risk	31 December 2017	Carrying values in financial statements prepared as per TAS	Subject to credit risk
31 December 2016					
Assets					
Cash (Cash on Hand, Money in Transit, Purchased Cheques) and Balances With Central Bank of Turkey	74.912	40.548	-	-	34.126
Financial Assets Held for Trading	-	-	-	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Banks	200.735	200.621	-	-	-
Interbank Money Markets Placements	-	-	-	-	-
Financial Assets Available-for-Sale	232.561	171.657	-	-	56.981
Loans	7.964	7.915	-	-	-
Factoring Receivables	-	-	-	-	-
Investment Held-to-Maturity	-	-	-	-	-
Investment in Associates	-	-	-	-	-
Investment in Subsidiaries	-	-	-	-	-
Investment in Joint-Ventures	-	-	-	-	-
Lease Receivables	-	-	-	-	-
Derivative Financial Assets Held for Risk Management	-	-	-	-	-
Tangible Assets	8.226	8.226	-	-	-
Intangible Assets	388	-	-	-	388
Investment Property	-	-	-	-	-
Tax Asset	698	698	-	-	-
Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Other Assets	648	4.972	-	-	-
Total Assets	526.132	434.637	-	-	91.495
Liabilities					
Deposits	275.591	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Funds Borrowed	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Miscellaneous Payables	1.709	-	-	-	-
Other External Fundings Payable	1.503	-	-	-	-
Factoring Payables	-	-	-	-	-
Lease Payables	-	-	-	-	-
Derivative Financial Liabilities Held for Risk Management	-	-	-	-	-
Provisions	3.749	-	-	-	-
Tax Liability	3.608	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Debts	-	-	-	-	-
Shareholders' Equity	239.972	-	-	-	-
Total Liabilities	526.132	-	-	-	-

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BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

**3. Main sources of differences between regulatory exposure amounts and carrying values in
financial statements**

		Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
31 December 2017	Total				
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	1.012.638	518.549	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	1.012.638	518.549	-	-	-
4- Off-balance sheet amounts	3.638	1.572	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9-Risk Amount	1.016.276	520.121	-	-	-

		Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
31 December 2016	Total				
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	526.132	434.637	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	526.132	434.637	-	-	-
4- Off-balance sheet amounts	5.328	4.953	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9-Risk Amount	531.460	439.590	-	-	-

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk:

1. How the business model translates into the components of the Branch's credit risk profile:

The business model of the Branch basically consists of two main business fields: collecting funds by means of demand current accounts, scattered customer time deposit accounts, especially with Bank Mellat Iran and other foreign Iranian banks repo accounts subject to the interest-free banking rules, and using those funds and equity funds to make funds available to customers. Because of these main business fields, the branch's assets have a low credit-weighted structure. Reflecting this business model, its total assets consist mainly of government bonds and domestic marketable bond securities, while the loans provided to customers remain in small proportions. The branch aims to increase the loan amount, taking into account the risk-return balance, and thus to achieve a sustainable growth.

The risk profile of the Branch indicates the types of risks to which it is exposed or expects to be exposed, and its risk level by type of risk. The largest type of risk to which the Branch is exposed or expects to be exposed within its current and target business model is not the SME or commercial customer credit risk. Although the credits remain in the active ratios, the sectoral concentration and maturity structure are followed in the scope of the risk of concentration. Conversion rates and limitations are followed for exposure risk. Intrinsic limits have been set for borrowers and credit risk groups in terms of credit risk intensities, taking into account the coherent size orders. Country limits have been established in order to prevent concentration in the countries determined within the scope of the country risk. Although it is a branch status and ownership structure is naturally higher country risk is Iran, it is considered to include a reasonably low risk. In legal reporting, risks in Iran and other countries are monitored in accordance with BRSA regulations.

2. Criteria and approach used for defining credit risk policy and for setting credit risk limits:

The main purpose of the credit risk policy is to measure the counterparty risk undertaken as part of a credit transaction, to monitor the risk against the legal limits and the Branch's internal limits, to research new techniques and applications for measuring and controlling the risk, to monitor overdue receivables, to analyze the reason of overdue, and to take measures to prevent such reasons from repeating. The term 'credit risk' refers to the potential loss the branch might be exposed to because of credit borrowers' partial or full default of the credit agreements they signed with the branch. This term also includes the loss of market value because of the breakdown of the counterparty's financial position. This term includes on-balance sheet and off-balance sheet transactions too.

Risk limits; as part of the risk appetite structure, are determined by considering the size of the branch in the capital structure and the financial system. In this context the appetite for risk approved by the Board of Managers are divided between and allocated to other levels considered necessary by type of risk. The uses of the limits are closely monitored, and overdrafts are reported to the executive management for ensuring the necessary measures to be taken.

3. Structure and organization of the credit risk management and control function:

Risk Management, by Internal Control - Compliance and Internal Audit Units, works under the Audit Committee is affiliated to the Board of Managers. Risk Management Unit to which it is affiliated are responsible for implementing the strategies and policies approved by the Branch Management Board and for carrying out other duties assigned by the Internal Systems Supervisor performing the Audit Committee mission.

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

4. Relations between the credit risk management, risk control, compliance and internal audit functions:

The units within the scope of the internal systems were established in accordance with the Board of Managers within the branch organization structure. The board of managers has delegated its duties and responsibilities within internal systems to the Audit Committee, which is designated as Internal Systems Responsible. These units carry out their activities under the supervision of the Internal Systems Supervisor.

The internal control function of the Branch is performed by the Internal Control Department. Internal Control System has been founded in such a manner to be capable and efficient to mitigate, manage, monitor and control the exposure risks of the Branch in accordance with the Branch's organizational structure and business fields as well as changing circumstances, and covers all domestic and international branches, head office, consolidated subsidiaries and all business activities of the Branch. The internal control system and internal control activities of the Branch are designed by the Internal Control Department in cooperation with the relevant management executives and are performed at a sufficient and efficient extent.

Compliance checks are carried out within the Internal Control Unit in accordance with the legislation in accordance with the structure of the Branch efforts are being made to ensure that the risk of compliance in the branch is effectively managed and controlled, that such risks are identified and prevented before they occur, and that the activities of the Branch are carried out in accordance with the relevant legislation and regulations in a continuous manner.

Risk Management Department performs the tasks of determining, measuring and managing the exposure risks of the branch. An efficient risk management system infrastructure has been established for credit risk management tasks, credit policy, and risk management activities falling within the credit risk policy. The internal credit risk limits set by the Board of Managers are measured and reported at regular intervals to the Audit Committee.

Internal audit department is in charge of assuring the Board of Managers and the executive management that the Branch's business activities are performed in accordance with the Banking Law, other applicable laws and regulations and the internal strategies, policies, principles and targets of the branch, and that the internal control and risk management systems are efficient and sufficient.

5. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the Board of Managers:

Risks exposed to the Branch are reported on the basis of risk types in daily / monthly and periodic regular reports provided to the Board of Managers and senior management. Credit risk reporting includes the following main content.

The asset quality is analyzed and compared to the previous period in the framework of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables by Banks and the Provisions to be Subscribed and thus the sustainability of the asset quality is monitored. Credit risk limits and realizations in the related period. Loan disbursements are monitored on the basis of cash, non-cash and total loans. Risk limits and realizations are defined for the risk appetite of the branch.

Distribution of cash loans according to cash flows is monitored. Administrative and legal follow-up customers are monitored as well. In addition, the limits and limits of the Branch Risk Group are being reported.

Country ratings, limits and limit achievements are being followed and compared with the previous period.

In order to observe whether there is an increase or decrease in the value of the real estate collateral acquired during the fund disbursement process, the analysis of the real estate price index is examined and the appraisal values are updated routinely and at necessary intervals.

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Credit quality of assets:

	31 December 2017	Gross carrying value as per TAS		Allowances/ amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	8.305	2.819	3.172	7.952
2	Debt securities	-	377.246	482	376.764
3	Off-balance sheet exposures (*)	401	8.709	100	9.010
4	Total	8.706	388.774	3.754	393.726

(*) Non-indemnified cash non-cash loans are included.

	31 December 2016	Gross carrying value as per TAS		Allowances/ amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	6.957	3.794	2.787	7.964
2	Debt securities	-	233.144	583	232.561
3	Off-balance sheet exposures (*)	375	5.047	94	5.328
4	Total	7.332	241.985	3.464	245.853

(*) Non-indemnified cash non-cash loans are included.

Changes in stock of defaulted loans and debt securities:

	Current Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period
2	Loans and debt securities that have defaulted since the last reporting period
3	Receivables back to non-defaulted status
4	Amounts written off
5	Other changes
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)

(*) Non-indemnified cash non-cash loans are included.

	Prior Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period
2	Loans and debt securities that have defaulted since the last reporting period
3	Receivables back to non-defaulted status
4	Amounts written off
5	Other changes
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)

(*) Non-indemnified cash non-cash loans are included.

6. Qualitative disclosures related to the credit quality of assets

a) Scope and definitions of "overdue" and "provision allocated" receivables for accounting purposes and the differences of definitions between "overdue" and "provision allocated", if any

Overdue receivables and provision allocated receivables are determined according to the Communique on Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves.

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b) The part of the overdue receivables (past 90 days) for which provision is not allocated and reasons for this application

Provisions are made on time and at the required rates within the scope of the legislation. Within the branch capital structure, the amount of credits required to allocate both loans and special provisions in general is very low.

c) Definitions of the methods used when determining the provision amount

The minimum legal reserve requirement ratios stated in the same 7th and 8th articles of the Regulation on loans or other receivables classified in the third, fourth, fifth group defined in Article 4 of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables and the Provisions to be Forbidden by Banks, Including the minimum legal guarantees defined in Articles 9 and 10.

d) Definitions of restructured receivables

According to the Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves, restructuring for the performing and non-performing loans means new contractual conditions only for the loan obligators encountered or likely to be encountered in repayment as a result of financial difficulties, excluding loan obligators with no repayment difficulties.

e) Breakdown of exposures by geographical areas, industry and aging:

Current Period (*)	Non-performing Loans	Special Provision	Write-Offs
Domestic	8.706	3.272	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	8.706	3.272	-

(*) Indemnified- non cash loan amounts which are not included.

Prior Period (*)	Non-performing Loans	Special Provision	Write-Offs
Domestic	7.332	2.881	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	7.332	2.881	-

(*) Indemnified- non cash loan amounts which are not included.

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Current Period	Up to 3 Months	3-12 Months	1-3 Years	3-5 Years	5 Years and Over
Corporate and Commercial Loans	1.728	572	56	-	-
Retail Loans	1	52	410	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	1.729	624	466	-	-

Prior Period	Up to 3 Months	3-12 Months	1-3 Years	3-5 Years	5 Years and Over
Corporate and Commercial Loans	1.004	2.485	-	-	-
Retail Loans	1	89	215	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	1.005	2.574	215	-	-

f) Credit risk mitigation techniques:

In accordance with Article 33 of the Communiqué on Credit Risk Reduction Techniques, the Branch reduces the credit risk according to the simple financial guarantee method in which the risk reduction effects are calculated based on the fair value determined in accordance with Article 19 of the Communiqué on financial guarantees.

In the credit risk reduction calculations, no tools other than cash or similar assets are considered.

Financial collateral can not be used for credit reduction if the remaining maturity of the collateral is less than the remaining maturity (maturity mismatch) and / or currency incompatibility of receivables.

		Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
31 December 2017								
1	Loans	2.819	8.639	8.639	-	-	-	-
2	Debt securities	376.764	-	-	-	-	-	-
3	Total	379.583	8.639	8.639	-	-	-	-
4	Overdue	8.305	5.133	-	-	-	-	-

		Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
31 December 2016								
1	Loans	3.794	8.901	8.901	-	-	-	-
2	Debt securities	232.561	-	-	-	-	-	-
3	Total	236.355	8.901	8.901	-	-	-	-
4	Overdue	6.957	4.344	-	-	-	-	-

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c. Information on counterparty credit risk (CCR):

a) Risk management objectives and policies for CCR:

Determination of the creditworthiness of financial counterparties has been made in addition to the Credit Policy of the Branch in accordance with the regulations published by BRSA and the international practices in order to limit the exposure to be suffered by the Branch in case of financial counterparty default. This annex describes allocation of limit to financial counterparties and continuous monitoring activities. In this respect, the creditworthiness assessments of the financial and non-financial entities for CCRs especially including sovereign assessments and limits are finally decided by the committees specified under the Policy.

b) The method used to allocate the operational limits defined in terms of internal capital for CCR and central counterparty risks:

Internal model method is not used for calculating the capital requirements for counterparty credit risk and central counterparty risks.

c) Policies relating to guarantees and other risk mitigation and assessments concerning counterparty credit risk, including central counterparty risk:

When it is necessary, cash collateral is taken if it is possible and the risk is reduced. As a general principle in risk hedging, risk can be reduced by taking a real estate mortgage lien which has high value margin according to the risk. However, only cash and similar collateral are taken into account in the calculation of credit risk mitigation techniques.

d) Rules with respect to wrong-way risk:

Internal model is not used for CCR; and as such, no calculation is made with respect to the wrong-way risk.

e) The impact in terms of the amount of collateral that the bank is required to provide in case of a credit rating downgrade:

For the cash risk-bearing transactions that the branch owes, Borrowing is not ensured by providing collateral in the current situation. Therefore, there will be no such influence in the downgrading of a possible rating of the Branch, such contracts do not include such articles.

f) Counterparty credit risk (CCR) approach analysis

Current Period	Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1 Standardised Approach CCR (for derivatives)						
2 Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3 Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4 Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5 Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6 Total	-	-	-	-	-	-

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Prior Period	Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post- CRM	RWA
1 Standardised Approach CCR (for derivatives)						
2 Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3 Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4 Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5 Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6 Total	-	-	-	-	-	-

g) Capital requirement for credit valuation adjustment (CVA)

Current Period	EAD post-CRM	Risk Weighted Amounts
Total portfolios subject to the Advanced CVA capital obligation	-	-
1 (i) VaR component (including the 3×multiplier)	-	-
2 (ii) Stressed VaR component (including the 3×multiplier)	-	-
3 All portfolios subject to the Standardised CVA capital obligation	-	-
4 Total subject to the CVA capital obligation	-	-

Prior Period	EAD post-CRM	Risk Weighted Amounts
Total portfolios subject to the Advanced CVA capital obligation	-	-
1 (i) VaR component (including the 3×multiplier)	-	-
2 (ii) Stressed VaR component (including the 3×multiplier)	-	-
3 All portfolios subject to the Standardised CVA capital obligation	-	-
4 Total subject to the CVA capital obligation	-	-

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

h) CCR exposures by risk class and risk weights

31 December 2017

Risk Classes / Risk Weights	%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1 Receivables from central governments and Central Banks	221.266	-	-	-	-	3	-	-	-	221.269
2 Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3 Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4 Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5 Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6 Receivables from banks and brokerage houses	-	-	486.711	41.224	-	235.284	-	-	-	763.219
7 Receivables from corporate	-	-	-	-	-	1.547	-	-	-	1.547
8 Retail receivables	-	-	-	-	-	3.876	458	-	-	4.334
9 Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10 Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11 Non-performing receivables	-	-	-	-	-	5.535	-	-	-	5.535
12 Receivables in high-risk categories	-	-	-	-	-	-	-	-	-	-
13 Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14 Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15 Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16 Equity share investments	-	-	-	-	-	755	-	-	-	755
17 Other receivables	22.477	-	-	-	-	9.919	-	-	-	32.396
18 Total	243.743	-	486.711	41.224	-	256.919	458	-	-	1.029.055

31 December 2016

Risk Classes / Risk Weights	%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1 Receivables from central governments and Central Banks	86.565	-	-	-	-	40.551	-	-	-	127.116
2 Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3 Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4 Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5 Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6 Receivables from banks and brokerage houses	-	-	159.159	78.387	-	113.015	-	-	-	350.561
7 Receivables from corporate	1.466	-	-	-	-	4.934	-	-	-	6.400
8 Retail receivables	176	-	-	-	-	107	215	-	-	498
9 Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10 Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11 Non-performing receivables	-	-	-	-	-	4.451	-	-	-	4.451
12 Receivables in high-risk categories	-	-	-	-	-	-	-	-	-	-
13 Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14 Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15 Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16 Equity share investments	-	-	-	-	-	654	-	-	-	654
17 Other receivables	12.482	-	-	-	-	9.595	-	-	-	22.077
18 Total	100.689	-	159.159	78.387	-	173.307	215	-	-	511.757

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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

d. Explanations on securitization positions

None.

e. Qualitative explanations on market risk

1. Bank's processes and strategies:

The branch defines market risk as market prices and changes in market parameters such as interest, exchange rate and stocks as the value of assets in the resulting trading accounts.

The Risk Management Policies and Implementation Procedures prepared in the framework of "Regulation on Assessment of Internal Systems and Internal Capital Adequacy of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks" published in the Official Gazette No. 29057 dated 11 July 2014.

The Branch does not actively trade on its own behalf and account, it does not carry any trading securities or commodity position and does not use derivative instruments.

The effects of fluctuations in the interest rates of the Turkish lira, especially due to the securities available for sale, are assessed using the method of durations

Another market risk that the bank is exposed to is the currency risk. This authority has been transferred to the Risk Committee by the Board of Managers together with the authority of the Board of Managers in principle to determine the rules and limitations regarding the direction, amount and composition of the branch foreign exchange position. Risk Committee evaluates economic developments in Turkey and in the world at appropriate intervals and makes amendments that are appropriate for limits and limitations on foreign exchange position.

The components of the market risk are closely monitored within the limits accepted by the Board of Managers.

2. The organization and structure of the market risk management function:

Definition of the market risk management structure established for the implementation of the branch's strategies and processes and the communication mechanism and relationship between the different parties involved in market risk management, as described in part 1.

The market risk service operates under Risk Management Department. This service directly reports to the Board Member responsible for Internal Systems. The results of risk measurement and risk monitoring are shared with other related units. The activities coordinated within the Internal Capital Adequacy Assessment Process are carried out together with other relevant departments of the Branch

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Structure and scope of risk reporting and/or measurement systems:

Within the scope of risk management system, the Branch established a reporting system which ensures effective analysis and evaluation for market risks. The risk measurement and risk monitoring results is reported to the Board Member responsible for Internal Systems and Board of Managers on a timely manner.

There is a risk measurement system which covers the scope and complexity of significant market risk components including transactions and operations exposed to market risk.

Notes and explanations prepared in accordance with "the Communiqué on Disclosures about Risk Management to be Announced to Public by Banks" published in Official Gazette no. 29511 on 23 October 2015 and became effective as of 31 March 2016 are presented in this section. The notes to be presented within the scope of internal rating based approach have not been presented due to use of standard approach for the calculation of capital adequacy ratio by the Bank.

4. Market risk under standardised approach:

		Risk Weighted Amounts	
		Current Period	Prior Period
	Direct (Pre-paid) Products	3.366	1.608
1	Profit share risk (general and specific)	-	-
2	Equity risk (general and specific)	-	-
3	Foreign exchange risk	3.366	1.608
4	Commodity risk	-	-
	Options		
5	Simplified approach	-	-
6	Delta-plus method	-	-
7	Scenario approach	-	-
8	Securitisation	-	-
9	Total	3.366	1.608

f. Explanation on Operational Risk

The operational risk base amount is calculated according to the basic indicator method in accordance with Article 14 of the Regulation on Measurement and Evaluation of Capital Adequacy of Banks.

Annual gross income is calculated as the sum of the net amounts of interest incomes and non-interest income after deducting the profit / loss arising from the sale of marketable securities that are available for sale and securities held to maturity and the amounts compensated from extraordinary income and insurance.

Current Year

Basic Indicator Method	31.12.2014	31.12.2015	31.12.2016	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	15.680	22.957	41.071	26.569	15	3.985
Value at Operational Risk (Total*12.5)						49.817

Prior Year

Basic Indicator Method	31.12.2013	31.12.2014	31.12.2015	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	18.149	15.552	22.820	56.521	15	2.826
Value at Operational Risk (Total*12.5)						35.326

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

g. Profit-share rate risk related to banking book:

- 1. Economic value differences arising from fluctuations in profit share rates in accordance with the regulation on measurement and evaluation of profit share rates derived from banking accounts with standard shock method**

Current Period

Currency	Applied Shock (+/- x basis points)	Gains/Losses	Gains/Shareholder's equity- Losses/shareholder's equity
1. TL	(+) 500	(4.792)	%(1,63)
	(-) 400	4.099	%1,40
2. USD	(+) 200	(1)	%0,00
	(-) 200	1	%0,00
3. EURO	(+) 200	(33)	%(0,011)
	(-) 200	(11)	%(0,004)
Total (For negative shocks)		4.089	%1,39
Total (For positive shocks)		(4.826)	%(1,64)

Prior Period

Currency	Applied Shock (+/- x basis points)	Gains/Losses	Gains/Shareholder's equity- Losses/shareholder's equity
1. TL	(+) 500	(4.303)	%(1,79)
	(-) 400	3.723	%1,55
2. USD	(+) 200	1	%0,0005
	(-) 200	(1)	%0,0
3. EURO	(+) 200	(43)	%(0,02)
	(-) 200	(14)	%(0,01)
Total (For negative shocks)		3.708	%1,54
Total (For positive shocks)		(4.345)	%(1,81)

h. Risk management objectives and policies:

Risk is defined as the probability of a loss of monetary loss related to a transaction or activity, or a decrease in economic benefit if a loss or damage occurs.

The branch is exposed to some risks due to the activities it has undertaken to achieve its objectives. The aim of risk management is to identify, measure, report, monitor and control the risks exposed through defined application procedures and limits and to determine the internal capital requirement in accordance with the risk profile to be adopted in this context

In defining risk management policy and implementation procedures, the following points are taken into consideration.

- The vision, mission, strategy and goals of the branch
- Priority and weighted areas of activity of the branch, products and their volume and characteristics
- The organizational structure of the branch, human resources
- Past events and experiences related to exposure risks
- Database coverage and quality of risk management,
- The level of technological competence of the branch and its contribution to risk monitoring and management activities,
- Intrinsic capital requirement and actual equity level and the level of risk compatible with them.

Risk management policies and procedures are determined and developed taking into account such factors as the size of the bank, the scope and complexity of the activities, and the product variety used. Management of credit risk is of great importance when evaluated from these angles.

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IX. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Hierarchy of valuation techniques which establishes basis for fair value calculation of financial assets and liabilities:

Level 1: Quoted prices in active markets for identical assets and liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable market information for the assets or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that is not based on observable market information.

According to the classification principles, the fair value classification of the financial assets and liabilities for which the Branch is carrying at fair value is as follows:

31 December 2017	Level 1	Level 2	Level 3	Total
Financial Assets in Fair Value Reflected to Profit or Loss	-	-	-	-
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	376.764	-	-	376.764
Government Debt Securities	100.228	-	-	100.228
Other Marketable Securities	276.536	-	-	276.536
Total Assets	376.764	-	-	376.764
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2016	Level 1	Level 2	Level 3	Total
Financial Assets in Fair Value Reflected to Profit or Loss	-	-	-	-
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	232.561	-	-	232.561
Government Debt Securities	60.904	-	-	60.904
Other Marketable Securities	171.657	-	-	171.657
Total Assets	232.561	-	-	232.561
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	-	-	-	-

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SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
Cash	244	21.455	351	12.131
The CBRT	22.798	88.911	21.882	40.548
Other	-	-	-	-
Total	23.042	110.366	22.233	52.679

2. Information related to the account of the CBRT:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
Demand Unrestricted Account ⁽¹⁾	286	-	1.107	-
Time Unrestricted Account	-	4.503	-	16.889
Time Restricted Account	22.512	-	20.775	4.790
Reserve Requirement	-	84.408	-	18.869
Total	22.798	88.911	21.882	40.548

⁽¹⁾ The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2017, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 4% to 10,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 4% to 24% depending on the maturity of deposits. (31 December 2016: The reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 4% to 10,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 4,5% to 24,5% depending on the maturity of deposits.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2017, the Branch does not have any financial assets at fair value through profit or loss (31 December 2016: None).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
Banks				
Domestic	97.166	218.252	47.960	127.309
Foreign	-	126.670	-	779
Head Quarters and Branches Abroad	1	41.426	1	24.686
Other Financial Institutions	-	-	-	-
Total	97.167	386.348	47.961	152.774

2. Information on foreign banks account:

	Unrestricted Amount		Restricted Amount	
	31 December 2017	31 December 2016	31 December 2017	31 December 2016
EU Countries	126.319	211	-	-
USA, Canada	-	-	-	-
OECD Countries (*)	34	299	-	-
Off-Shore Banking Regions	-	-	-	-
Other	41.743	269	-	-
Total	168.096	779	-	-

(*) OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

- As of 31 December 2017 there are no available for-sale-financial assets subject to repo transactions (31 December 2016: None).
- As of 31 December 2017 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2016: None).
- Information on available-for-sale financial assets:

	31 December 2017	31 December 2016
Debt Securities	376.133	231.907
Quoted on Stock Exchange	376.133	231.907
Not Quoted	-	-
Share Certificates	1.237	1.237
Quoted on Stock Exchange	1.237	1.237
Not Quoted	-	-
Impairment Provision (-)(*)	(606)	(583)
Total	376.764	232.561

(*) As of 31 December 2017 impairment provision for share certificates is TL 482, impairment provision for debt securities is TL 124. As of 31 December 2016 impairment provision for share certificates is TL 583, there is no impairment provision for debt securities.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2017		31 December 2016	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	463	-	282	-
Total	463	-	282	-

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2017)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	2.819	-	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial Sector	-	-	-	-	-	-
Consumer Loans	463	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	2.356	-	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	2.819	-	-	-	-	-

(*) Discount notes are included that the balance.

Cash Loans (31 December 2016)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	2.249	-	-	1.115	430	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	574	430	-
Import Loans	-	-	-	-	-	-
Loans to Financial Sector	-	-	-	-	-	-
Consumer Loans	282	-	-	23	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	1.967	-	-	518	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	2.249	-	-	1.115	430	-

(*) Discount notes are included that the balance.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

Loans and other receivables with extended payment plans;

31 December 2017

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
1 or 2 times	-	-
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2016

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
1 or 2 times	-	430
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2017

Extension Periods	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
0 - 6 months	-	-
6 - 12 months	-	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

31 December 2016

Extension Periods	Performing Loans and Other Receivables	Loans and Other Receivables Under Follow-up
0 - 6 months	-	-
6 - 12 months	-	430
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2017	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	2.300	-	-	-
Non-specialised Loans	2.300	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	519	-	-	-
Non-specialised Loans	519	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2016	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	322	-	-	-
Non-specialised Loans	322	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	1.927	-	1.115	430
Non-specialised Loans	1.927	-	1.115	430
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2017	Short-term	Long and medium term	Total
Consumer Loans - TL	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	463	463
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	463	463
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	-	463	463

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

31 December 2016	Short-term	Long and medium term	Total
Consumer Loans - TL	-	23	23
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	23	23
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	282	282
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	282	282
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	-	305	305

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2017			31 December 2016		
	Short Term	Medium and Long Term	Total	Short Term	Medium and Long Term	Total
Commercial Loans with Installment Facility - TL	300	56	356	-	2.123	2.123
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	300	56	356	-	2.123	2.123
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility - Indexed to FC	-	-	-	-	-	-
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility - FC	-	-	-	-	-	-
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards - TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Corporate Credit Cards - FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non - Installment	-	-	-	-	-	-
Overdraft Accounts - TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts - FC (Legal Entities)	-	-	-	-	-	-
Total	300	56	356	-	2.123	2.123

(i) Information on loans by types and specific provisions

31 December 2017	Corporate Loans	Consumer Loans	Total
Standard loans	2.356	463	2.819
Non-Performing loans	8.305	-	8.305
Specific Provisions (-)	(3.172)	-	(3.172)
Total	7.489	463	7.952

(*) Discounted loans are included.

31 December 2016	Corporate Loans	Consumer Loans	Total
Standard loans	3.489	305	3.794
Non-Performing loans	6.957	-	6.957
Specific Provisions (-)	(2.787)	-	(2.787)
Total	7.659	305	7.964

(*) Discounted loans are included.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

(ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2017	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	5.133	-	5.133
Total	5.133	-	5.133

(*) Refers net amounts

31 December 2016	Corporate Loans	Consumer Loans	Total
Watch listed	1.545	-	1.545
Non-Performing loans (*)	4.170	-	4.170
Total	5.715	-	5.715

(*) Refers net amounts

7. Loans according to type of borrowers::

	31 December 2017	31 December 2016
Public	-	-
Private	2.819	3.794
Total	2.819	3.794

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2017	31 December 2016
Domestic Loans	1.118	3.472
Foreign Loans	1.701	322
Total	2.819	3.794

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2016: None).

10. Specific provisions provided against loans:

	31 December 2017	31 December 2016
Loans and other receivables with limited collectability	-	-
Loans and other receivables with doubtful collectability	-	-
Uncollectible loans and other receivables	(3.172)	(2.787)
Total	(3.172)	(2.787)

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

11. Information on non-performing loans (Net):

- (i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

- (ii) Information on the movement of total non-performing loans:

	III. Group Loans and Other Receivables with Limited Collectability	IV. Group Loans and Other Receivables with Doubtful Collectability	V. Group Uncollectible Loans and Other Receivables
31 December 2016	-	-	6.957
Additions (+)	-	-	1.351
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(3)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2017	-	-	8.305
Specific provisions (-)	-	-	(3.172)
Net Balance on Balance Sheet	-	-	5.133

	III. Group Loans and Other Receivables with Limited Collectability	IV. Group Loans and Other Receivables with Doubtful Collectability	V. Group Uncollectible Loans and Other Receivables
31 December 2015	-	-	7.613
Additions (+)	-	-	106
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(762)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2016	-	-	6.957
Specific provisions (-)	-	-	(2.787)
Net Balance on Balance Sheet	-	-	4.170

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

(iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

(iv) Information on non-performing loans according to user groups:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	Loans and Other Receivables with Doubtful Collectability	Uncollectible Loans and Other Receivables
31 December 2017 (Net)	-	-	5.133
Loans to real and legal persons (Gross)	-	-	8.305
Specific provisions (-)	-	-	(3.172)
Loans to real and legal persons (Net)	-	-	5.133
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2016 (Net)	-	-	4.170
Loans to real and legal persons (Gross)	-	-	6.957
Specific provisions (-)	-	-	(2.787)
Loans to real and legal persons (Net)	-	-	4.170
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank's general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

g. Information on held-to-maturity investments:

As of 31 December 2017 and 31 December 2016, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2017 and 31 December 2016, the Branch has no investments in associates.

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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

i. Information on subsidiaries (Net):

As of 31 December 2017 and 31 December 2016, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2017 and 31 December 2016, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

None (31 December 2016: None).

l. Explanations on hedging derivative instruments:

None (31 December 2016: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2017				
Cost	11.133	58	1.437	12.628
Accumulated depreciation	(3.315)	(54)	(329)	(3.698)
Net book value	7.818	4	1.108	8.930
31 December 2017				
Net book value at beginning of the year	7.993	17	216	8.226
Additions	-	-	1.021	1.021
Disposals	-	-	-	-
Transfers	-	-	-	-
Depreciation	(175)	(13)	(129)	(317)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	-	-
Closing net book value	7.818	4	1.108	8.930
Cost at year end	11.133	58	1.437	12.628
Accumulated depreciation at year end	(3.315)	(54)	(329)	(3.698)
Closing net book value	7.818	4	1.108	8.930

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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2017		
Cost	779	779
Accumulated depreciation	(327)	(327)
Net book value	452	452
31 December 2017		
Net book value at beginning of the year	388	388
Additions	304	304
Disposals, net	-	-
Transfers	-	-
Depreciation	(240)	(240)
Depreciation, Disposals	-	-
Depreciation, Transfers	-	-
Closing net book value	452	452
Cost at year end	779	779
Accumulated depreciation at year end	(327)	(327)
Closing net book value	452	452

o. Explanations on investment property:

None (31 December 2016: None).

p. Explanations on investment property:

The Branch has no carry forward tax loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL 662 (31 December 2016: TL 698) on net basis to deferred tax assets.

	31 December 2017		31 December 2016	
	Tax Base	Deferred Tax	Tax Base	Deferred Tax
Property, equipment and intangibles, net	715	143	1,045	209
Reserves for employment termination benefit	2,537	508	1,734	347
Court case provision	56	11	124	25
Shares	-	-	583	117
Other	-	-	-	-
Total deferred tax asset	-	662	-	698
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	662	-	698

r. Explanations on assets held for resale:

Net carrying value of assets held for sale is not available as of 31 December 2017 (December 2016: None).

s. Explanations on other assets:

Other assets amount to TL 955 (31 December 2016: TL 648) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

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(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2017:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	67	-	-	-	-	-	67
Foreign Currency Deposits	194.420	-	-	-	-	-	194.420
Residents in Turkey	26.933	-	-	-	-	-	26.933
Residents Abroad	167.487	-	-	-	-	-	167.487
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	3.227	21	-	-	-	-	3.248
Other Institutions Deposits	12	-	-	-	-	-	12
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	380.410	120.120	-	9.968	-	-	510.498
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	380.410	120.120	-	9.968	-	-	510.498
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	578.136	120.141	-	9.968	-	-	708.245

(ii) 31 December 2016:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	77	-	-	-	91	-	168
Foreign Currency Deposits	81.387	-	-	-	162	615	82.164
Residents in Turkey	46.595	-	-	-	-	-	46.595
Residents Abroad	34.792	-	-	-	162	615	35.569
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	5.129	806	-	-	-	-	5.935
Other Institutions Deposits	14	-	-	-	-	-	14
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	177.337	-	9.973	-	-	-	187.310
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	177.337	-	9.973	-	-	-	187.310
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	263.944	806	9.973	-	253	615	275.591

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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2017	31 December 2016	31 December 2017	31 December 2016
Saving Deposits	67	168	-	-
Foreign Currency Saving Deposits	2.085	3.044	3.304	3.562
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2016: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2017	31 December 2016
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Managers, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	225	35
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2017 and 31 December 2016, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

As of 31 December 2017, the Branch has no borrowings (31 December 2016: None).

2. Information on maturity structure of borrowings:

As of 31 December 2017, the Branch has no borrowings (31 December 2016: None).

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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

d. Information on other liabilities:

Other liabilities amount to TL 2.517 (31 December 2016: TL 1.503) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2017 and 31 December 2016, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2016: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2017	31 December 2016
General Loan Loss Provisions		
Loans and Receivables in Group I	26	17
- Additional Provision for Loans and Receivables with extended maturities	-	-
Loans and Receivables in Group II	-	30
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	18	9
Others	2.115	1.741
Total	2.159	1.797

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

	31 December 2017	31 December 2016
Discount rate (%)	4,69	3,49
Rate for the Probability of Retirement (%)	95,12	94,21

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 5.001,76 (1 January 2017: TL 4.426,16) effective from January 1, 2018 has been taken into consideration in calculating the reserve for employment termination benefits.

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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2017	31 December 2016
Prior Period Ending Balance	1.509	1.444
Provisions Recognised During the Period	709	195
Actuarial loss / (Gain)	53	(70)
Paid During the Period (-)	(56)	(60)
Reversed During the Period (-)	-	-
Balance at the End of the Period	2.215	1.509

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 322 as of 31 December 2017 (31 December 2016: TL 225).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2017, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2016: TL None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2017, the Branch has specific provision for non-cash loans amounting to TL 100 (31 December 2016: TL 94).

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2017 and 31 December 2016, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2017, the Branch had prudently provided a provision amounting to TL 56 (31 December 2016: TL 124), the remaining TL 100 (31 December 2016: TL 94) provision is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

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(Continued)**

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2017	31 December 2016
Corporate Tax Payable	3.579	3.215
Taxation of Marketable Securities	-	-
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	114	180
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	11	7
Other	156	91
Total	3.862	3.495

(ii) Information on premium payables:

	31 December 2017	31 December 2016
Social Security Premiums – Employee	51	41
Social Security Premiums – Employer	75	63
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	4	3
Unemployment Insurance – Employer	7	6
Other	-	-
Total	137	113

2. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2016: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2016: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2017 and 31 December 2016.

k. Information on Shareholders' Equity:

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	200.000	200.000

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None. (31 December 2016: The branch has increased its paid in capital by TL 43.086 to TL 200.000 in the second quarter by with the addition of TL 39.394 of profits for the past year 2012-2013-2014, by adding TL 757 reserve funds and payment in cash TL 2.935 by the Headquarter / Iran)

4. Information on share capital increases from capital reserves in current period:

None (31 December 2016: None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None. (31 December 2016: The branch has increased its paid in capital by TL 43.086 to TL 200.000 in the second quarter by with the addition of TL 39.394 of profits for the past year 2012-2013-2014, by adding TL 757 reserve funds and payment in cash TL 2.935 by the Headquarter / Iran)

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainties and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidity of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2016: None).

I. Information on marketable securities value increase fund:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(602)	-	(169)	-
Foreign Currency Difference	-	-	-	-
Total	(602)	-	(169)	-

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2017, all commitments of the Branch are irrevocable. The commitments for cheques is TL 87 (31 December 2016: TL 80).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i) Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2017	31 December 2016
Bank acceptance loans	-	-
Letters of credit	2.935	375
Other guarantees	-	-
Total	2.935	375

(ii) Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2017	31 December 2016
Revocable letters of guarantee	-	-
Irrevocable letters of guarantee	551	1.029
Letters of guarantee given in advance	-	209
Guarantees given to customs	3.000	3.000
Other letters of guarantees	2.437	635
Total	5.988	4.873

(i) Total amount of non-cash loans:

	31 December 2017	31 December 2016
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	8.923	5.248
Total	8.923	5.248

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**III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):**

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2017				31 December 2016			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	-
Services	5,402	94,41	3,156	98,59	4,180	95,76	858	97,17
Wholesale and Retail Trade	3,002	52,46	402	12,56	4,110	94,16	582	65,91
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	30	0,52	125	3,91	30	0,69	185	20,95
Financial Institutions	2,340	40,89	2,629	82,13	-	-	91	10,31
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	30	0,52	-	-	40	0,92	-	-
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	320	5,59	45	1,41	185	4,24	25	2,83
Total	5,722	100,00	3,201	100,00	4,365	100,00	883	100,00

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2017	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	5.722	266	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	2.935	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	5.722	3.201	-	-

31 December 2016	Group I		Group II	
	TL	FC	TL	FC
Non- Cash Loans				
Letters of Guarantee	4.365	508	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	375	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	4.365	883	-	-

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**III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS
(Continued):**

(iv) Maturity distribution of non-cash loans:

31 December 2017 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	402	-	2.533	-	2.935
Letter of Guarantee	3.541	2.340	107	-	5.988
Other	-	-	-	-	-
Total	3.943	2.340	2.640	-	8.923

31 December 2016 ⁽¹⁾	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	375	-	-	-	375
Letter of Guarantee	4.460	249	164	-	4.873
Other	-	-	-	-	-
Total	4.835	249	164	-	5.248

⁽¹⁾ The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2017 and 31 December 2016.

c. Explanations on loan derivatives and risks imposed:

None (31 December 2016: None).

d. Explanations on contingent liabilities and assets:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2017, the Branch had prudently provided a provision amounting to TL 56 (31 December 2016: TL 124). The remaining provision amounting to TL 100 (31 December 2016: 94 TL) is provided for indemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

e. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2017 and 31 December 2016.

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(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
Short-Term Loans	87	222	334	5
Medium and Long-Term Loans	101	20	618	97
Interest on Non-Performing loans	21	20	-	1.258
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	209	262	952	1.360

2. Information on interest income on banks:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
From the CBRT	725	522	314	114
From Domestic Banks	8.019	323	5.134	48
From Foreign Banks	-	-	-	2
Headquarters and Branches Abroad	-	10	1.281	350
Total	8.744	855	6.729	514

3. Information on interest income on marketable securities:

	31 December 2017		31 December 2016	
	TL	FC	TL	FC
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	36.856	-	18.348	-
From Held-to-Maturity Investments	-	-	-	-
Total	36.856	-	18.348	-

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2016: None).

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IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

The Branch has no interest expense on borrowings (31 December 2016:None).

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2016: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2016: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

31 December 2017	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months - 1 Year	1 Year and Over	
TL							
Bank Deposits	-	-	-	-	3.124	-	3.124
Saving Deposits	-	-	-	-	-	3	3
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	26	-	-	-	-	26
Other Deposits	-	-	-	-	-	-	-
Total	-	26	-	-	3.124	3	3.153
FC							
Foreign Currency Deposits	-	-	-	-	-	1	1
Bank Deposits	-	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	-	-	-	-	1	1
Grand Total	-	26	-	-	3.124	4	3.154

31 December 2016	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months - 1 Year	1 Year and Over	
TL							
Bank Deposits	-	-	-	-	448	-	448
Saving Deposits	-	-	-	-	-	6	6
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	31	-	-	-	-	31
Other Deposits	-	-	-	-	-	-	-
Total	-	31	-	-	448	6	485
FC							
Foreign Currency Deposits	-	-	3	2	-	3	8
Bank Deposits	-	-	-	-	25	-	25
Gold Vault	-	-	-	-	-	-	-
Total	-	-	3	2	25	3	33
Grand Total	-	31	3	2	473	9	518

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IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

c. Explanations on dividend income:

None (31 December 2016: None).

d. Explanations on trading loss/income (Net):

	31 December 2017	31 December 2016
Income	15.187	8.448
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	15.187	8.448
Loss (-)	(4.712)	(1.903)
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(4.712)	(1.903)
Net Income / Loss	10.475	6.545

e. Explanations on other operating income:

The Branch's other operating income; including reversal of provisions is TL 1.045 (31 December 2016: Including reversal of provision amount to TL 2.340).

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2017	31 December 2016
Specific Provisions for Loans and Other Receivables	385	107
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	385	107
General Provision Expenses	1.281	1.374
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	606	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	606	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held-to-maturity Securities	-	-
Other	-	-
Total	2.272	1.481

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(Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

g. Information related to other operating expenses:

	31 December 2017	31 December 2016
Personnel Expenses	8.162	5.925
Reserve for Employee Termination Benefits	709	195
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	317	296
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	240	159
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.617	1.393
Operational Leasing Expenses	140	135
Maintenance Expenses	115	86
Advertisement Expenses	11	11
Other Expenses	1.351	1.161
Loss on Sales of Assets	-	-
Other	2.364	1.903
Total	13.409	9.871

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 43.772 (31 December 2016: TL 27.577), net fee and commission income amounting to TL 26.527 (31 December 2016: TL 9.694) and total other operating expense amounting TL 13.409 (31 December 2016: TL 9.871).

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2017, the Branch has a current tax expense of TL 13.300 (31 December 2016: TL 7.012) and deferred tax expense of TL 89 (31 December 2016: TL 33 deferred tax expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax expense of TL 89 due to the occurrence of temporary differences as of 31 December 2017 (31 December 2016: TL 33 deferred tax expense).

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

The Branch calculated net deferred tax expense of TL 89 due to the occurrence of temporary differences as of 31 December 2017 (31 December 2016: TL 33 deferred tax expense).

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2016: None).

c. Information on capital increase:

None (31 December 2016: Branch, the addition of past years profits for 2012-2013-2014 amounting to TL 39.394 within the 2nd quarter, addition of reserve funds amounting to TL 757 and payment of cash amounting to TL 2.935 by Headquarters / Iran, the total paid-up capital has increased by TL 43,086 to TL 200,000)

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies:

None (31 December 2016: None).

3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

- (i) Information on cash and cash equivalents at the beginning of the year:

	31 December 2016	31 December 2015
Cash	205.967	101.644
Cash and Effectives	12.482	15.817
Demand Deposits in Banks	193.485	85.827
Cash Equivalents	69.328	65.627
Interbank Money Market Placements	-	7.200
Time Deposits in Banks	69.328	58.427
Total Cash and Cash Equivalents	275.295	167.271

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS: (Continued)

(ii) Information on cash and cash equivalents at the end of year:

	31 December 2017	31 December 2016
Cash	483.401	205.967
Cash and Effectives	21.698	12.482
Demand Deposits in Banks	461.703	193.485
Cash Equivalents	133.012	69.328
Interbank Money Market Placements	-	-
Time Deposits in Banks	133.012	69.328
Total Cash and Cash Equivalents	616.413	275.295

b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:

None (31 December 2016: None).

c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

Decrease in the "Other" item amounting to TL 2.537 (31 December 2016: TL 2.612 increase) which is classified under "Cash flows from banking operations" consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 9.561 as of 31 December 2017 (31 December 2016: TL 1.120).

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2017:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Non-Cash	Cash	Non-Cash
Branch's Risk Group ^{(1), (2)}						
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	24.878	-
Balance at the End of the Period	-	-	-	-	169.391	-
Interest and Commission Income Received	-	-	-	-	366	240

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

2. 31 December 2016:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Non-Cash	Cash	Non-Cash
Branch's Risk Group ^{(1), (2)}						
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	61.127	-
Balance at the End of the Period	-	-	-	-	24.878	-
Interest and Commission Income Received	-	-	-	-	1.631	107

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

	Investments in Associates, Subsidiaries and Joint Ventures		Direct and Indirect Shareholders of the Branch		Other Real and Legal Persons That Have Been Included in the Risk Group	
	31 December 2017	31 December 2016	31 December 2017	31 December 2016	31 December 2017	31 December 2016
Branch's risk group ⁽¹⁾						
Deposit						
Balance at the Beginning of the Period	-	-	-	-	108.901	83.696
Balance at the End of the Period ⁽²⁾	-	-	-	-	415.495	108.901
Interest Expense on Deposits	-	-	-	-	2.977	25

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) (As of 31 December 2017, TL 98.859 of deposits denominated in the deposit-risk group line of the balance sheet belongs to Bank Mellat Iran Central and TL 316.636 to the Central Bank of Iran.)

(3) (As of 31 December 2016, TL 58.019 of deposits denominated in the deposit-risk group line of the balance sheet belongs to Bank Mellat Iran Central and TL 50.882 to the Central Bank of Iran.)

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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group ⁽¹⁾	Investments in Associates, Subsidiaries and Joint Ventures		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group ⁽²⁾	
	31 December 2017	31 December 2016	31 December 2017	31 December 2016	31 December 2017	31 December 2016
Borrowings						
Beginning of the Period	-	-	-	-	-	-
End of the Period	-	-	-	-	-	-
Interest Expense	-	-	-	-	-	-

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) As of 31 December 2017: None (31 December 2016: None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2017 and 31 December 2016.

6. Information on benefits provided to key management:

As of 31 December 2017, benefits provided to the Branch's key management amount to TL 2.309 (31 December 2016: TL 1.665).

**VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES
AND FOREIGN REPRESENTATIVES OF THE BRANCH**

	Number	Number of Employees	Country of Incorporation	Total Assets	Statutory Share Capital
Domestic Branch	3	50			
Foreign Rep. Offices					
Foreign Branch					
Off-Shore Banking Region Branch					

**BANK MELLAT, HEAD OFFICE: TEHRAN-İRAN İSTANBUL TURKEY MAIN,
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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as of 31 December 2017, holding the whole equity of the Branch.

31 December 2017

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,45
4	SABA TAMIN INVESTMENT CO.	4,22
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,77
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	MELLAT INVESTMENT FUND BFM	2,62
9	MODABBERAN EGHTEHAD INVESTMENT	1,78
10	MEHR AYANDEGAN FINANCIAL GRUP CO.	1,53
11	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,44
12	I.BANK KESHAVARZI CORRESPONDENT FUNDS	1,41
13	AHDAF MANAGEMENT SERVICES DEVELOPMENT CO.	1,23
14	SHIRIN ASAL CO.	1,21
15	IRAN NATIONAL INVESTMENT CO.	1,14
16	OTHER SHARES (LOWER THAN 1%)	19,49
	TOPLAM	100

31 December 2016

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	SABA TAMIN INVESTMENT CO.	8,71
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,45
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,40
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,44
9	MELLAT INVESTMENT FUND BFM	1,40
10	MEHR 78 SUPPORT SERVICES COMPANY	1,37
11	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
12	SHIRIN ASAL CO.	1,21
13	IRAN NATIONAL INVESTMENT CO.	1,14
14	OTHER SHARES (LOWER THAN 1%)	19,96
	TOTAL	100,00

**BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN,
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SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH’S OPERATIONS:

None.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR’S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR’S REPORT:

The financial statements and disclosures of the Bank as of 31 December 2017 were audited by PwC Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. and the independent auditor’s report dated 29 March 2018 is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclosure which may be in connection with the Bank’s operations but not explained in the above sections.

.....

3. Information about Financial Structure

Net period profit of Bank Mellat Turkey is TRY 52,889 thousand. As of December 31st, 2017 its equities are TRY 292,375 thousand, and its total assets are TRY 1,012,638 thousand.

3.1. Assessment of Financial Status, Profitability and Solvency

As of December 31st, 2017 profitability ratios are as follows.

Profit Before Tax/ Total Asset	66.278 / 1.012.638	6,55%
Profit Before Tax/ Total Equity	66.278 / 292.375	22,67%
Profit Before Tax/ Paid-In Capital	66.278 / 200.000	33,14%

The rates for 31.12.16 are as follows:

Profit Before Tax/ Total Asset	35.347 / 526.132	6,72%
Profit Before Tax/ Total Equity	35.347 / 239.972	14,73%
Profit Before Tax/ Paid-In Capital	35.347 / 200.000	17,67%

Bank Mellat has enough cash and source that is equal to cash in order to fulfill its debts and liabilities.

4. Information About Risk Management Policies Applied by Risk Types

Risk is defined as a reduced economic benefit that might occur if any financial damage is incurred in respect of an operations or a transaction, or an unexpected expense or damage is incurred.

The Bank is exposed to several risks due to the operations it is engaged in to achieve its objectives. The purpose of risk management is to identify, measure, report, monitor and control risks that are faced through defined application procedures and limits, and to determine the internal capital requirement in accordance with the risk profile to be adopted in this context.

Board of Managers is authorized to identify the norms and principles, policies procedures, applications and limits regarding the risk management system. Board of Managers may assign such power to the members, committees to be established and senior department directors provided that the scope and restrictions are specified in written.

The following aspects have been taken into consideration in the determination of risk management policy and implementation procedures.

- The vision, mission, strategy and objectives of the bank,

- Prior and main areas of activity of the Bank, its products, and their volume and characteristics,
- Bank's organizational structure, human resources
- Past events and experiences related to exposure risks,
- The scope and quality of the database for risk management,
- The bank's technological competence and its level of contribution to risk monitoring and management activities,
- Internal capital requirement and actual equity level, and the level of risk compatible with them.

It is not necessary to develop risk management policies and procedures for all types and subtypes of risk, taking into account the size of the branch, the scope and complexity of its activities, the volume of transactions and the variety of products used. The branch management believes that the development of policies and procedures for certain risk types and sub-types within the framework of materiality principle is appropriate and sufficient.

Due to its activities, the Branch is primarily exposed to credit and operational risks, and then market risks that are at a less significant level.

4.1. Principles and Policies for Credit Risk Management

Board of Managers is authorized to open Credit. Board of Managers may assign its power of opening credit to General Manager as per the provisions of Banking Law and the relevant legislations. However, in practice, all loan decisions are taken by the Board of Managers.

Board of Managers is authorized to specify the scope and terms of credit activities.

The Bank's lending activities are carried out in accordance with the following priorities.

- Priority will be given to short-term cash loans for foreign trade transactions, which we act as intermediaries in the allocation of resources and limits for lending activities, and to non-cash loans such as letters of guarantee, letters of credit and silent confirmation that customers may need in export and import transactions.
- Although it is not possible to completely avoid product and sector concentration at Branch's credit risk in terms of target transaction types and target customer, attention is paid for the balanced distribution of credits to a large customer group.
- Customer requests for other lending activities, other than those in the previous paragraph, are of secondary importance to the bank and are assessed taking into account factors such as risk-return balance, maturity and quality of collateral.
- Within the scope of fund management; treasury bills, government bonds and T.C.M.B. liquidity bonds and bank bonds are invested as securities representing low risk debts. The shares representing the debts other than those mentioned above and their shareholding interests can be acquired by the decision of the Board of Directors.

- Demand deposits made at other banks for banking activities, and other time-deposits made at other banks for fund management are carried out within the limits and conditions determined by the Board of Managers.
- Loan allocations and disbursements are carried out in accordance with the principle of "Know Your Customer Well and Closely". No credit is assigned to or used by people and companies that have no reasonable activity background, with insufficient information about their activities, that do not provide the information and documents within the specified time and content, whose management and/or owner has not enough knowledge, capability and transparency.
- In loan decisions, in addition to the guarantees and guarantees to be received, the morality of the debtor and the capacity to generate the cash flow to be used in repayment of the credited transaction are evaluated carefully.
- As a principle, loans are opened in exchange of a valid warranty. First and second group collaterals specified in the "Regulation on the Procedures and Principles for the Determination of Qualifications of Loans and Other Receivables by Banks and for Provisions to be Allocated for Them" are sought as collaterals. Entities other than material and financial assets, which are turned into cash easily and fast, have an operational market, and whose value leaves no room for debt, are not accepted as warranties.
- A reasonable margin is determined for the amount of the collateral according to loan terms (interest, maturity, etc.). The deposit amount is calculated in such a way as to cover the entire risk of exposure in default. Between collateral and risk, attention is paid to the currency and maturity.
- Pricing of the credits is determined according to the degree of risk, and balance of risk profit should be pursued at each credit transaction. In addition to the conditions and maturities of loans, the risks to be incurred against revenues are also assessed. Assessments are used as the basic criteria for determining the price of loans.
- Limits set for total loan risk and country risks are strictly followed. Compliance will be monitored on a daily basis, and any breaches will be immediately reported to the General Manager and will be resolved as soon as possible.

4. 2. Principles and Policies for Operational Risk Management

Operational risk is defined as a risk of loss that arises out of insufficient or unsuccessful internal processes, people and systems, or external occurrences. Operational risks that have the potential of causing significant losses may result in such losses as system interruption or problems, types of business conduct, in-house fraud.

Operational event types do not have not equal risk weights in the Branch. Principles, policies and implementations of operational risk are determined by taking the risk weight that is considered to be valid for the Branch into consideration. In the events that is appropriate for event types and possible to apply, insurance technique is used so as to reduce the risk. Primary principles, policies and measures regarding the operational risk management of the Branch are as follows.

- This technique is used where it is appropriate and feasible to apply insurance technique to reduce operational risk. The Bank's senior management is

authorized to identify areas for using this technique and to use its insurance policy.

- In all activities of the Branch, the liabilities of those who decides and/or approves that the bank may be a party for any banking transaction and of those who are authorized to execute, perform and conclude the transaction are different from each other, and these responsibilities should not be allowed to coincide
- Approval of any kind of banking transaction and actual performance of such transaction are two functions that are separated from each other by strict lines.
- Those who are authorized to have any purchase/sales and investment/borrowing relationship with any addressee and to determine price, term and such conditions about such relationships cannot be granted authorization to perform operational functions related to such transactions and to approve the transactions already performed.
- In addition to distinction between approval and performance tasks, operational transactions are subject to different approval limits in terms of transaction prices. General Manager is authorized to set different limits for different kinds of transactions and to determine application principles accordingly.
- The Branch supports its operational activities with a hardware and software system compliant with international standards and national legislations, that prevents and warns the branch about the transformation of potential risks into actual risks, that strengthens operational productivity and reliability, and that enhances effectiveness control.
- The Bank takes necessary precautions to ensure that the staff follows the developments in legislation and implementation, that they are informed about these developments on time, that the content and scope of these changes are understood, and that the effect of these changes on the activities are communicated to the staff. These works are supported through the Bank's in house and external training events. Controls of coherence that are conducted, and adequacy and level of works about these issues are regularly monitored.
- Growth in the internal volume of the Bank is digitized in terms of periods. This way, work load on the operational staff, trends about the work load, relationships between work force and failures, deficiencies, contradiction are all analyzed. Analysis results are assessed and necessary precautions are taken. An internal audit and internal control organization structure is established in accordance with the nature, scope and frequency of the findings of the assessments made. A sufficient number of experienced personnel are employed in accordance with the qualifications required for the work done in these units.
- Internal control activities are supplementary to the daily operational activities of the Bank, and minimizing the probability and magnitude of operational risks is the main target of the internal control activities. For this purpose, the Bank's internal control unit continuously develops preventive and detective controls, and checks limits and compliance with specific scope and intervals through verifications of material errors, reporting, physical controls, approval and authorization, inquiry and reconciliation.
- Regular internal control works, and frequency and quality of internal control activities are evaluated and controlled, focusing on risks. The internal audit unit shall make recommendations on the developments, trends, importance and priorities of the operational risks and precautions to be taken.

4. 3. Principles and Policies for Market Risk Management

The Branch does not have active sales-purchase activities in its name, does not have a position of security or commodity that bears sales-purchase purpose, and does not use derivative tools. Taking this into consideration, the Branch is exposed to interest rate risk due to securities available for sale, and to exchange risk due to foreign currency exchange position. The following principles and policies apply to these risks, which have a low level of severity.

- The fixed-term resource structure of the bank in the purchase of securities available for sale is taken into account with its weighted durations and costs.
- The rules and limitations of the direction, amount and composition of the foreign exchange position of the Bank is under the authority of the Board of Managers. in principle, but have been delegated to the Risk Committee by the Board of Managers. The Risk Committee evaluates the economic developments in Turkey and the World with a frequency it deems fit, and make recommendations to change on limits and restrictions related to its foreign currency position as it deems fit.
- At least 80% of the Bank's net foreign currency position consists of US dollar and Euro positions, or of currencies anchored to these currencies.

4. 4. Principles and Policies for Liquidity Risk Management

Liquidity Risk, which is defined to be not fulfilling the payment liabilities on a completely and timely basis as there is not cash on hand or cash entry that is at an enough level and of a characteristics to completely and timely meet the cash outflow arising out of the imbalance in cash flows, is managed within the framework of following principles and policies.

- Liquidity risk is taken into account at all assignment resolutions, including the loans. Liquidity management is performed in terms of the capital used.
- The maturity structure of existing bank assets and new areas of use is taken into account when determining the maturities of the bank funding resources.
- Customer and maturity concentrations in non-group resources are monitored closely. The amount of liquid value to be retained and its formation are determined by considering these concentrations as well as legal obligations.

5. Information about Ratings and Their Contents

The branch has no note of rating.

BANK MELLAT, HEAD OFFICE: TEHRAN, IRAN, ISTANBUL, TURKEY HQ, ANKARA AND IZMIR BRANCHES
2017 ANNUAL REPORT

6. Summary Financial Information for the Five year Period including the Reporting Period (TRY -thousand)

ASSET ITEMS	2017	2016	2015	2014	2013
Cash Reserves and Central Bank	133.408	74.912	44.245	57.071	67.364
Banks	483.515	200.735	116.001	99.118	76.110
Receivables from Money Market	-	-	7.201	6.001	8.501
Credits	7.952	7.964	10.456	10.875	23.121
Securities	376.764	232.561	152.216	142.212	150.095
Other Assets	10.999	9.960	10.369	11.042	10.192
Total Assets	1.012.638	526.132	340.488	326.319	335.383
LIABILITY ITEMS					
Deposit	708.245	275.591	125.079	120.455	137.621
Borrowed loans	-	-	-	-	-
Provisions (Tax and Other)	8.851	7.357	5.133	4.325	4.624
Other Liabilities	3.167	3.212	2.275	3.604	3.678
Equities	292.375	239.972	208.001	197.935	189.460
Total Liabilities	1.012.638	526.132	340.488	326.319	335.383

INCOME STATEMENT	2017	2016	2015	2014	2013
Net Interest Income	43.772	27.577	19.538	15.129	13.582
Net Fee and Commission Revenues	26.527	9.694	817	1.543	1.744
Other Revenues (net)	11.660	9.428	3.227	1.422	3.775
Total Operating Revenue	81.959	46.699	23.582	18.094	19.101
Other Operating Expenses	(13.409)	(9.871)	(9.060)	(8.201)	(10.302)
Provision for Credit and Other Receivables	(2.272)	(1.481)	(285)	(1.156)	(274)
Profit Before Tax	66.278	35.347	14.237	8.737	8.525
Tax Provision	(13.389)	(6.979)	(2.806)	(1.767)	(1.566)
Net Profit	52.889	28.368	11.431	6.970	6.959

	2017	2016	2015	2014	2013
Total Number of Employees	50	50	48	48	50
Total number of Branches	3	3	3	3	3

7. Annual Report of Bank Mellat Tehran – Iran

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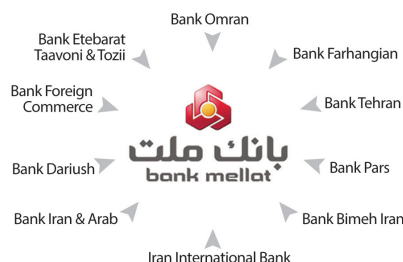
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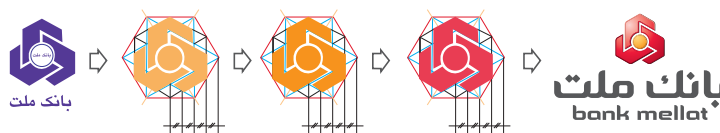
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History of the bank

By virtue of the enactment approval dated 20/12/1979 of Banks General Assembly and in view of article 17 of Banks Affairs Administration Law, Bank Mellat was established on 22nd of July 1980 by merger of 10 private banks and registered under No. 38077 in the Companies Registry Office.



In the wake of notifying policies of article 44 of the constitution and inclusion of Bank Mellat in the related list, and on the strength of approval No. 37925T/68985 dated 24/7/2007 of Board of Ministers, and decision of Extraordinary General Assembly of banks on 6/4/2008, the legal identity of Bank Mellat was converted to "public joint stock". In this context, Bank Mellat was listed in the Tehran Stock Exchange as 448th company on 11/2/2009, and 5% of its stocks was offered on 19/2/2009.



Since attending to the brand and visual identity of the organization is one of the requirements of development of banking activities and attraction of customers, the bank employed suitable standards by the help of powerful consultants and changed external and internal facades of its branches all over the country. Organization Identity Project placed the bank at the global banks level.

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Mellat Contact Center: Tehran: +98(21) 1556

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Board Members



Dr.Hadi Akhlaghi Feizasar
Board Member & C.E.O.



Mr.Mohammad Bigdeli
Board Member &
chairman



Mr.Alireza Lagzaee
Board Member



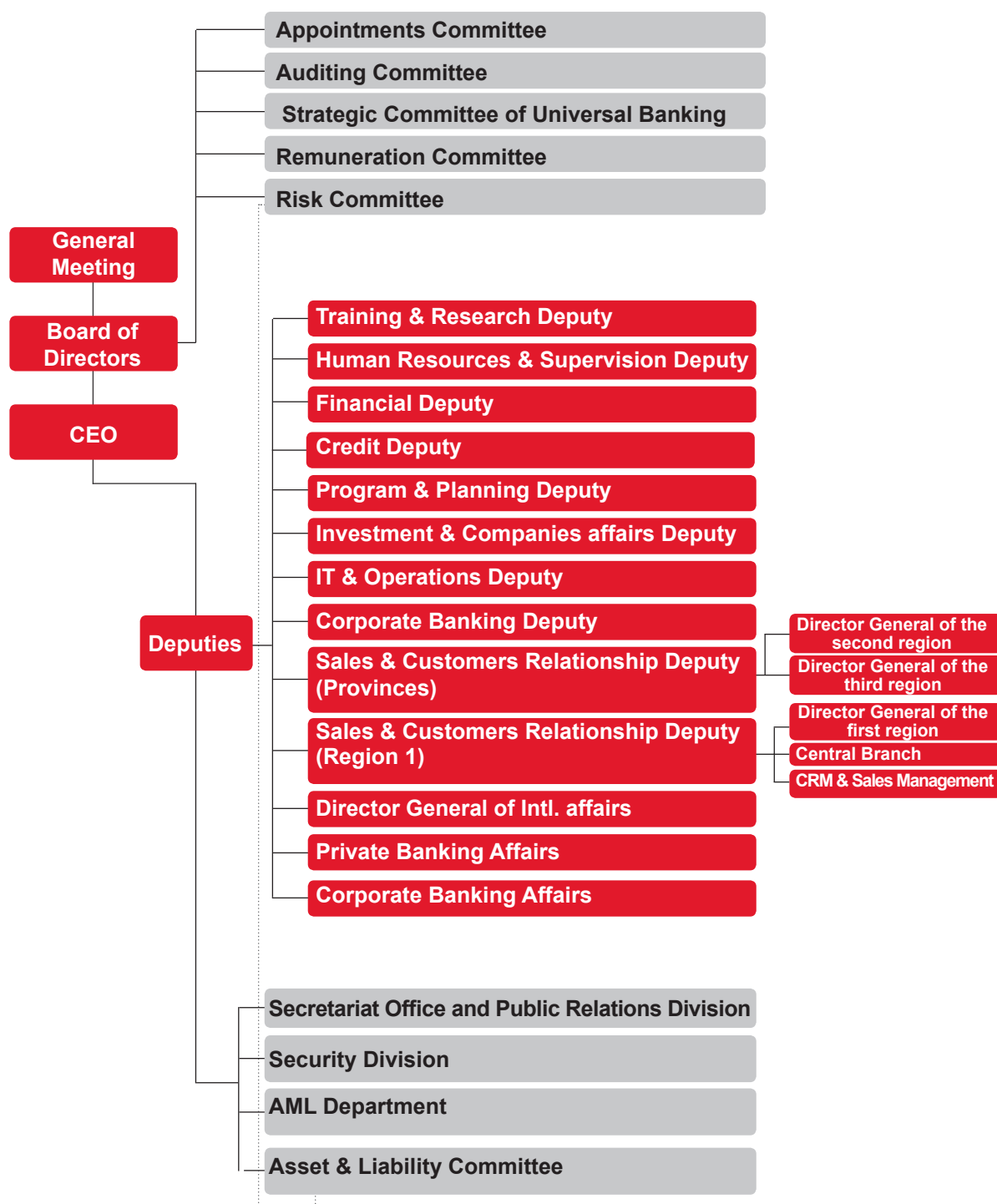
Mr.Hassan Rousta
Board Member



Dr.Hamid Tajik
Board Member

Part One
Bank at a glance

Organizational chart



Brief financial information

Description	Bank			Group		
	2015	2014	2013	2015	2014	2013
A) Performance Information (Million Rial)						
Operating Income	180,712,784	163,550,275	116,437,879	217,612,036	189,425,576	137,697,827
Operating Profit	28,103,528	49,973,751	35,775,479	28,104,329	46,166,792	38,801,414
Non-operating Incomes	25,049,503	1,934,836	9,781,073	24,948,748	3,525,617	13,128,180
Net Profit after Tax	12,389,457	18,303,456	16,792,379	10,870,857	14,842,936	21,978,033
Annual Adjustments	(4,862,267)	(2,360,133)	4,236,156	(3,998,481)	(2,064,434)	4,611,984
Cash from Generated Activities	22,104,241	15,939,146	16,920,314	21,361,247	18,004,421	18,769,509
B) Balance Sheet Information (Million Rial)						
Total Assets	1,774,577,625	1,351,721,415	1,380,358,284	1,787,478,955	1,370,403,180	1,399,729,579
Total liabilities	1,695,020,293	1,280,459,402	1,309,532,822	1,703,346,339	1,293,125,142	1,319,602,893
Registered Capital	40,000,000	40,000,000	33,100,000	40,000,000	40,000,000	33,100,000
Minority Interest				2,149,636	2,002,957	2,087,367
Total Shareholders' Equity	79,557,332	71,262,014	68,323,328	84,132,616	77,278,038	80,126,686
C) Rate of Return (%)						
Return on Assets	0.7	1.4	1.2	0.6	1.1	1.6
Return on Equity	15.6	25.7	23.7	12.9	19.2	27.4
D) Share Information						
shares at general meeting date (million)	40,000	40,000	40,000	40,000	40,000	40,000
First EPS Forecast (Rial)	475	450	240	475	450	240
Last EPS Forecast (Rial)	475	450	408	475	450	408
Actual EPS (Rial)	310	458	420	278	382	566
Cash Dividend(Rial)	-	90	330	-	90	330
Closing share price (Rial)	2,413	2,137	2,376	2,413	2,137	2,376
Share's Book value	1,989	1,782	1,708	2,103	1,923	2,003
P/E ratio	7.8	4.7	5.6	8.7	5.6	4.2

Bank's position among major commercial banks

Bank's share from total deposits of the commercial banks in the local currency

Billion Rial

Year	Bank Mellat	Other major Commercial Banks	Total Deposits	Bank's share
2014	788,360	2,959,596	3,747,956	21(%)
2015	1,044,615	3,748,408	4,793,023	21.8 (%)

Bank' share from total resources of commercial banks in the local and foreign currency

Billion Rial

Year	Bank Mellat	Other major Commercial Banks	Total resources	Bank's share
2014	962,742	3,254,392	4,217,134	22.8 (%)
2015	1,291,408	4,028,236	5,319,644	24.3 (%)

Bank' share from total loans of commercial banks in the local and foreign currency

Billion Rial

Year	Bank Mellat	Other major Commercial Banks	Total Loans	Bank's share
2014	933,222	2,629,501	3,562,723	26.2 (%)
2015	1,126,780	3,210,408	4,337,188	26 (%)

Bank' share from total staff of commercial banks

Figures in Billion Rial

Year	Bank Mellat	Other major Commercial Banks	Total Staff	Bank's share of Total number of staff
2014	22,020	114,936	136,956	16.1 (%)
2015	21,342	111,756	133,098	16 (%)

Major commercial banks include six banks; i.e., Melli, Mellat, Refah, Sepah, Tejarat and Saderat

Human resources

Undoubtedly, today's world is the world of organizations, in which human resources is the most important factor of organizational change and development. Without human resources, organizations neither have conception nor can be administrated. Therefore, human resources is the most valuable asset of today's organizations, because they make decisions, solve problems, and achieve productivity.

In this context, reaching the bank's targets and strategies extremely depend on spirits, endeavor, encouragement and satisfaction of the human resources, moreover operation growth in the bank has direct relations with staff efficiency and productivity, therefore enhancement and development of the bank's staff is the ultimate goal of the human resources division.

A) Improving human resources management quality projects:

- ▶ Designing assessment of the headquarter staff operation.
- ▶ Providing balance of human resources of the bank by regions and divisions.
- ▶ Reviewing carrier path of the branches staff.
- ▶ Reviewing career path of the headquarter staff.
- ▶ Reviewing compliance methodology of educational documents and acceptable majors by the bank.
- ▶ Assessing the branches management offices performance in HR.
- ▶ Identifying and appreciating diligent staff in annual meeting of HR.
- ▶ Managing plan of the incompetent staff.
- ▶ Devising job classification system of the bank based on the bank's special circumstances in the transitional period.
- ▶ Devising SWOT analysis of the HR planning area to devise its strategic plan.
- ▶ Reviewing carrier path of the specialized jobs (expert, auditor, and inspector).
- ▶ Changing job titles of the branches staff.

B) Human resources development

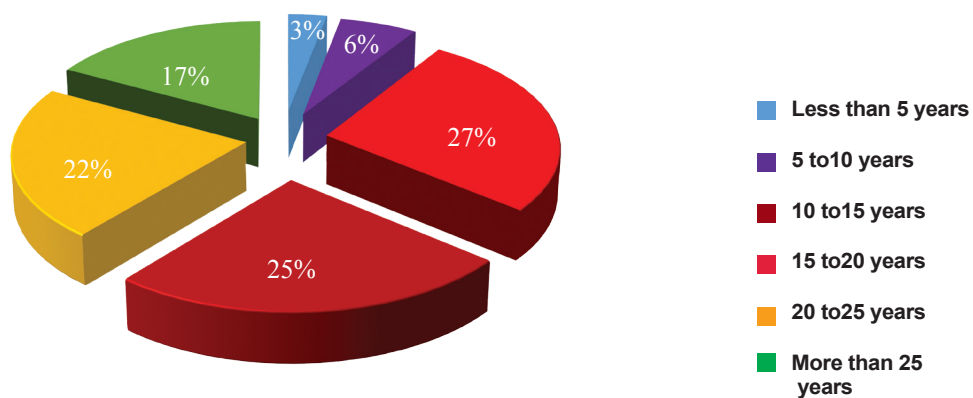
In line with constant strengthening and promoting HR in identifying and applying certain instruments for improvement of HR productivity along with global developments in the banking sector, bank has always tried to maintain and boost up its position in the modern banking industry that is based on universal banking through enhancing human resources quality.

C) Human resources composition

Human resources based on years of service

Less than 5 years	5 to10 years	10 to15 years	15 to20 years	20 to25 years	More than 25 years	Total
650	1,316	5,795	5,224	4,766	3,595	21,346

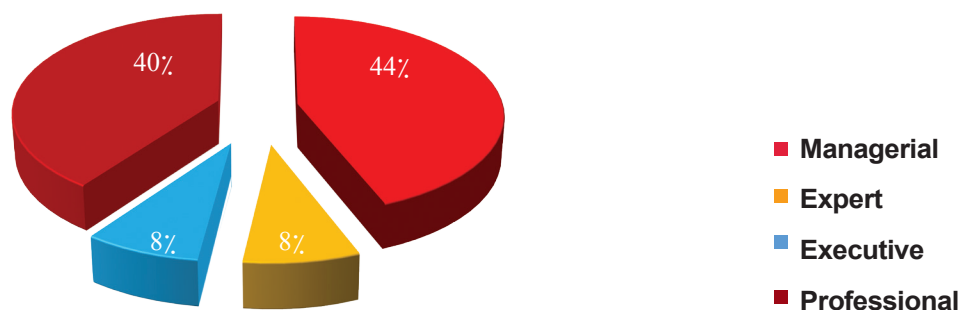
Human resources based on years of service



Human resources based on job description

Managerial	Specialized	Executive	Professional	Total
9,407	1,616	1,719	8,604	21,346

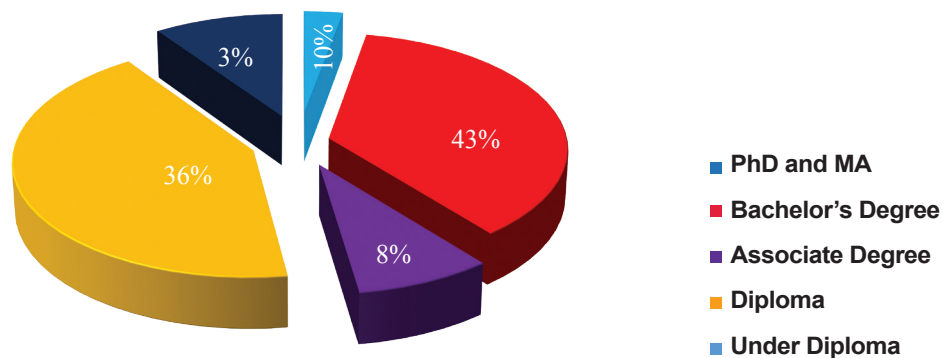
Human resources based on job description



Human resources based on education

PhD and MA	Bachelor's Degree	Associate Degree	Diploma	Under Diploma	Total
2,056	9,113	1,802	7,757	618	21,346

Human resources based on education



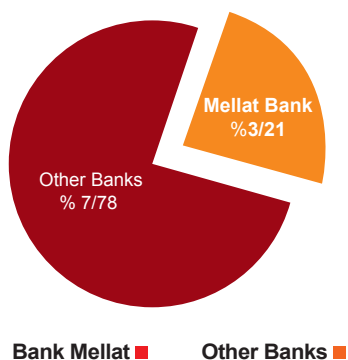
Branches and staff

In line with making branches network activities more nimble, 15 branches were merged and 2 branches were established in the potentially suitable points. Number of branches and staff of the bank are as follow:

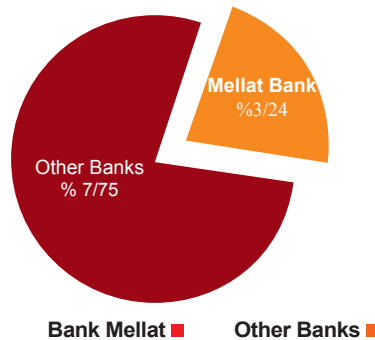
Number of branches and staff

Branches	Staff
1,589	21,346

Bank's branches share among 9 listed banks



Bank's human resources share among 9 listed banks



Bank's position and edge in the banking industry

- ▶ Ranking first among commercial banks for FC and Rial resources balance.
- ▶ Ranking first among commercial banks for the short term deposits balance.
- ▶ Ranking first among commercial banks for staff per capita in attracting resources.
- ▶ Ranking first among commercial banks for staff per capita in attracting Rial deposits.
- ▶ Ranking first among commercial banks for branches per capita in attracting deposits.
- ▶ Ranking first among commercial banks for branches per capita in attracting Rial deposits.
- ▶ Ranking first among commercial banks for granting facilities.
- ▶ Ranking first among commercial banks for attracting FC and Rial deposits.
- ▶ Ranking second among commercial banks for balance of the non-interest-bearing current deposits.
- ▶ Ranking second among commercial banks for Rials deposits balance.
- ▶ Ranking second among commercial banks for issuing L/G.
- ▶ Ranking second among commercial banks for attracting long-term deposits.

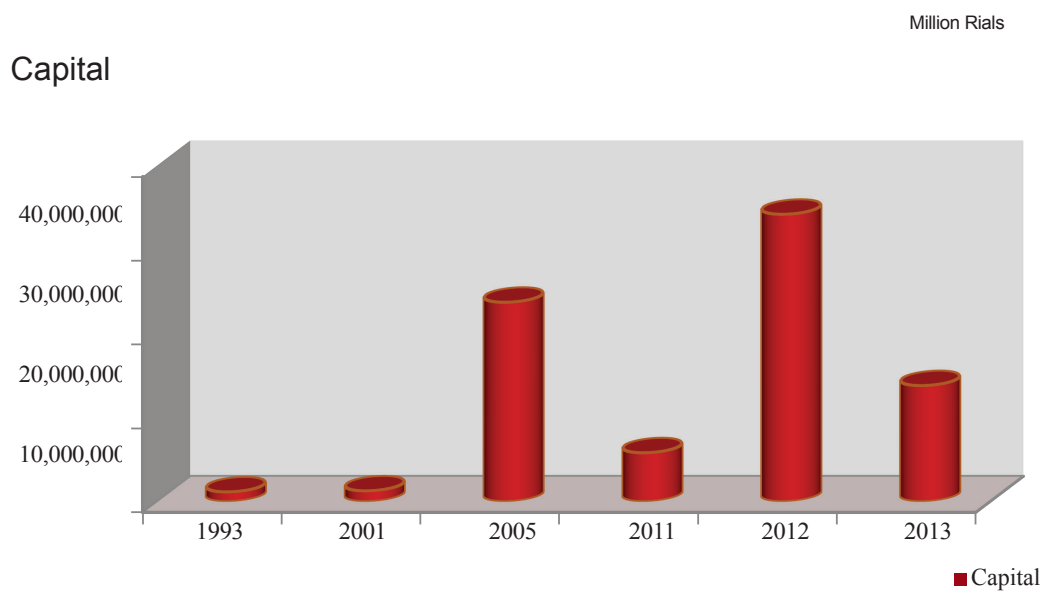
Bank's performance versus previous fiscal year

- ▶ 34.1% growth in the total deposits in both local and foreign currency.
- ▶ 31.4% growth in the local currency deposits.
- ▶ 32.5% growth in the local currency deposits.
- ▶ 39.4% growth in the long-term deposits.
- ▶ 45.2% growth in the short-term deposits.
- ▶ 20.7% growth in the granted facilities.
- ▶ 31.3% growth in the bank's assets.
- ▶ 23.2% growth in joint-income.
- ▶ 32.5% growth in non-joint income.
- ▶ 25.9% growth in total income.

Changes in the capital

Changes in capital since establishment until the end of the reporting fiscal year :

Source of capital increase	Capital after increase (Million Rial)	Capital increase (Million Rial)	Capital (Million Rial)	Change %	Date of capital increase
Revaluation of fixed assets	605,000	571,500	33,500	1706	1.09.1993
Special participation bonds subject to article 93 of 3 rd development plan	1,239,000	634,000	605,000	104.8	1.09.2001
Revaluation of assets and translation of FX assets and liabilities	13,100,000	11,861,000	1,239,000	958	10.08.2005
Cash product of shareholders	16,000,000	2,900,000	13,100,000	22.14	26.04.2011
Share holders equity	20,000,000	4,000,000	16,000,000	25	24.06.2012
Revaluation of fixed assets	33,100,000	13,100,000	20,000,000	65.5	24.09.2013
Retained earnings	40,000,000	6,900,000	33,100,000	20.85	09.02.2014



Composition of shareholders

Shareholders with more than 1% shares on March 20th, 2016

Shareholder	March 20 th , 2016	
	Number of stocks	Percent
Provincial investment companies (Edalat Shares)	11,999,999,797	30
IRI Government	6,800,000,000	17
Social security organization(SSO)	1,523,825,986	3.81
Saba Tamin Investment Co. (Public Co.)	3,884,272,273	9.71
Mehr 78 logistic services Co.	663,239,006	1.66
Tamin Atiyeh Fund for staff of Bank Mellat	2,579,762,512	6.45
Trans Iran Distribution Co.	576,730,331	1.44
Moein Atiyekhahan Cooperative Co.	1,160,575,223	2.90
Shirin Asal Co.	483,397,223	1.21
Oil Pension Fund Investment Co. (Private Co.)	484,632,277	1.21
Iran National Investment Co. (Public Co.)	450,079,625	1.13
Mellat Financial Group Co. (Public Co.)	1,353,802,496	3.38
Others less than 1 %	8,039,683,251	20.10
Total	40,000,000,000	100

EPS forecast versus actual performance

Topic	First anticipation of EPS in 2015 (audited)	Last anticipation of EPS in 2015 (audited)	Actual Perfor- mance March 20 th , 2015
Joint incomes			
Profit from Granted facilities	118,808,700	117,972,709	445,587,122
Profit (loss) from investments & placements	26,415,320	22,339,152	22,898,405
Total joint incomes	145,224,020	140,311,861	145,485,850
On-account profit paid to depositors	(122,037,033)	(126,641,412)	(670,014,136)
Difference of definite and on- account profits paid to depositors	0	0	0
Profit paid to depositors	(122,037,033)	(126,641,412)	(670,014,136)
Bank's share of joint income (including spread)	23,186,987	13,670,449	9,471,180
Non-joint incomes			
Granted facilities profit	41,590,984	32,260,896	79,979,220
Commission income	22,507,159	15,615,580	85,524,712
FX transaction result	13,639	13,391,306	21,513,661
Other incomes	2,856,957	2,819,088	3,535,842
Total non-joint incomes	66,968,739	64,086,870	60,276,437
Total incomes	90,155,726	77,757,319	69,747,617
Expenses			
Administrative and general expenses	(35,397,196)	(36,652,899)	(39,483,389)
Doubtful loans expenses	(7,647,336)	(3,678,259)	(1,005,804)
Financial expenses	(11,235,752)	(11,766,305)	(12,181,482)
Commission expenses	(4,231,509)	(3,854,894)	(3,407,301)
Other expenses	(10,779,647)	(1,039,899)	(490,523)
Total expenses	(69,291,440)	(56,992,256)	(56,568,499)
Profit (loss) before tax	20,864,286	20,765,063	13,179,118
Tax	(1,872,825)	(1,780,447)	(789,661)
Net profit (loss)	18,991,461	18,984,616	12,389,457
No. of bank's shares (million)	40,000	40,000	40,000
EPS	475	475	310

Number of symbol opening and transaction days

Description	2014	2015
Symbol opening days	227	229
Transaction days	227	243

The information has been extracted from Tehran Stock (TSE) Exchange website.

Bank's budget

Forecast for the year 2016 based on the 9 month performance ending (21/12/2015):

Description	Amount (Million Rial) Audited
Incomes from granted facilities	145,604,912
Incomes from investments and placements	23,766,255
Commissions and other Incomes	48,943,298
Total Incomes	218,314,464
Paid profit to investment deposits	(148,895,057)
Other operational expenses	(17,848,731)
General and specific provisions expenses for public loans	(3,587,113)
Personnel, general, and administrative expenses	(42,899,522)
Total expenses	(213,230,453)
Operating profit (loss)	5,084,011
Net non-operating incomes (expenses)	16,372,341
Profit (loss) before tax	21,456,352
Tax	(1,405,343)
Profit (loss) after tax	20,051,009
Number of shares (Million)	40,000
EPS forecast	501

Financial and operational performance of the bank

Item	Bank			Group		
	2015	2014 (reviewed)	Increase (decrease)%	2015	2014 (reviewed)	Increase. (Decrease)%
1. Profit & loss						
A) Main incomes						
Joint incomes	145,485,850	118,081,566	23.2	182,391,721	137,016,012	33.1
Non-joint incomes	60,276,437	47,403,545	27.2	60,169,064	55,935,181	7.6
B) Expenses						
Administrative and general and expenses	38,948,339	27,062,699	45.9	75,140,340	27,671,233	46
Paid profit & cost price of goods and services Expenses	670,014,136	94,942,742	43.3	934,774,172	652,838,122	40.7
Doubtful loans expenses	1,005,803	4,960,343	(79.7)	703,397	5,122,150	(86.3)
Other expenses	490,523	5,668,293	(91.3)	565,505	5,715,092	(90.1)
C) Financial expenses	78,358,815	13,673,439	14	37,602,916	15,297,982	4.8
D) Profit before tax	13,179,118	19,177,595	(31.3)	12,083,819	16,306,084	(25.9)
E) Net profit	12,389,457	18,303,456	(32.3)	10,870,857	14,842,936	(26.8)
2. changes in investments						
A)) tangible & intangible fixed assets	23,085,546	15,300,145	4.1	9,041,753	41,863,350	5.5
B) investments and partnerships	25,383,779	24,859,670	2.1	45,959,341	37,662,540	22
C) Other assets	96,833,735	55,992,354	72.9	93,345,788	63,396,243	47.2
D) Profit generating assets	1,289,389,152	998,400,483	29.1	1,293,347,631	998,221,082	29.6
3. Changes in Capital structure						
A) Shareholders' equity	79,557,332	71,262,014	11.6	84,132,616	77,278,038	8.9
B) Liabilities	1,695,020,293	1,280,459,402	32.4	1,703,346,339	1,293,125,142	31.7

Financial ratios

Item	Ratio	2015	2014	2013
A) Operational Ratios				
Bank share from large commercial banks' resources (%)	$\frac{\text{Bank's resources}}{\text{Large commercial banks' resources}}$	24.3	22.8	25.5
Net facilities to deposits (%)	$\frac{\text{Net facilities}}{\text{Total deposits}}$	69.5	77.5	76.1
NPL to net loans (%)	$\frac{\text{Overdue, NPL and doubtful loans}}{\text{Net facilities}}$	5.8	7.9	8.8
Growth rate of deposits (%)	$\frac{\text{Deposit of the reporting year} - \text{Deposit of the previous year}}{\text{Deposit of the previous year}}$	32.5	13.8	27.4
Growth rate of loans (%)	$\frac{\text{Facilities of the reporting year}}{\text{Facilities of the previous year}}$	20.6	8.5	20.4
Equity ratio (%)	$\frac{\text{Shareholders' equity}}{\text{Total assets}}$	4.5	5.3	5.1
B) Liquidity ratios				
Minimum cash ratio (%)	$\frac{\text{Cash + Items in transit total assets}}{\text{Resource subject to legal deposit}}$	0.7	0.9	0.9
Liquidity ratio (%)	$\frac{\text{Cash flow from operation}}{\text{Net profit}}$	167.7	83.1	94.6
Resources per capita to branches (Billion Rial)	$\frac{\text{Total resources}}{\text{Number of branches}}$	810	600	570
Staff's deposit per capita (Billion Rial)	$\frac{\text{Four deposits}}{\text{Number of staff}}$	48.9	35.1	31.3
C) Profitability ratios				
Return on equity (%)	$\frac{\text{Profit after tax}}{\text{Shareholders' equity}}$	15.6	25.7	23.7
Return on assets (%)	$\frac{\text{Profit after tax}}{\text{Total assets}}$	0.7	1.4	1.2
Net profit growth rate (%)	$\frac{\text{Reporting year's net profit} - \text{previous year's net profit}}{\text{Previous year's net profit}}$	(32.3)	9.0	14.2
Expense to income ratio (%)	$\frac{\text{Doubtful loans expenses + operational expenses}}{\text{Gross operational income}}$	84.5	69.4	69.3
Commission's share from total income (%)	$\frac{\text{Services commission}}{\text{Total income}}$	5.9	11.1	10.9
D) Stocks market ratios				
Earnings per share (EPS) - Rial	$\frac{\text{Net profit}}{\text{Total shares}}$	310	458	420
Dividend per share (DPS) -Rial	$\frac{\text{Attributable profit}}{\text{Total shares}}$	-	90	330

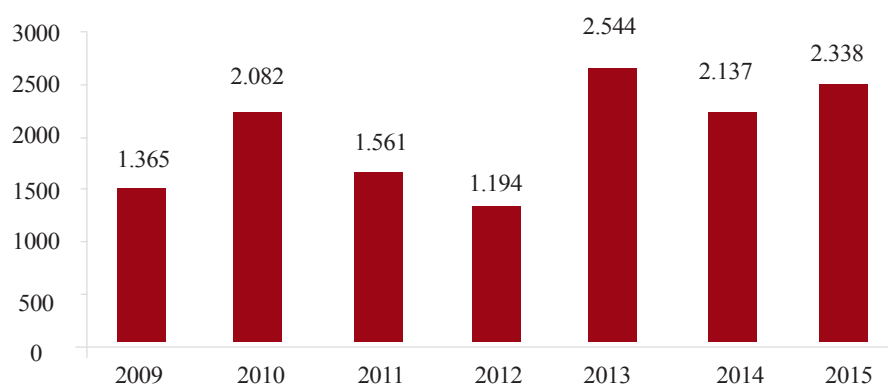
Group's financial ratios

Item	Ratio	2015	2014	2013
A) Operational ratios				
Bank share from large commercial banks' resources. (%)	$\frac{\text{Bank Mellat resources}}{\text{Large commercial banks resources}}$	24.3	22.8	25.5
Net facilities to deposits (%)	$\frac{\text{Net profit}}{\text{Total deposits}}$	69.5	77.5	76.1
NPL to net loans (%)	$\frac{\text{Overdue \& NPL}}{\text{Total loans}}$	5.8	7.9	8.8
Growth rate of loans (%)	$\frac{\text{Reporting year's deposits} - \text{Preceding year's deposits}}{\text{preceding year deposits}}$	32.5	13.8	27.4
Equity ratio (%)	$\frac{\text{Reporting year's loans} - \text{Preceding year's loans}}{\text{Preceding year's loans}}$	20.6	8.5	20.4
Proprietary ratio (%)	$\frac{\text{Shareholders' equity}}{\text{Total assets}}$	4.7	5.6	5.6
B) Liquidity ratios				
Minimum cash ratio (%)	$\frac{\text{Cash + Funds in transit}}{\text{Resource subject to legal deposit}}$	0.7	0.9	0.9
Profit liquidity ratio (%)	$\frac{\text{Cash flow from operation}}{\text{Net profit}}$	196.5	121.3	85.4
Resources per capita to branches (Billion Rial)	$\frac{\text{Total resources}}{\text{Number of branches}}$	763	567	570
Staff deposit per capita (Billion Rial)	$\frac{\text{Four deposits}}{\text{Number of staff}}$	46.5	35.1	30.4
C) Profitability ratios				
Return on equity (%)	$\frac{\text{Profit after tax}}{\text{Average of shareholders' equity}}$	13.5	18.9	27.4
Return on assets (%)	$\frac{\text{Profit after tax}}{\text{Average assets}}$	0.7	1.1	1.6
Expense to income ratio (%)	$\frac{\text{Doubtful loans expenses} + \text{Operating expenses}}{\text{Gross operating income}}$	87.1	75.6	51.1
Commission share from total income (%)	$\frac{\text{Services commission}}{\text{Total income}}$	4.8	8.9	16.9
D) Stocks market ratios				
Earnings per share (EPS)	$\frac{\text{Attributable profit}}{\text{Total shares}}$	278	382	566

Bank in the TSE /status of transactions and share prices

Bank's shares namely "WebMellat" was registered in Tehran Stock Exchange on 11th of Feb 2009, in group of banks and financial institutions. The Bank's shares status during the last 6 years are as follow:

Fiscal year ended on	No. of transacted shares	Value of transacted shares (Million Rial)	Symbol open days	Market value (Million Rial)	Share price at the end of year (Million Rial)	Capital (Million Rial)
2009	2,336,586,016	2,782,805	231	17,881,500	1.365	13,100,000
2010	911,923,339	1,602,437	225	33,312,000	2.082	16,000,000
2011	1,922,789,338	4,057,217	228	31,220,000	1.561	20,000,000
2012	2,408,269,077	2,882,811	215	39,521,400	1.194	33,100,000
2013	6,176,229,968	15,072,050	215	101,760,000	2.544	33,100,000
2014	3,641,647,776	7,909,389	227	85,480,000	2.137	40,000,000
2015	7,046,704,189	15,710,367	229	93,520,000	2.338	40,000,000



Share's Price ■

Customers of the bank

Currently, customers of the Bank comprise public and private legal and natural entities totaling 29,212,802 persons, holding 42,484,949 accounts in Rial and FC.

NPL ratio

The average NPL ratio in the commercial banks is 12%, while it is only 6% for Bank Mellat. Given above and considering the total granted facilities, the bank has got the greatest achievements of all in debt collection.

Status and developments of banking industry in 2015

Banking industry enjoyed a premium position among 43 different industries and 568 listed companies in the primary and secondary market and ranks among top ten industries. The growth of listed banks in the stock exchange after declaration of the article 44 and also the obligation to getting listed in stock market in recent years have led to more connection between capital and money markets.

It was the first time in recent years that the depositors received more interest than stock market. After several years the real interest paid to deposits was positive because of controlling the rate of inflation in the previous year.

Although this benefited the depositors, the situation got complicated and the government decided to modify the interest rate. Currently, the market value of the banks in the primary and secondary market is estimated at 498 thousand billion Rials.

Major achievements

- ▶ Obtaining interbank proposal system trophy.
- ▶ Organizing “Iran’s book capital” festival in cooperation with ministry of Culture And Islamic Guidance.
- ▶ Rejoining to the SWIFT system.
- ▶ Establishing cashless society in Kish Island.
- ▶ Investing Rial 80,000 Billion in South Pars.
- ▶ Granting facilities for renovation of 30,000 worn out taxies.
- ▶ Participating in the public interest activities.
- ▶ Participating in cultural and artistic activities.
- ▶ Obtaining the lowest NPL ratio among large commercial banks.
- ▶ Obtaining the golden Trophy of national popular brand in banking and e-banking services from national festival for superior brands in 2014.

IT and e-banking activities

Evaluating bank's maturity in utilizing Big Data and devising its roadmap

Implementing cash dashboard system.

Launching the dynamic report maker system.

Launching digital archiving system for branches vouchers.

Upgrading technical and process infrastructure of security incidents management.

Developing infrastructure of centralized security services (such as patch management and Active Directory).

Establishing the Information Security Management System in e-banking.

Implementing the identifying current status phase of the SOC.

Protecting the bank's website against phishing.

Launching on-line inquiry system for customers to reduce KYC risk.





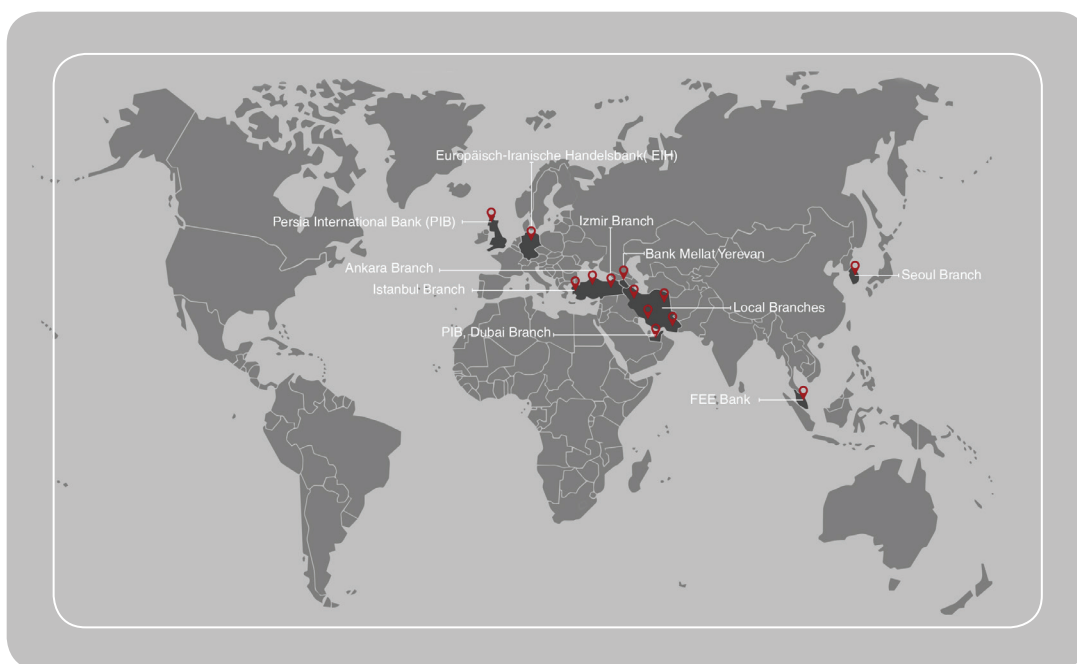
ANKING

enter
return

alt

control

Bank's network



28

Customers	29,212,802
Accounts	42,484,949
ATMs	4,539
Round the clock stations	320
Branch POSs	5,234
POS	769,635
POS transactions (Billion Rials	3,306,790
Debit cards	34,347,436
Prepaid cards (voucher & gift cards)	19,955,209
Active mobile banking customers	2,389,961
Active e-banking customers	1,780,779

National and international laurels

With due regard to its brilliant performance, bank Mellat has obtained remarkable laurels in the past three decades.

National and international laurels



Top Place by The Banker, Institute2000



First place among public banks,2003



ISO 2000:9001 form-MOODY Inc.



Top place between trade bank



Appraisal of President



Appraisal of ministry of Trade for wheat purchase plan



The only selected bank for enhancement of health system and cleanup,2010



Obtaining National EFQM reward in



Appraisal of ministry of Finance and Economic Affairs,2006



Top Place by The Banker, Institute2002



Commemoration of twelfth EFQM congress



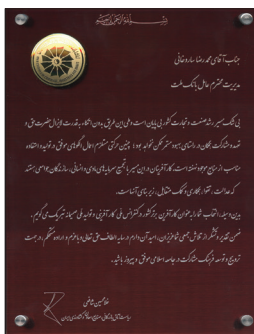
Obtaining honesty statue



Obtaining National EFQM reward in 2013 fiscal year



Obtaining six rank in 2014



Obtaining higher intreprenure in national conference of intreprenership in 2014



Obtaining honesty statue in Electronic Banking in 2014



Obtaining higher organization in IT & healthy administrative management in 2014

Part Two Universal Banking

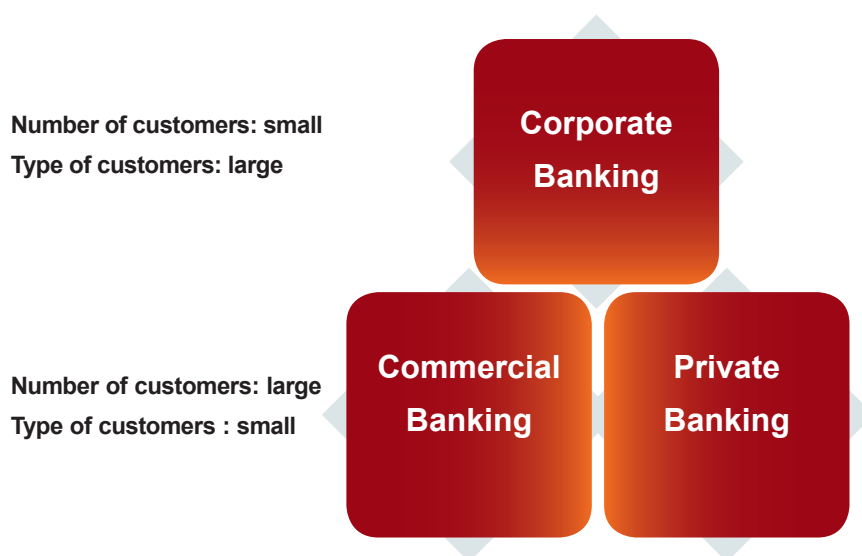


Improving business model of the bank

Given the recent developments in the business environment regulations and conditions as well as increasing customers' expectations along with their more complicated requests, transition from traditional banking to universal banking is in the bank's agenda.



Universal banking is actually a one-stop shop in which customers can get all their services including: insurance, leasing, securities transactions, payment orders, etc. In fact, in universal banking appropriate services are provided for each customer groups according to their needs. There are three groups of customers in the bank based on their size and entity: personal, corporate, and commercial.



Achievements of universal banking

Generally speaking, achievements of implementation of universal banking include customer satisfaction, profitability and risk management. these achievements can be categorized in the main business lines (customers area) and supporting units.

Table 1: Achievements of universal banking in customer area

Commercial and Personal Banking	Corporate Banking
• Settlement of the customer-oriented concept instead of product-oriented. image and decision making based on the customer-communication level. • Creating operational program based on the balanced score card(BSC) and customers. • Implementation of the pilot project, products/services/procedures pathology and improving them gradually.	• Transferring knowledge and technology for designing proposition. • Categorizing the customers. • Planning for establishing, implementation and pilot start-up.
Sale Management area	
• Redesigning organizational chart of branches and branches management based on the new business model. • Selecting and training qualified staff for Relations Manager post. • Preliminary design of operational plan based on the new business model.	

Table 2: Achievement of implementing universal banking in the supporting units' area

Risk and Credit area	Financial area
• Analyzing jobs related to approved structures in universal banking • Evaluation and preparation job description and qualifications for universal banking • Designing the Pattern for Compensating Services in Corporate Banking	• Identifying key processes for offering services to customers and identifying improvable points
Operations Improvement Workgroup	Compliance Workgroup
• Establishing excellence centers structure and customers groups • Improving some of key processes based on new business model • Establishing new departments based on the bank's new business model	• Preparation of agreements for Presenting services to customers and subsidiaries. • Designing preliminary copy of processes providing service between customers and subsidiaries. • Making common targets for selling products and services between customers and subsidiaries.

Personal banking

Promoting remote services plan by trained staff among more than 50 percent of Branches.

Increasing non-interest-bearing deposits

- ▶ Increasing non-interest-bearing deposits festival's prizes.
- ▶ Performing bank's social responsibilities including school construction in deprived provinces, helping to the atonement head quarter in order to release the unintentional crimes prisoners. Granting interest-free facilities, enhancing marriage interest-free facilities up to 100 million rials, and constructing library out of non-interest-bearing deposits.

Owj plan of the bank:

This plan was designed with the purpose of absorbing current non-interest-bearing financial resources, and short-time deposits from customers and granting facilities proportionally.

Developing insurance desks in branches:

- ▶ Developing insurance services providing branches.
- ▶ Designing and implementing systems for selling insurance policies in order to activate the possibility to cover women and students in all branches.

Developing brokerage services in branches:

- ▶ Equipping the selected branches and receiving license from stock exchange organization (total branches: 50, Mellat brokerage exchange branches: 40, Mofid Brokerage branches: 10).

Improving leasing services in branches:

- ▶ Improving selling system of products and leasing services to receive the reports of the branches providing services.
- ▶ Developing branches that provide leasing services.
- ▶ Assigning index and target, monitoring performance of the branches in operational plan.

Developing investment banking in branches:

- ▶ Developing selling system of investing units in all branches.
- ▶ Selling Andukhteh Mellat Fund investment units in all branches.

Mahan's purposed value package.

All leading and successful businesses have perceived that it is necessary to pay attention to the valuable and pivotal customers which create the most income for the bank. Personal banking management focusing on special customers' requirements and appreciating their special position, has presented "Mahan's purposed value package".

According to this plan, customers are considered as precious one on the basis of the sum of quarterly weighted average of their investment deposits (short-term and long-term), non-interest-bearing accounts (current and saving) holding with the bank. Precious customers may take advantage of the Mahan's purposed value package products and services if they complete and sign the application form of Mahan's purposed value package. Holding continuous meetings by branches manager with precious customers in order to introduce the new Mahan plan, opened the way for an effective relation with them and would lead to initiate continuous added value for bank and customers. In this way Bank would achieve a more comprehensive perception of the special requirements of this kind of customers. Meeting these requirements, would lead to customers' satisfaction and consequently will enhance profitability of the Bank.

Some of the special services for Mahan's customers are as follows:

- ▶ Issuing free check book and special Mahan's access cards as per customers' request.
- ▶ Various insurance products
- ▶ Various credit products
- ▶ Other priority services

C) Performance of leasing products

Project	Performance/Achievements
Developing Electronic Services	•Initiating 200 round the clock Stations •Initiating 2,000 cashless ATMs •Increasing the number of ATMs to 4,569 •Cooperation with petroleum ministry in the national plan of "cruise" •Initiating 3,000 fuel Pay Stations in 2,700 of Gas Station •Issuing 500,000 Multipurpose cards (Fara Bank) •Initiating gift card sales system in internet via website of the bank •Initiating OTP SMS on Internet Banking System •Withdrawal of funds without Card from ATMs •Equipping branches to the POSs (1,000 units) •Increasing shop POSs to 800,000 units

Corporate Banking

Necessity of launching corporate banking

In the current competitive banking environment, presenting special services to customers would lead to increase their loyalty, management of incomes and expenses, and increase profitability. In this context, Bank Mellat has made big changes in its structure by implementing Corporate Banking for customers that bring long term profitability with a certain risk level.

In an endeavor to keep pace with top international banks and in order to strengthen the brand of the bank, Corporate Banking Management officially started its operations in March 2013 in order to cater for the big corporate customers.

Corporate Banking Mission

The main mission of Corporate Banking is creating value for the big corporate customers. These customers at least should have had sales equaling Rial 300 Billion in 2013 and according to the type of the customers' requirement and geographical location, relations manager will be allocated to them in order to recognize customers' requirements and suggest the best packages to them.

Creating and increasing value for customers and improving key processes for offering special services to them, designing unique products and services, and making long term win-win relations with them are the main goals of Corporate Banking management.

Through offering various types of banking and non-banking services to large corporate customers, Corporate Banking provides their needs in faster and better manner and increases their satisfaction.





The most important steps in corporate banking

- Presenting services to 216 customers in Zafar branch and 75 customers in the central branch.
- Holding general and expert internal and external training to empower relations managers and create global standards and enhance quality of the staff to cater selected corporate customers.
- Performing all infrastructure affairs including creating new structure and processes, job score, carrier path, performance-based rewarding, indexing staff performance based on Corporate banking Goals
- Concluding MOU with organizations and companies to achieve the bank's objectives and enhance profitability.
- Management of Moheb systems, special payment, settlement of funds through Shetab System, Electronic payment of treatment costs, Funds Management of organizations.
- Conducting assessment possibility of establishing corporate banking office in other provinces.

Plans, projects & participations-performance of systems designed by corporate banking

Special Payment	Remitting funds through Shetab system
• A type of group payment order, without issuing check • Receiving beneficiaries particulars via file/web service • Presenting report of funds receivers	• Facilitating and accelerating in organization's fund payments with Shetab card • Allocation of internet port to selected organizations and companies without creating separate electronic systems
Corporate banking: 10 customers Other areas: 40 customers	Corporate banking: 2 customers Other areas: 43 customers

Moheb System

First office banking in Iranian banking system

Electronic Payment of Treatment Expenses

- Installing POS-PC and Omitting cashier
- Connecting POS with HIS system of hospital
- Clarifying financial turnover of the health system resource

Region 2: Four branches management

Region 3: Six branches management

Region 4: Four branches management

funds management for organizations

- Issuing integrated supporting account for organization/company
- Connecting current accounts of subsidiaries to the supporting account
- Electronic transfer of the funds to the supporting account
- Presenting reports of subsidiaries accounts balances and profit share of each one in the supporting account via Moheb system

Different Areas: 34 customers

Measures in the pipeline

- ▶ Attracting new customers and reviving inactive ones
- ▶ Adopting branch oriented approach
- ▶ Attracting new customers
- ▶ Activating inactive customers that have corporate banking capacity
- ▶ Evaluating relations managers of the customers

Commercial Banking

In line with realizing the objectives of resisting economy and furtherance Bank's plans; commercial banking unit has studied in different economic sectors, along with recognizing the capacities of each of them according to their financial transactions and being economical, by performing marketing researches to meet their requirements and also coordinated with supporting units to design and produce their required services.

The proposed package designed for the target customers includes facilities and credit services, e-banking services and affiliated companies services (insurance and leasing) based on their requirements.

- ▶ Value package for down-stream petrochemical industries
- ▶ Value package for capital market experts
- ▶ Value package for the ICT market participants
- ▶ Value package for distributor companies
- ▶ Improving clients experience in purchasing export L/G
- ▶ Feasibility study for launching virtual center to provide services to corporate customers
- ▶ Certified check

Measures taken for universal banking project

- ▶ Separating market sectors
- ▶ Organizing sales department.
- ▶ Developing Financial Excellence Center.
- ▶ Paving the way for MIS (management information system).
- ▶ Modifying financial accounting structure.
- ▶ Management accounting.
- ▶ Market risk management and liquidity.
- ▶ Developing Credit Risk Excellence Center.



Customers groups in universal banking

Providing quality services to customers requires better understanding from them. Thus, in the universal Banking project, Bank Mellat has separated businesses into 3 groups of customers and all of the customers would be classified in this classification. So, that commercial and corporate banking cater for legal entities and personal Banking, would be in common in providing services for real and legal entities according to their requirements.

Corporate Banking

Large private and public companies with a high volume and variety of activities.

Commercial Banking

Legal entities with a medium to high volume and variety of activities

Personal Banking (retail)

Natural entities from different levels and classes each of which having their own particular requirements

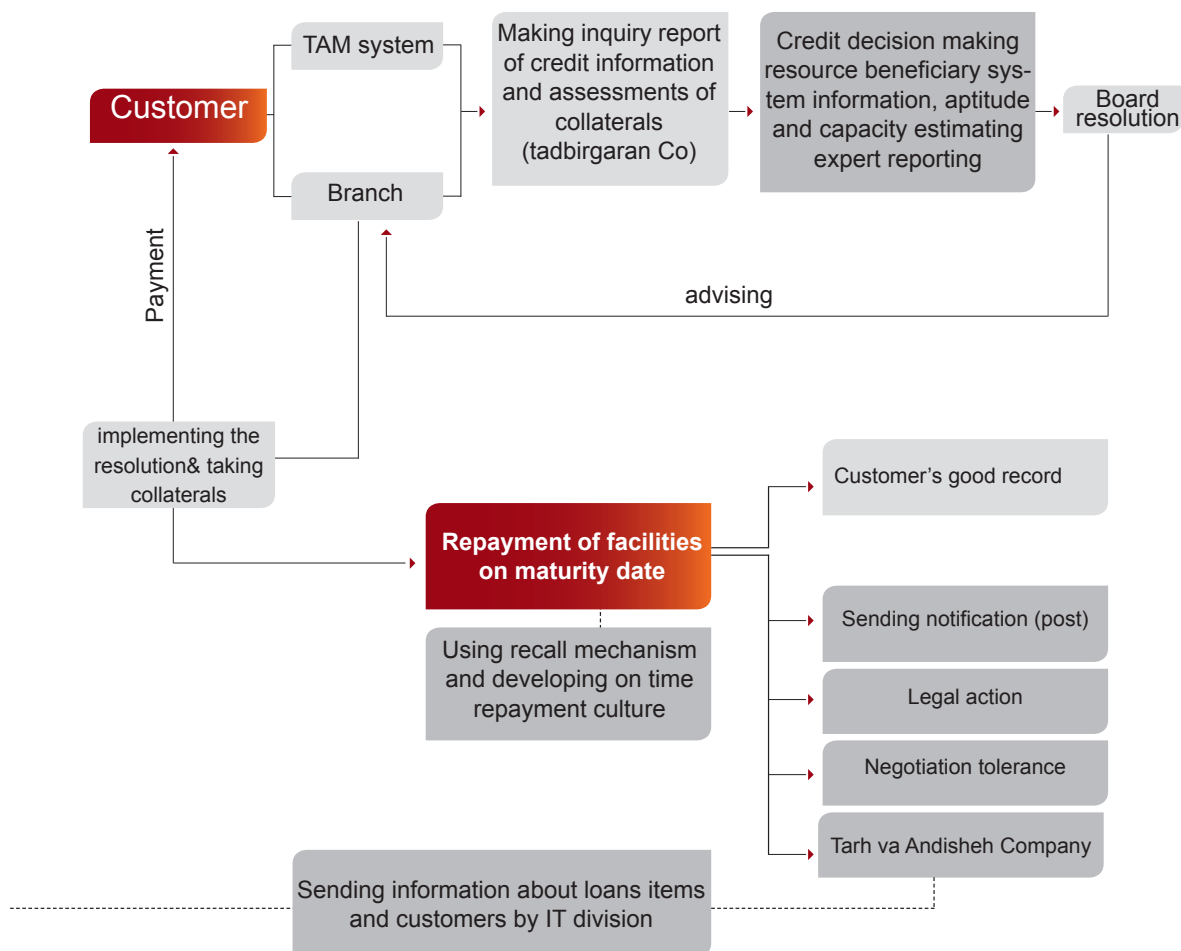
Effective steps of the bank towards quality excellence

Performance of credit area

In the economic structure of the country, banks are the focal point of economic sectors in financing and priority of referring active customers in economic fields in order to meet their financial requirements, therefore, performance quality of credit division plays an important role in success of any bank as well as economic development of the country. By understanding this issue, Bank Mellat has paid special attention to credit process, allocating resources and facilities, and also observing credit soundness and credit risk management.

Enjoying highly experienced experts in the credit area and designing and implementing strategic operational systems, the bank is honored to be known as a pioneer in enhancing credit knowledge and specialty in the country.

In general, key factors of optimizing credit processes, credit scoring and optimized allocation of facilities & liabilities are as follows:



Schematic diagram of credit procedure in the Bank

Participation in national mega projects

In line with the reviewed credit decision-making processes and delineation of roles of divisions, and reforming organizational structure and adopting a risk-based-approach for each customer in credit risk assessment area, one of the anticipated achievements was a meaningful reduction in NPL ratio versus the recent past years. Properly granted facilities and purposeful injection of resources in projects, besides helping economy of the country in line with local production and launching projects have led to preventing and curbing NPLs. The following table depicts participation of Bank Mellat in some of the national projects and participation with large companies:

Row	Company	Amount billion Rials	Nature of the Facility
1	Bronze Industrial Group	100	Civil Partnership out of letter of agreement with the Sapco
2	SAIPA Group	1800 4262	working capital -Civil partnership LC obligations
3	Abniyeh Hemmat	200	Civil Partnership for housing Construction
4	Atinegar afam	170	Civil Partnership with commercial sector
5	Tejarat Nour Abrar	150	Civil Partnership
6	Pourateb	300	Custom guarantee
7	EXIR Pharmaceutical Distribution Co.	100	Overdraft
8	Soha Helal Distribution Co.	200	Civil Partnership facilities
9	Saha Kish	350	Civil Partnership facilities
10	Iran Tele-communications Co.	2,000	Civil Partnership facilities
11	Boland Tabagheh Co.	350	Civil Partnership facilities
12	Electro Movalled Engineering Co.	336	Sight import LC
13	Iran Khodro Co.	1,500	Civil Partnership
14	Iran Khodro Co.	2,200	Forfaiting out of CBI credit line
15	Sapco	1,000	Working Capital- Civil partnership
16	Sapco	400	Local Deferred LCs in IRR
17	Iran Khodro Co.	5,000	working capital- Civil partnership
18	Electro Movalled Engineering Co.	250	Profit Sharing
19	Sapco	500	Sight import LC
20	Golnaz Food Industrial Group	300	working capital-Civil partnership + Overdraft
21	Rastikar Alborz Co.	500	FX payment orders

Row	Company	Amount billion Rials	Nature of the Facility
22	Isfahan Vegetable Oil Industrial Factories Co.	110	Partnership in Working Capital
23	Ramak Fars Co.	100	Working Capital
24	Khousheh Fars Flour Mills	70	Working Capital
25	Lucky nuts Co.	100	Working Capital
26	Farsnov Cement Co.	170	Working Capital
27	Kavosh Kimia Kerman Co.	100	Sight import LC
28	Kowsar Hospital	200	Fixed Capital
29	Shiraz University	80	Completion of dormitory and central building
30	Abyek Cement Co.	350	Fixed capital
31	Fateh Sanat Kimia Co.	300	Working Capital
32	Fateh Sanat Kimia Co.	1,000	Contractor/non-Contractor L/Gs
33	Naghshe Jahan Suger Co.	700	Working Capital
34	Machine Sazi Arak (MSA)Co.	200	Local Deferred LCs in IRR
35	Fars University of medical Science	1,000	Working Capital
36	Tehran Galvanizeh Borna	100	Local LC
37	Tehran Galvanizeh Borna	100	Import LC
38	Tehran Galvanizeh Borna	70	Local commercial profit sharing
39	Ferdos Distribution Co.	400	Local commercial profit sharing
40	Aria Dana Leasing Co.	100	Civil Partnership
41	Modern Auto light Industries Co.	50	Civil Partnership
42	Abzar Sara Co.	35	Local commercial profit sharing
43	Margarin Co.	350	Civil Partnership
44	Margarin Co.	50	Customs guarantee
45	Shahid Bahonar Copper Co.	280	Civil Partnership
46	Shahid Bahonar Copper Co.	120	Civil Partnership
47	Hejrat Distribution Co.	300	Civil Partnership
48	Sepahan Industrial Group	100	Non-contactor L/G in IRR
49	Sepahan Industrial Group	150	Partnership in working capital
50	Paudraad Co.	315	Partnership in working capital
51	Pishro Tashkhis Fardavar Co.	100	Partnership in working capital
52	Pishro Tashkhis Fardavar Co.	107	Partnership in Fixed capital
53	MAPNA Turbine Engineering and Manufacturing Company (TUGA)	500	Non-contactor L/G in IRR
54	MAPNA Turbine Engineering and Manufacturing Company (TUGA)	450	Civil Partnership+ Working capital
55	Faculty Welfare Fund of Payam-e-Nour University	100	Civil Partnership for Housing Construction
56	Debsh Sabz Gostar Co.	300	Sight import LC
57	Debsh Sabz Gostar Co.	750	Partnership in working capital

Row	Company	Amount billion Rials	Nature of the Facility
58	Daroupakhsh Distribution Co.	650	Local commercial profit sharing
59	Ghasem Iran Co.	200	Partnership in working capital
60	Ghasem Iran Co.	100	Partnership in working capital
61	Darman yab darou Co.	100	Local commercial profit sharing
62	Darman yab darou Co.	100	Overdraft under Forfaiting
63	Zolal Iran Co.	350	Contactor L/G in IRR
64	Pajuh Tashkhis Fardavar Co.	100	Non-contactor L/G
65	National Industry Copper Co.	5,000	Civil Partnership
66	Rayan Saipa Leasing Co.	300	Civil Partnership
67	Shan Dasht Co.	180	Civil Partnership
68	Farmed Pars Pharmacy	50	Civil Partnership
69	Tehran Cement Co.	400	Civil Partnership
70	Iran Leasing Co.	600	Civil Partnership
71	Pak Dairy Products Co.	50	Civil Partnership
72	Noble in the steel industry	350	Civil Partnership
73	Fakour Sanat Tehran Engineering Co.	300	Non-contactor L/G
74	Tejarat Javid Arian Co.	150	Payment Order
75	Akbaryeh Co.	120	Civil Partnership
76	Golbarg Baharan Co.	100	Guarantee
77	Golbarg Baharan Co.	280	Civil Partnership
78	Pasargad Petroleum Co.	1,500	Civil Partnership
79	Fakour Sanat Tehran Engineering Co.	70	Civil Partnership
80	National Industry Copper Co.	1,000	Civil Partnership
81	Pouya Protein Co.	70	Civil Partnership
82	Khousheh Dasht Co.	130	Civil Partnership
83	Milad Carpet Co.	200	Civil Partnership
84	Tak Makaron Co.	60	Civil Partnership
85	Marinasun Co.	440	Civil Partnership
86	Dr. Abidi Pharmaceuticals	125	Civil Partnership
87	Adora Teb Co.	200	Civil Partnership
88	Saveh Cement Co.	100	Civil Partnership
89	Mobin net Tele-communications Co.	200	Civil Partnership
90	Mobile Telecommunication Company of Iran (MCI)	5,200	Civil Partnership
91	Zamyad Co.	400	Forfaiting
92	Zamyad Co.	900	Civil Partnership
93	Arvand Plastic Co.	200	Civil Partnership
94	Mammut Co.	1,450	Civil Partnership
95	Mammut Co.	500	Customs Payment Guarantee
96	Paxan Co.	500	Civil Partnership

Row	Company	Amount billion Rials	Nature of the Facility
97	Shirin Asal Food Industrial Group	500	Civil Partnership
98	Behpaksh Co.	500	Profit sharing
99	Sam Electronic Co.	250	Civil Partnership
100	Sam Electronic Co.	3,000	Payment Order and B/E
101	Saaf Film Co.	250 161	Working capital +fixed capital
102	Nejati Industrial Group(ANATA)	400	Working capital
103	Nejati Industrial Group(ANATA)	80	Working
104	Amin Pharmaceutical Co.	USD 250 6,000,000	Working capital import LC
105	Tabriz Can manufacturing Industries	80	Working capital
106	Maral Sanat Co.	300	Working capital
107	Khoshgovar Tehran Co.	185	Fixed Capital
108	Khoshgovar Tehran Co.	90	Working capital – Civil Partnership
109	Goldiran Industries Co.	200 500	Working capital Internal LC
110	Kashan Amirkabir Steel Co.	250 100	Import LC Local LC
111	Tehran Khoshgovar Co.	11,000	Working capital
112	Isfahan Mobarakeh Steel Co.	50	partnership in working capital
113	Azarbaijan tissue Co.	40	Working capital
114	Nafis Glass Co.	170	Working capital
115	Arian Kimia Tak Co.(MY)	800	Fixed capital
116	Nirouchlor Co.	EUR 220 6,439,966	Fixed capital Fixed capital
117	Isfahan University	100	Fixed capital
118	Zahravi Pharmaceutical Co.	850	Working capital
119	Saipa Co.	1,800 4,262	Working capital- civil partnership LC obligations
120	Ronak Daru Co.	300	Working capital
121	Bahman Diezel Co.	400 3,122 400	Working capital civil partnership LC obligations LC obligations
122	Zaeim Electronic Industries Co.	31.5	Working capital- Civil partnership
123	Asia Kabir Steel Co.	450	Working capital- Civil partnership
124	Central organization for rural cooperatives (CORC)	1,500	Working capital- Civil partnership
125	Siba Motor Co.	100	Working capital -Civil partnership
126	Saba Tamin Co.	2,700	Working capital -Civil partnership
127	Bana Gostar Karaneh	700	Working capital (Local LCs)
128	Oil Turbo Compressor Construction Co.	1000	Working capital - Civil partnership

Row	Company	Amount billion Rials	Nature of the Facility
129	SADRA	400	Working capital - Civil partnership
130	SADRA	1900	Working capital (LG)
131	Jahanpars engineering & construction Co.	2500	Working capital (LG)
132	Behran Petroleum Co.	2000	Working capital - Civil partnership
133	Tabriz Petroleum refinery Co.	1000	Working capital - Civil partnership
134	Payandan Co.	1200	Working capital (LG)
135	Iranian central oil fields Co.	3069	Bonds in IRR
136	Oil Turbo Compressor Co.	500	Working capital (NDF)
137	North Drilling Co.	2194	Working capital (underwriting Sukuk bonds)
138	Bandar Imam Petrochemical Co.	5000	Working capital - Civil partnership
139	National Iranian Gas Co.(NIGC)	12000	
140	maroon-karan Co.	450	LGs in IRR
141	Oil industry pension fund	3000	Working capital
142	PIDEC	500	LGs in IRR
143	Marun petrochemical Co.	2000	Working capital (Civil partnership)
144	Dashtestan cement Co.	250	Working capital
145	Shirin Assal Co.	730	Working capital
146	Soufian cement Co.	250	Working capital
147	Sepahan equipment MFG Co.	100	Working capital
148	MAPNA Group	1900	Working capital
149	Noori petrochemical Co.	1000	Working capital
150	Iranol petroleum Co.	40	LG
151	Iranol petroleum Co.	1000	Import LC
152	Iranol petroleum Co.	700	Civil partnership
153	Iranol petroleum Co.	300	Civil partnership
154	Iranol petroleum Co.	200	Overdraft
155	Jey Oil refinery Co.	4000	Civil partnership
156	Jahanpars engineering & construction Co.	900	Civil partnership
157	Pardis petrochemical Co.	20,000	Civil partnership
158	Jundishapur	500	LG
159	National Iranian oil engineering & construction Co.	400	Working capital
160	Kermanshah petrochemical Co.	600	Establishing the ceiling of the facility
161	Safa Petro Pasargad CO.	1295	Payment guarantee
162	Kermanshah petrochemical Co.	1000	Establishing the ceiling of the facility of civil partnership
163	Shiraz petrochemical Co.	1000	LG
164	TAM Iran Khodro Co.	800	Contractor guarantee

Row	Company	Amount billion Rials	Nature of the Facility
165	Khorasan steel complex Co.	1000 650	Fixed capital Working capital
166	Yaran rolling Co.	800 200 200 600 100	Working capital Sight LC obligations Deferred LC obligations FX payment orders LG
167	Yazd profile Co.	90	Working capital -Civil partnership
168	Shahrour cement Co.	100	Working capital -Civil partnership
169	Neysan shargh Co.	280	Working capital -Civil partnership
170	Kachoo Co.	300	Working capital -Civil partnership
171	Samen Pharmaceutical Co.	180 93	Working capital -Civil partnership Sight LC
172	The housing and civil engineering company Qods Razavi	100 500	(Working capital (civil partnership Contractor Guarantee
173	Sugar Co.	50	partnership in working capital
174	Fazl Neishabur Co.	100	partnership in working capital
175	Kalleh meat products Co	85	partnership in working capital
176	Behara food industries Co.	100	partnership in working capital
177	Kalleh Co.	50	partnership in working capital
178	Fazl Neishabur Co.	50	partnership in working capital
179	Electric Khodro Co.	50	partnership in working capital
180	Lulehgostar	100	partnership in working capital

Row	Company	Amount billion Rials	Nature of the Facility
1	Behdis Tejarat Alborz	USD 17,000,000	Payment order (35%)
2	Pourateb	EUR 10,000,000	Payment order
3	Port & Maritime Organization	EUR104,330,000	LC
4	Iranian Central Oil Fields Co.	EUR34,000,000	Working capital-Hand on LC
5	Beharn petroleum	EUR 10,000,000	Working capital- payment order
6	Jahanpars engineering & construction Co.	EUR 496,000	FX Guarantee
7	Jahanpars engineering & construction Co.	USD 700,000,000	FX Guarantee
8	PIDEC	EUR 100,000	FX Guarantee
9	PGSOC	EUR 650,000	Establishing Gas condolences Refinery
10	Developing Saba Kangan Oil and Gas Co.	USD4,000,000,000	Developing South Pars Phases and trans Iran gas pipelines
11	Maroon Karan Co.	EUR2,800,000	Good Performance Guarantee
12	PIDEC	EUR 100,000	FX Guarantee
13	Iran Oilfield Supply Kish	EUR 2,000,000	Advance Payment Guarantee

Research and development:

Future study

- Root finding and improving corporate banking pattern implementation.
- Root finding and improving commercial banking pattern implementation.
- Root finding and improving private banking pattern implementation.
- Universal Banking (opportunities and threats).
- Business models in banking industry.

EFQM secretariat

- EFQM establishment project activities in the Bank.
- Main activities in review and study of head quarters' performance assessment system.

Future action

- Research and review credit rating agencies and obtaining board resolution to rate the bank.
- Acting as secretary of high council of strategy

Resistance economy

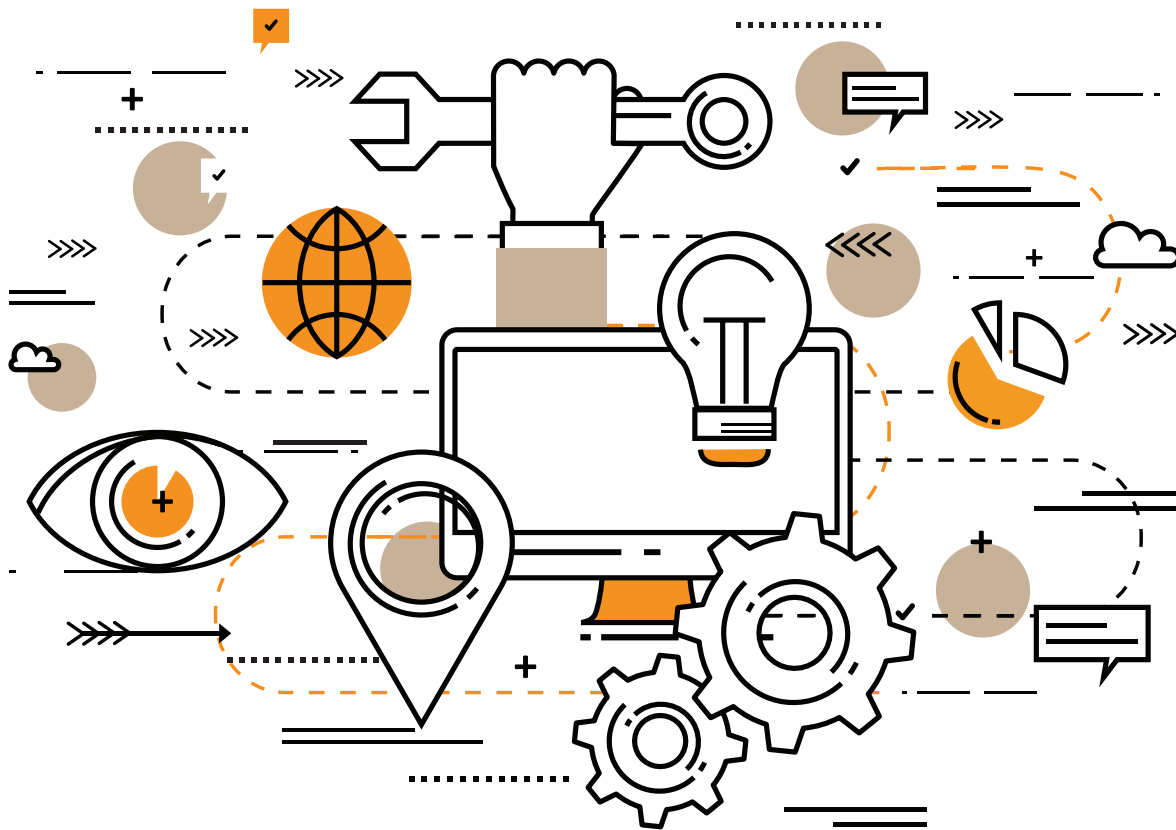
- Holding 2 sessions for resistance economy taskforce presided by the CEO
- Preparing, delineating and conceptualizing resistance economy proposal
- Preparing 2 issues of resistance economy analytic report and sending it to the relevant public organizations and private institutions comprising 3 main part of "resistance economy in Bank Mellat", "specialized reports" and "resistance economy in the media"

Management

- Devising the nimble knowledge management implementation plan
- Devising the framework of establishing project management office

Monetary and economic analyses

- Report on the bill on removing production obstacles and enhancing competitiveness of financial system of Iran
- Assessing the future deposits and loan interest rate from the policymakers point of view
- Imposed and lifted sanctions: their effects on banking system



- Comparing financial ratios of the bank versus other local banks during 2010-2014
- Holding a series of meeting for analyzing economic situation of the country after lift of sanctions.
- Assessing the banks performance in FX deposits balance index
- Assessing and analyzing some of the problems of the banking system
- Credit rating of bank Mellat
- Assessing the banks performance in public housing plan
- Assessing the loss making branches situation
- Determining the optimal composition of the IRR deposits of the bank
- Forecasting macroeconomic variables of the Iranian economy in 2016
- Proposing implementing the project of optimizing the balance sheet items of the bank
- Implementing the project of optimizing the assets portfolio of the bank

Human resources

- Devising visions, mission and objectives of the HR team
- Deigning, devising, and revising the banks HR questionnaires in the poll taking system

- Preparing the report on “ root finding in HR area problems and providing solutions”
- Participating in the HR satisfaction taskforce
- Participating in high the council of corporate culture , ethics and the human dignity committee

Operational plan

- Preparing and submitting the subsidiaries performance report to the internal meeting on march 20th, 2015
- Connecting strategic planning to operational Planning
- Establishing project management office

Strategic planning

- Devising strategies and plans for international division for 2021 horizon.

Legal environment of the bank

The most important rules and regulations governing operations of the bank include:

- Resolutions and regulations of the Money and Credit Council
- The monetary and banking act ratified in 1972
- The usury free banking act ratified in 1983
- The commercial code
- Tax regulations
- Stock exchanges rules regulations and codes of conduct
- AML act
- The annual policy-regulatory package of the CBI
- Articles of associations of the bank

Social responsibility

Participation in public interest activities

In addition to purposeful economic activities, Bank Mellat has taken various measures to develop public interest services through gratuitous payments. These activities are as follows:

- ▶ Payment of blood money in lieu of needy prisoners convicted to unintentional crimes.
- ▶ Participation in construction and equipping 63 schools, boarding art schools and handicapped schools.

Participation in the cultural and artistic events

In line with its mandate, Mellat Foundation has done in social responsibilities and public interest services including:

- ▶ Commemorating the scientific, cultural and artistic figures.
- ▶ Establishing cultural relations with other countries.
- ▶ Publishing cultural magazines.
- ▶ Holding literature festivals.
- ▶ Holding voluntarily working day.
- ▶ Visiting museums and cultural centers.
- ▶ Participating in environmental campaigns and exhibitions.

Training 2015

Training performance in 2015

Course/conference period	Training per capita	Realized performance (man hour)
36,115 hours	83 hours	1,767,122



Internet sale system for travel exchange

In line with the policies of the government, the following measures have been taken by the bank on selling FX-travel currency by the end of 2011:

Admission of passengers for controlling the documents and registering the request for FX travel in all branches of Bank Mellat, creating counter in 16 domestic international airports in order to pay foreign currency to the passengers, paying FX to respectable pilgrims of Sacred House of God and the holy shrine in FX branches, settling of New Year holidays' duty and increasing the number of active branches during the New Year and so forth.

In line with creating more satisfaction for customers, a unique Internet system for selling FX travel was designed during a 6 months period and put into operation in September 2014.

By utilizing this system, respectable pilgrims and passengers can refer to the bank's website and complete the required information and pay the relevant expenses to buy foreign currency electronically. Then, pilgrims of the holy Mecca and the holy shrines can refer to the branches and receive their FX travel, and other passengers can receive FX by referring to the counters at the airport.

Significant achievements of utilizing unique system of the Bank's FX selling:

- ▶ Reducing bureaucracy for passengers.
- ▶ Accelerating foreign currency sale process.
- ▶ Increasing the bank's capacity in providing applicants with foreign currency.
- ▶ Transparency in the process of the foreign currency selling by presenting accurate explanation of the operations steps to passengers.
- ▶ Ever more realization of e-banking by reducing attendance in the branches.



Mellat contact center (1556)

Mellat contact center was inaugurated in March 2007 in an effort to achieve customer satisfaction, informing, following up, and guiding customers in banking services and providing remote services via modern communicative methods. It has both a customer-oriented and service-oriented approach to mechanize communication channels between the Bank and customers.

The current communication channels of this center are as follows:

- ▶ Tel. no. 1556 with more than 60 digital phone lines
- ▶ SMS
- ▶ Voice-mail
- ▶ E-mail
- ▶ Fax
- ▶ Q& A system

This center works round the clock and is ready to serve the customers with more than 40 expert staff and currently caters for about 3500 contacts per day.



International and foreign currency operations

Policymaking

- ▶ Preparing sustainable recovery plan for the international division in the post sanctions era.
- ▶ Cooperating with the delisted industries (food and medicine) by issuing letters of credit, issuing payment orders, as well as collection the petrochemical companies claims.
- ▶ Settling over 300 items, equal to USD 290 million of the previous obligations related to the sight and deferred LCs out of either bank's own resources or deposits in order to maintain the competitive edge and brand of the bank.

Performance in the granted facilities

- ▶ Issuing letter of credit for construction of the Khaf wind power plant of Behin Ertebat Mehr Co.
- ▶ Paving the ground to obtain FX allocation approval from the CBI for Bandar Abbas Gas Condensate Refinery project of Persian Gulf Star Oil Company.
- ▶ Participating in granting syndicated loan to Kordestan Petrochemical Company.
- ▶ Preparing financing scheme for Petro Paidar Iranian development Company.
- ▶ Assessing & studying the prospective commercial contracts to grant facilities out of China's finance facilities.
- ▶ Achieving a 45% share in foreign currency resources, among large commercial banks of the country.
- ▶ Achieving a 39% share in FX export guarantees and 25% in the FX import guarantees.
- ▶ Handling 3080 payment orders, equivalent to EUR 785 million.

AML activities

- ▶ Removing operational problems in allocating code digit to real-entity, legal-entity, and foreign customers of the bank in accordance with the directive of Iranian and foreign costumers recognition.
- ▶ Updating customers account and blocking account of the deceased customers after receiving confirmation from national organization for civil registration.
- ▶ Implementing Risk-Based-Approach project for rating the costumers.
- ▶ Taking actions required to implement Nahab and Shahab system (Banking electronic

identity system).

- ▶ Launching electronic archive project for branches accounting documents.
- ▶ Implementing pilot archive system for costumers' recognition documents in 10 branches.
- ▶ Participating in assigning the level of customers' activities taskforce in CBI.
- ▶ Holding the first conference on the role of AML and CFT in international relations for senior managers and managers of the premium branches.
- ▶ Providing and issuing Bank Mellat's AML statement.
- ▶ Increasing quality and quantity of the daily CTR and STR reports.
- ▶ Implementing control and supervisory checklist sector of the bank's AML.
- ▶ Earnest endeavor in developing staff AML training programs.
- ▶ Achieving up to 67% of project operation management of the FIU.
- ▶ Enhancing qualitative and quantitative level of the bank's AML structure.



Corporate governance

In order to establish corporate governance, aimed at increasing efficiency of the board of directors, fulfilling accountability, achieving objectives, transparency and reliable reporting, supervising, observing rules and regulations and controlling the risk of securing resources and allocation them economically, the following structures have been established in the bank by board of directors:

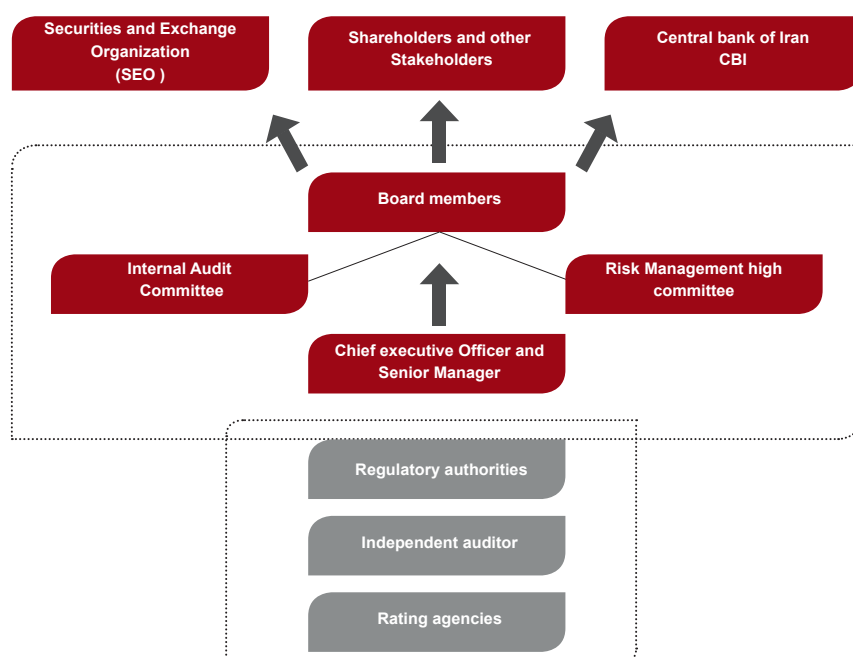
- ▶ Audit committee
- ▶ Internal audit management
- ▶ High committee of risk
- ▶ Risk management

Bank Mellat has managed to reduce risk, increase market value, optimally attract and allocate resources via establishing corporate governance, moving towards securing more values for stakeholders, and sustainable growth of deposits by attracting depositors' confidence.

Regarding the predominant role of Risk Management Committee and internal audit committee in steering corporate governance, Bank Mellat has established the aforementioned committees since three years ago to help board of directors in their supervisory role.

These committees have played a prominent role in developing strategies and achieving the bank's objectives enjoying presence of chairman of the board of directors, CEO deputies, elite university professors, banking industry experts, and opinion of the internal and external advisors.

Corporate governance structure in Bank Mellat comprises organizational roles such as board of directors, high committee of risk, and internal audit committee. Following up the strategies, increasing efficiency & operations efficacy, complying with rules and regulations, and properly reporting to the shareholders are among achievements of establishing corporate governance in the Bank.



Audit committee

Audit Committee was established by approval of the board of directors and its charter was approved on 23 July, 2008. Structure, organization, duties, responsibilities, and meetings are clarified in its charter. The main goals and responsibilities of Audit Committee are as follows:

- ▶ Supervising financial reporting process and authenticity of financial statements
- ▶ Establishing the internal controls system.
- ▶ Supervising compliance with rules and regulations
- ▶ Establishing and continuing internal audit functions,
- ▶ Monitoring professional competency and observing independence of the independent auditor.

Members of the audit committee consist of one of the bank's board members as the chairman of the committee, one of the bank's recognized experts, two certified public accountants, one PhD. in accounting out of the bank. Internal audit manager acts as the member and secretary of the committee.

Audit Committee convened 40 meetings in 2015, the main measure taken are as follows:

- ▶ Assessing internal audit report of operational processes of personal and private banking as well as inspection & supervising divisions, together with deposit and services cycle, applying amendments and consequently approving by the committee members.
- ▶ Assessing internal audit reports of operational processes of selected financial systems, regional informatics, commercial banking, training and research and strategic management center, making decisions based on conducting amendments and representing to the audit committee.
- ▶ Assessing and ratifying comprehensive plan of audit in 2015 (banking operations deputy and companies affairs and IT deputy) with supervisory approach, applying amendments and consequently approving by the committee members.
- ▶ Assessing internal audit management reports on latest status of recommendations in the audited divisions, as well as the implemented recommendations.
- ▶ Assessing general plan of internal audit of the banks' holding companies, subsidiaries and required structures including; devising charter for audit committee and regulating internal audit responsibilities in order to audit the group's companies, discussing and exchanging views by the committee members.

- Assessing comparative reports of the changes in direct tax law and transparency on the function of divisions and branches affairs management in line with the changes in law.
- Negotiating and assessing the independent auditors draft on the bank's dues from government and government dues from the bank on March 20th, 2013 and consequently presenting opinions by committee members.
- Assessing the problems related to actuary calculations in performing accounting standard (No 4 and 27) and making decision based on certifying calculations about achieving the figures registered in the report.
- Assessing requirements and preparation for implementing IFRS
- Assessing resolutions of the cabinet of the ministers on the code of conduct of "removing production obstacles' act" and determining the functions of each unit of the bank in the act.
- Assessing the report of internal control deficiencies, executing and supervising payment for promotion plan, negotiation and exchange of views and consequently approving by committee members.
- Assessing financial statements draft ended on March 20th 2014, holding various meetings with independent auditors on applying amendments and presenting audit committee points of view.
- Assessing proposals of the ABC implementing executors in the bank.
- Assessing operational program reports of internal audit management for 2016 including bank processes, holdings, IT, discussing and exchanging views, consequently approving by the committee members.
- Assessing draft of midterm financial statements of the bank (independent auditor's report) for September 22th, 2015 in cooperation with financial division staff and presenting comments by committee members.

Internal audit management performance

- ▶ Within the operational deputy and company's affairs, seven divisions and bank operating cycles were audited. A number of audit points in the area under investigation were 314 items in which 652 recommendations were presented in order to solve the problems, upgrade the internal control structure and improve the efficiency.
- ▶ Within the IT deputy area, two IT projects were audited and the report was approved in the audit committee and the board of the bank, these missions led to identifying 24 findings and presenting 79 recommendations in order to upgrade internal controls.
- ▶ Following up performing of the audit recommendations of the units under investigation in monthly intervals and sending the report to the same unit and audit committee management. This led to termination of 551 audit recommendations until march20th 2016.
- ▶ Executing special audit missioned by the audit committee, deputies council and board of directors including universal banking problems report, commenting on AML regulations and statement, assessing career path of specialized professions, assessing bank's dues from Mashhad municipality, assessing and following up the unsettled figures of heading 1523 via correspondents with area managers, report of administered funds of the national railway company held with the bank's Istanbul branch, report of registration process of the uncollectable L/G's, assessing prototype software of delay payment and issuers liabilities for participation bonds.
- ▶ Heading the taskforce for amending and improving Chakavak system and its implementation in the bank along with MQ system controls by holding over 35 meetings.
- ▶ Participating and following up the affairs related to transferring facilities from SAEE system to core banking by participating in the expert task force.
- ▶ Assessing the audit reports draft, management letter, etc. to present to the audit committee.
- ▶ Advising different units of the bank on their day to day operations.
- ▶ Preparing monthly loans & debts report of the inter related parties and submitting it to the CBI.

Risk management

Governance structure of the risk management

Risk Governance as an important part of the bank's corporate governance has a significant role in implementing risk management framework in the bank and assists the board of directors and senior managers of the bank devising strategies based on covering the risks.

Risk Governance structure in the bank has been formed based on international standards and models. As its main infrastructure, risk Management deals with identifying, processing, assessing, reporting, monitoring and reducing the risk in cooperation with other departments of the bank.

Risk Governance structure comprises organizational roles including board of directors, risk management committee, audit committee, and risk management division that handles policies, methodologies and rules, monitors systems to reasonably ensure efficiency of the organizational management risk.

Risk management in the bank requires participation of a vast number of staff and organizational units each of which performing different functions and have responsibility as parts of defensive layers of the bank's risk management against probable risks.

Risk management committee

Risk management committee is one of the most important pillars of the risk governance in the bank. In order to help board of directors, risk management committee is acting on managing organization risks such as:

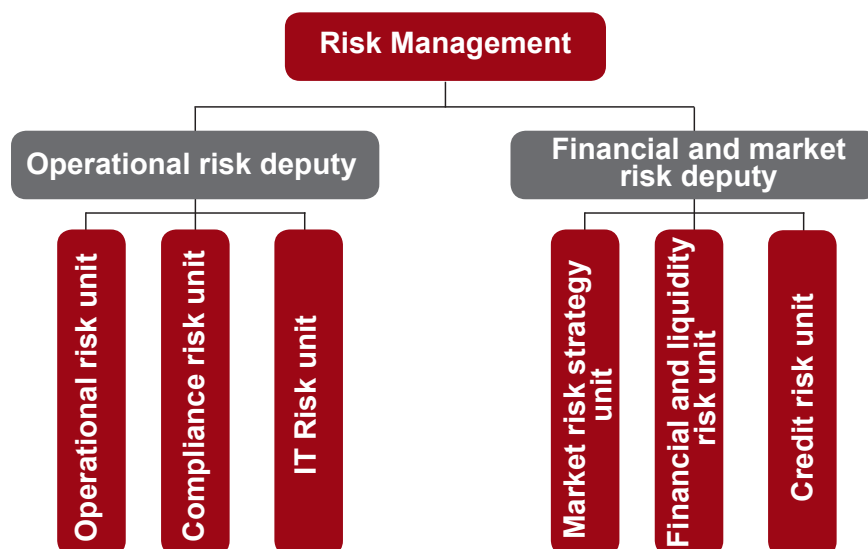
- ▶ Emphasizing on culture building in risk management
- ▶ Assessing situation of the bank's risks
- ▶ Assessing reports presented on main risks involved in the bank's operations
- ▶ Informing the board of major risks faced by the bank
- ▶ Reasonably assuring of effectiveness of risk management system
- ▶ Assessing efficiency of risk management methodology and proposing the risk appetite and tolerance to the Board.

In line with executing its duties, risk management committee managed to hold 9 meetings and issued 24 resolutions (including 38 recommendation) in 2015.

Risk management division

According to the bank's new approach based on "a bank with global thinking" and inevitability of establishing correspondent relations with the international banks and financial institutions, the standards and guidelines of Basel committee, define the

criteria for executing risk management in the bank. Risk managers increase value creating capacity in the bank by mitigating risks and creating a balance between strategic objectives and future risks, being aware of the uncertainties and internal and external organizational risks. Risk management division helps the board of directors in achieving the objectives and creating added value by identifying, assessing, analyzing, proper reaction and continuous monitoring major risks that adversely affect achievement of the bank objectives. The risk management division as the second defensive layer against the risks has independent structure and manages related risks of the bank's operations by establishing different units of risk management including: credit risk, liquidity risk, market risk, operational risk, IT risk and compliance risk.



The above structure enjoys cooperation of the liaison officers of the risk settled in different departments in identifying risks associated with processes, individuals and internal systems.

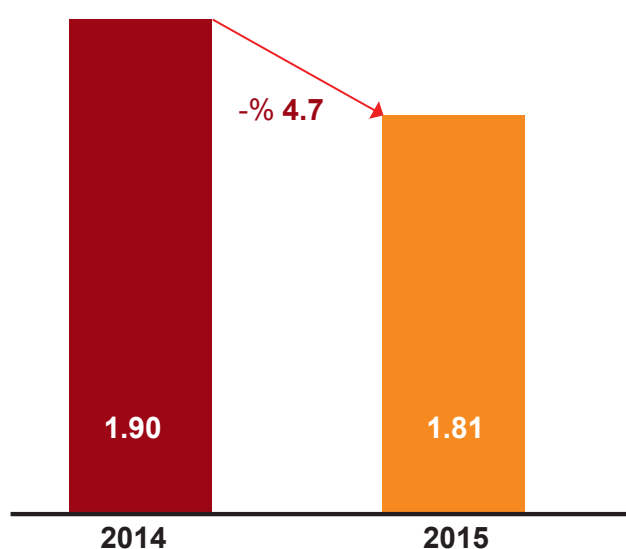
Total resultant of liquidity risk

Resultant of the Bank's liquidity risk index was equal to 1.90 in 2014 and 1.81 in 2015 which indicates 4.7 percent decrease in liquidity risk. In spite of the liquidity problems in banking system in 2015, liquidity risk in Bank Mallet could optimally be mitigated by continuous management.

Value at risk

The Bank's portfolio management in 2015 was such that despite of 11.64 percent growth in granted facilities (except the redeemed bonds) the value at risk for the credit portfolio has decreased 2.81 percent over the previous year.

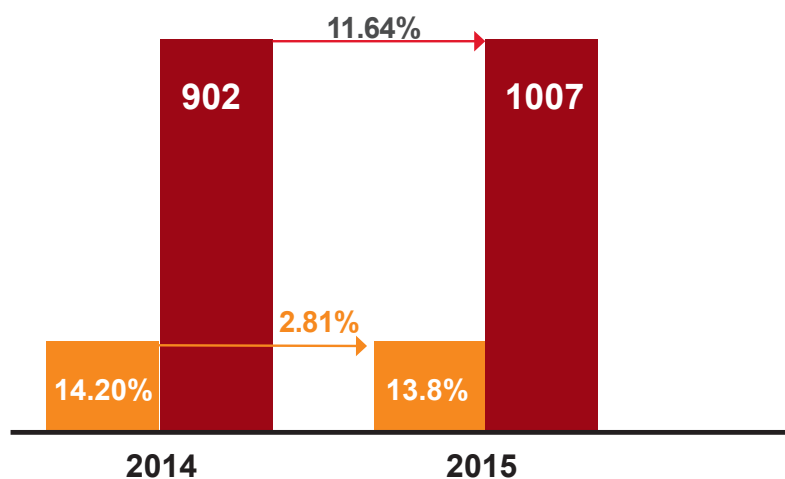
Total resultant of liquidity risk



Hedging value at the risk in credit portfolio

The scope of coverage in value at the risk in credit portfolio in 2015 increased 9.87 percent versus the preceding year and reaching 53.65 percent. Covering 53 percent of the Value at the risk by doubtful loans provisions, illustrates desired level of credit risk coverage in the Bank.

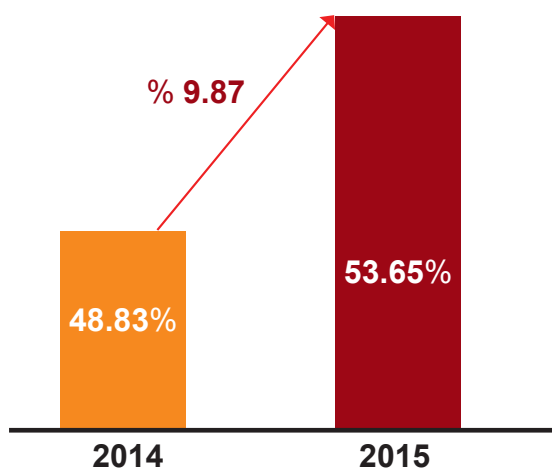
Hedging value at risk in credit portfolio



Operational risk management

In 2015 by deploying the index method, the core capital required for covering operational risk with a 7.5 percent increase over the previous year was estimated at IRR 9,482 billion. The bank managed to increase its core capital by 11.2 percent over the previous year. So core capital of the bank increased 3.8 percent more than that required for covering operational risks.

Core capital required for covering operational risks



Part Three
Report of the Independent
Auditor, Legal Inspector
& Financial Statements





Emblem
I.R. of Iran
Ministry of Economic Affairs and Finance
Audit Organization

Report of Independent Auditor & Legal Inspector
to Ordinary General Meeting of the Shareholders
Bank Mellat (Public Joint Stock Co.)

Report of Independent Auditor & Legal Inspector To Ordinary General Meeting of the Shareholders

Bank Mellat (PJSC)

Report on the Financial Statements

1. Consolidated balance sheet of the Group and Bank Mellat (PJSC) on March 20th, 2016 and consolidated statements of profit and loss and comprehensive profit and loss and cash flow of the group and bank for the financial period ended on the said date, together with accompanying Explanatory Notes 1-59 have been audited by this Organization.

Responsibility of the Board of Directors in Respect of Financial Statements

2. The Bank's Board of Directors is responsible for preparation of financial statements according to the accounting standards. Such responsibility includes design, exercise and maintenance of internal controls related to preparation of financial statements, in such a manner that such statements are free from material misstatement, whether due to fraud or mistake.

Responsibility of the Auditor and Legal Inspector

3. Our responsibility is to express our opinion on these financial statements based on our audit and in accordance with Auditing Standards. The mentioned standards enforce that we comply with ethical requirements and plan

and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidences about the amounts and other information disclosures in the financial statements. The deployed procedures depend on the auditor's judgment, including assessment of the risks of material misstatement of the financial statements, whether due to fraud or mistake. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate to the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is adequate and appropriate to provide a basis for our expressing qualified opinion concerning the consolidated financial statements of the group and the bank.

Additionally, this organization is responsible for acting as the legal inspector and reports to the Ordinary General Meeting of the shareholders the required cases and also any non-compliance of bank with due legal requirements set out in the monetary and banking regulations, usury-free operations, amendment of Commercial Law, as well as provisions of the Articles of Association of the Bank.

Bases for Expressing Qualified Opinion

4. By virtue of Article (29) of the Articles of Association of the Banks' Staff Retirement & invalidity Fund, the current value of the Fund's future obligations had to be reviewed every three years and commitments of each member bank had to be supplied by the approval of General Meeting of the Fund. In this regard, a reserve of IRR 11,164 billion was considered in the accounts in the past years, and IRR 3,700 billion of the reserved amount was paid. Nevertheless, for the 2011-2013 three-year period, future actuary obligations (except for net amount of IRR 435 billion) and also the actuary obligations calculated on the basis of resolutions adopted in the Meeting held on 05 July, 2014 by the specialist of the Fund's Trustee Board, as notified to the Fund's Trustee Board's Members, have been declared as IRR 30,400 billion. Considering the bank's claim that its share in the actuary obligations

is not clear by the date of privatization (March 20th 2009), it is not possible for this audit organization to determine the required adjustments in this regard.

5. As detailed in the explanatory notes (9) and (10), a part of customers' non-current liabilities amounting IRR 82,600 billion (preceding year: IRR 51,975 billion) has been restructured based on new terms and conditions and have been transferred to the current debt category, while identifying revenue for such procedure. Reviews made on the status of receivables from such customers indicate failure in collection of total debts at the maturity dates. Additionally, the provisions of Circulars 2823MB, dated February 24th, 2007, 91/21270, dated April 19th, 2012 and 93/337180, dated March 05th, 2015 issued by the Central Bank of I.R. of Iran concerning breaking down and classification of granted loans and non-return of provisions for the Moratorium loans and in some cases, collection of at least 20% of total debt (principal and interest) and considering the required reserve for doubtful debts have not been completely complied with. Considering the above mentioned circulars and accounting standards, although it is essential to modify the accounts, it is not possible for this organization to determine the exact amount.

6. The entry of receivables from the government (explanatory note 8 of financial statements), including IRR 3,530 billion, are mainly related to the actuary cost prior to privatization of the Bank, loans from ABC Bank, Naghadeh Azar Ghand Co. and other receivable for which no documentation, indicating they are guaranteed by the government, has been provided to this Organization; hence, the authenticity of classification of the above-said items and amount of IRR 2,600 billion calculated profit as a part of dues from the government has not been proved to this Organization. Furthermore, the bank has reflected the interest of the receivables from the government based on the explanatory notes (8-6) however, due to calculating the deferred interest of the receivables from the government for the preceding years about IRR 16,656 billion (including IRR 7,793 billion for the deferred interest of the current financial year) has been over-reflected in the accounts. It is noteworthy that the calculated interest rate by the bank has been according to the transactional contracts for each year, for which we have been provided with no documents indicating the government accepting such rates.

Expressing a Qualified Opinion to the consolidated statements of Group & Bank

7. In the opinion of this organization, except for the effects of Clauses (4) to (6), the above mentioned financial statements fairly represent, in all material

respects, financial position of the group and Bank Mellat (Public Joint Stock Co.) as at March 20th, 2016, their financial performance and their cash flows for the year ended on the mentioned date in accordance with Accounting Standards.

Emphasis of a Matter

The opinion of this organization is not qualified for the following provisions 8 to 10.

8. As it has been reflected in the explanatory notes (24) and (25), on the strength of the decision of the Tax Disputes Settlement Board, indicating accepting the cost of doubtful accounts, the Bank has recorded tax reserves for the years 2011 through 2013 (irrespective of issuance of final and assessed tax notices) in 2010, assuming acceptance of such cost. It is to be noted that bank has objected to the assessment and final tax notices issued in the preceding years, and this is being followed up through dispute settlement boards and tax supreme council; nevertheless, no decision has been notified up to date of this report. Meanwhile performance tax of the respective year has been reflected in the accounts according to the expressed revenue regardless of unacceptable tax expenses. Any confirmation of the adequacy of the mentioned reserves would be subject to settling disputes with the tax authorities.

9. The entries of granted loans and receivables from other entities and other assets and receivables from the government (explanatory notes 10 and 16 of financial statements including total amount of IRR 7,851 billion receivable from Tehran municipality, Tehran subway Co. Pars wagon manufacturing Co. (affiliated to municipality and municipality Participation bonds which despite their being past due, have been reflected in the current class on the strength of agreement dated April 10th, 2012 with Tehran Municipality conducted reviews indicate failure in total execution of the provisions of the mentioned agreement but no reserve has been considered in this regard. Meanwhile the deferred interest of the preceding years and current year amounting to IRR 2,299 billion are being calculated and considered in the income accounts. By considering the above explanations, collection of the abovementioned amounts, depends on finalizing the disputes with Municipality.

10. As detailed in the Explanatory Note (6-2) according to the Circular

60/1015, dated December 07th, 2013 issued by the Central Bank of I.R. of Iran, Bank Mellat claiming sum of IRR 1,081 billion from the Central Bank of I.R. of Iran. In this regard in the preceding financial year amounting IRR 12,792 and also in the respective period amounting IRR 5,552 billion revenue due from conversion is recognized the probability of future economic interest flow and also identifying financial effects due from above FC receivables on financial statements, is related to finalizing of that with Central Bank (explanatory note 6-2 and 17-3 of financial statements), it is noteworthy that in this regard the Central Bank at the beginning of 2012 withdrawn net amounting IRR 2,537 billion out of the Current Account of Bank Mellat (as detailed in the explanatory note 6-1 of financial statements).

Report on other Legal and Regulatory Requirements of Bank Mellat (PJSC)

Report on other Responsibilities of Legal Inspector

11. Instances of failure in observing some of the monetary rules provisions and banking and supervising circular letters and approvals on banking operations and indispensable circular in 2015 have been notified to the Central Bank of Iran through a separate letter No958148 dated Julyth 13, 2016 by this Organization.

12. According to the available information, the amount of embezzlement from the Bank during the reported financial year amounting IRR 602 billion (preceding year amounting IRR 276 billion), and the collected amounts from the mentioned embezzlement was IRR 392 billion up to the date of this report.

13. Detailed statement of calculations related to difference of final profit and on-account investment deposits account disclosed in the Explanatory Note (40) of the financial statements have been audited in compliance with the provisions of Circular No. 126331, dated March 09th, 2009 issued by the Central Bank of Iran. In this respect, no cases of non-compliance with the provisions of the mentioned Circular were found. It is noteworthy that Bank Mellat has mentioned the amount of IRR 18,390 billion surplus of paid profit to the shareholders.

14. The entry of other receivables accounts (explanatory note 16 financial statements) including amount of IRR 20,958 billion as profit of the shares receivable from invested companies is related to the preceding years which

has not yet been received.

15. The FC Core Banking System subject of the article 19 fifth section of technical-supervisory package of the CBI in 2010, this report has been not fully executed in banking system yet and leads to failures in reconciling the items in transit. Also the entry items in transit (explanatory notes)

16. Defaults in providing the legal obligations set out in the amendment to the commercial law and bank's Articles of Associations are as follows:

16-1. The board of directors minutes of the meeting in order to due diligence has not been received by this organization.

16-2. We draw attention of the shareholders' general meeting to the financial effects of materials set out in the clauses of this report and also the subject reflected in clauses 16-4-5:

16-3. Follow-ups made by the Bank for duties assigned at the ordinary general meeting dated July 21th, 2014, the shareholders reached no final result concerning Clauses 4, 5, 6, 7, 8 and 10 of this report.

16-4. provisions of the banks' association is failed to comply with some of the following issues:

16-4-1 Articles 7 concerning permitted max of the Bank's shares ownership directly or indirectly with legal entities, max 5%. (Tamin Atiyeh Fund of Bank Mellat 6.45%).

16-4-2 Article 11 concerning failure of purchasing Bank's Shares by the bank and subsidiaries which have control or influence on Bank (Mellat financial Group and Behsaz Mosharekathaye Mellat and Behsazan Co.

16-4-3 Article 57 and note 1 of the article 81 and article 58 do not have relation with executive possession from the majority of the members of the board of directors, especially CEO of the bank and number of the members of the board of director during the year.

16-4-4 Article 61 and 62 concerning election notice of the board of directors by CEO is published on the newspaper with wide circulation 6 month before holding of annual meeting. Also the specifications of those who have registered their name 3 month before holding annual meeting have been sent to

the CBI in order to be approved.

16-4-5 According to clause 115 of Association, if capital adequacy is under 8 percent, only 10 percent of the annual profit will be distributed

17. We reviewed the transactions set out in the Explanatory Note (58-1) reported as the total transactions made subject to Article (129) of the amendment to the Commercial law, as, during the reported financial year, as notified to our Organization by the Board of Directors. Concerning the mentioned transactions, with respect to non-access to the board members minutes of meeting, to observe based on obtaining authority from Board of Members and absence of the beneficiary manager from voting were observed. Further, this organization found no evidences indicating such transactions were conducted in improper trading conditions and irregular trend of the banking operations.

18. We reviewed the board members' report concerning the operations and general status of the bank, subject to Article (232) of amendment to the Commercial law, which was provided to be presented to the Shareholders' Ordinary General Meeting. To this end, we found no material instances indicating discrepancy of the information set out in the mentioned report with the documents presented by the board of directors.

Report on other legal and regulatory responsibilities of the Auditor

19. Executive Directive of disclosing information of the companies listed on the TSE also the guidelines on internal disciplinary controls of the issuers listed on the Securities and Exchange Organization, set out below, have not been observed:

19-1. providing and presenting information, reports and financial statements in various intervals during the reported year on due dates.

19-2. presentation and providing completely of financial statements of the bank in accordance with sample presented by the Securities and Exchange Org.

19-3. Provisions of Article (10) about the head of the Audit Committee with financial and none executive board members.

19-4. the shareholders equities to total assets ratio is at least 30 % (in the bank under assessment is 4.6%).

20. Investments and partnerships entry (Explanatory Note 13 of Financial Statements), includes IRR 5,704 billion as the cost price of investment in companies' shares; the required information in consideration of the status of the mentioned investments was not provided to this organization.

21.in execution of Article (33) of the Executive Directive of Anti-Money-Laundering by the auditors, we reviewed observance of the provisions set out in the mentioned law and the relevant by-laws and directives, as per the checklists notified by the relevant authority and audit standards is being assessed by this organization. Despite establishment of anti-money laundering unit at bank's network and carrying out some measures to this end, the provisions of the mentioned law and the applicable directives have not yet been fully executed in the banking system.

Date: July 17, 2016

Audit Organization

Mr. Bahram Sadoghianzadeh

Mr. Mohammad Hossein

Bank Mellat (Public Joint Stock Co.)
Explanatory Notes to the Financial Statements of the Group & Bank
For the Financial Year Ending on March 20th, 2016

Securities and Exchange Organization

Please find attached consolidated financial statements together with financial statements of Bank Mellat concerning financial year ended on March 20th, 2016. Constituents of the financial statements are as follows:

A-Basic Consolidated Financial Statements of the Group:

- Consolidated balance sheet
- Consolidated profit and loss statement
- Consolidated retained earnings (loss) turnover
- Comprehensive consolidated profit and loss statement
- Consolidated cash flow Statement

B-Basic Financial Statements of the Bank:

- Balance sheet
- Profit and loss statement
- Retained earnings (loss) turnover
- Comprehensive profit and loss statement
- Cash flow Statement

C-Explanatory Notes:

- Generalities
- Accounting convention
- Summary of significant accounting policies
- Notes to the financial statements & other financial information

Consolidated financial statements of group and financial statement of bank Mellat were prepared on the basis of accounting standards and approved by Board of Directors of the Bank on July 13th, 2016.

CEO and board members	Representative of legal entities	position	Signature
Hadi Akhlaghi Feiz Asar	-	CEO	Signed
Mohammad Bigdeli	Kouzeestan Edalat Investment	Chairman	Signed
Ali Rastegar	Saba Tamin invetment	Board Member	Signed
Kourosh Maadelat	Islamic republic of Iran government	Board Member	Signed
Hasan Rousta	Edalat Fars Investment	Board Member	Signed
Hamid Tajik Baghkhavas	-	Board Member	Signed

Bank Mellat (PJSC)
Consolidated Balance Sheet as at March 20th, 2016

Assets	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Cash	5	25,279,682	22,056,529
Dues from the central banks	6	200,545,841	157,503,810
Due from banks & credit institutes	7	217,180,957	104,338,933
Dues from the government	8	67,470,675	53,212,718
Loans and advances to the public sector	9	264,506,213	217,912,671
Loans and advances to other parties	10	793,275,249	630,647,469
Dues for L/Cs and time drafts	11	15,290,903	23,864,815
Participation bonds & the like	12	11,207,214	9,174,034
Investments & partnerships	13	45,959,341	37,662,540
Tangible fixed assets	14	47,862,235	47,163,761
Intangible assets	15	5,554,855	3,469,658
Other assets	16	93,345,788	63,396,243
Total Assets		1,787,478,955	1,370,403,180
Contingent liabilities:	55		
Liabilities for L/C's		40,166,498	49,953,647
Liabilities for L/G's		143,012,052	142,536,792
Other liabilities		310,747,865	269,514,606
Managed funds & the like		131,016,861	107,064,266
Total		624,943,276	569,069,312

Bank Mellat (PJSC)
Consolidated Balance Sheet as at March 20th, 2016

Liabilities & Equities	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Dues to the central banks	18	170,231,439	144,353,255
Dues to banks & credit institution	19	81,929,551	55,302,289
Sight deposits	20	255,278,507	203,969,461
Saving deposits & the like	21	63,737,211	56,831,768
Time investment deposits	22	862,637,907	622,647,090
Other deposits	23	42,751,303	43,729,129
Payable tax	24	1,861,821	5,327,390
Provisions and other dues	25	156,974,011	91,533,636
Acceptances & endorsements	26	15,523,759	21,990,083
Payable dividend	27	632,021	1,764,658
Severance provisions	28	6,407,802	8,801,858
Items in transit	17	42,986,951	39,268,580
Total Liabilities		1,703,346,339	1,293,125,142
Shareholder's Equity:			
Capital	29	40,000,000	40,000,000
Shares of parent company owned by the subsidiaries	30	(2,003,242)	(1,575,017)
Reserves	31	29,741,498	16,783,320
Subsidiaries capital out of revaluation surplus	32	420,484	420,484
FC translation difference of Foreign Branches statements	33	3,419,795	3,580,406
Retained earnings (loss)		10,404,445	16,065,887
Total shareholders' equity of the parent company		81,982,980	75,275,081
Minority interest	34	2,149,636	2,002,957
Total shareholders' equity		84,132,616	77,278,038
Total liabilities & shareholders' equity		1,787,478,955	1,370,403,180
Contingent liabilities:			
Party to liabilities for L/Cs		40,166,498	49,953,647
Party to liabilities for L/G's		143,012,052	142,536,792
Party to other liabilities		310,747,865	269,514,606
Party to managed funds & the like		131,016,816	107,064,266
Total		624,943,276	569,069,312

Bank Mellat (PJSC)
Consolidated Profit & Loss Statement
For the Financial Year Ending on March 20th, 2016

A- Income from Joint Activities	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Profit from granted loans	35	120,924,622	87,519,297
Profit from Sales of goods & services	36	40,896,589	30,451,848
Profit from investments and deposits	37	20,570,510	19,044,867
Total joint incomes		182,391,721	137,016,012
Less:			
Cost price of goods and services	38	(37,935,181)	(27,427,031)
On-account profit of investment deposits	39	(134,839,753)	(95,411,621)
profit - depositors' share		(172,774,934)	(122,838,652)
Profit- bank's share and spread		9,616,787	14,177,360

B- Non-Joint Incomes	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Profit & late payment charges received	41	22,971,473	34,036,997
commission received	42	12,248,843	18,372,567
Other incomes	43	24,948,748	3,525,617
Total non-joint income		60,169,064	55,935,181
Bank's total income		69,785,851	70,112,541

C- Expenses	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Administrative & general expenses	44	(40,403,751)	(27,671,234)
Doubtful loans expenses	45	(703,397)	(5,122,150)
Financial expenses	46	(16,029,376)	(15,297,982)
Other expenses	47	(565,505)	(5,715,092)
Bank's total expenses		(57,702,029)	(53,806,458)
pre-tax profit		12,083,819	16,306,083
less:tax		(1,212,963)	(1,463,148)
Net Profit		10,870,857	14,842,935
Minority interest		120,789	164,248
Basic earnings per share – IRR (with a capital of IRR 40,000 billion)		278	382

Bank Mellat (PJSC)
Consolidated Balance Sheet as at March 20th, 2016

Turnover of Consolidated Retained Earnings (loss) Account

	Note	March 20 th , 2016 Million Rials	Restated March 20 th , 2015 Million Rials
Net profit(loss)		10,870,857	14,842,935
Retained earnings at beginning of the year		20,246,158	20,771,692
yearly adjustments	48	(3,998,481)	(2,064,434)
Adjusted retained earnings at beginning of the year		16,247,676	18,707,258
		27,118,533	33,550,193
Aproved profit		(3,600,000)	(13,200,000)
Attributable profit		23,518,533	20,350,193
Profit allocation:			
Legal reserves		(2,968,847)	(4,102,517)
Other reserves-capital adequacy reserve		(10,000,000)	(0)
		(12,968,847)	(4,102,517)
Retained earnings before deducting Minority interest		10,549,686	16,247,676
Minority interest		(145,241)	(181,790)
Retained earnings at the end of the year		10,404,445	16,247,676

Bank Mellat (PJSC)
Consolidated Comprehensive Profit & Loss Statement
For the Financial Year Ending on March 20th, 2016

	Note	March 20 th , 2016 Million Rials	Restated March 20 th , 2015 Million Rials
Net profit		14,842,935	10,870,857
Surplus of revaluated tangible fixed assets	32	113,717	0
Difference due to FC conversion of foreign branches		(156,349)	(160,611)
Comprehensive profit of the financial year		14,800,303	10,710,246
yearly adjustments	48	(2,064,434)	(3,998,481)
Comprehensive profit (loss) recognized as of the date of preceding financial year		12,735,869	6,711,765
Minority interest from comprehensive profit of financial year		141,404	76,361

Bank Mellat (PJSC)
Consolidated Cash Flow Statement
For the Financial Year Ending on March 20th, 2016

Operating Activities	Note	March 20 th , 2016 Million Rials	Restated March 20 th , 2015 Million Rials
Net cash in/outflow from operating activities	51	21,361,247	18,004,421
Return on investments & paid profit in consideration of financing			
Paid dividend		(4,169,863)	(11,025,168)
Dividend paid to minority shareholders		(564,011)	(534,198)
Net cash out-flow for investments return & paid-up profit out of financing		(4,733,874)	(11,559,366)
Income Tax			
Paid-out income tax		(9,111,432)	(4,933,882)
Investment Activities			
Payments for acquiring tangible fixed assets		(3,873,395)	(5,922,063)
Funds received for disposing tangible fixed assets		2,202,116	1,178,623
Payments for acquiring intangible fixed assets		(2,094,478)	(318,134)
Funds received from disposing intangible assets		4,836	0
Net cash outflow for investment activities		(3,760,921)	(5,061,574)
Net cash outflow prior to financing activities		3,755,020	(3,550,401)
Financing Activities			
Net repayment of loans from banks abroad		0	(12,481)
loans received from other banks by the subsidiaries		191,124	49,134
Changes in parent company's shares owned by subsidiaries		428,225	168,024
Net cash in-(out)flow due to financing activities		619,349	204,677
Net increase(decrease) in Cash	52	4,374,369	3,345,724
cash at the beginning of the year	52	22,869,171	26,214,895
Cash at the end of the year	52	27,243,540	22,869,171
Non-cash transactions	53	3,817,804	3,237,185

Bank Mellat (PJSC)
Consolidated Comprehensive Profit & Loss Statement
For the Financial Year Ending on March 20th, 2016

Assets	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Cash	5	15,666,708	18,790,194
Dues from the Central Bank	6	157,503,810	200,545,841
Dues from banks & credit institutions	7	104,903,742	217,801,509
Dues from the government	8	53,212,718	67,470,675
Loans & advances to public sector	9	217,912,671	264,506,213
Dues from other persons	10	645,898,632	811,469,128
Dues for LCs & time drafts	11	23,864,815	15,290,903
Participation bonds & the like	12	6,905,142	9,630,418
Investments & partnerships	13	24,859,670	25,383,779
Tangible fixed assets	14	41,980,727	41,751,687
Intangible assets	15	3,020,426	5,103,543
Other assets	16	55,992,354	96,833,735
Total Assets		1,351,721,415	1,774,577,625
Contingent liabilities	55		
Liabilities for L/Cs		49,953,647	40,166,498
Liabilities for L/G's		142,536,792	143,012,052
Other liabilities		269,514,606	310,747,865
Managed funds & the like		107,064,266	131,016,861
Total		569,069,312	624,943,276

Bank Mellat (PJSC)
Consolidated Comprehensive Profit & Loss Statement
For the Financial Year Ending on March 20th, 2016

Liabilities & Equities	Note	March 20th, 2016 Million Rials	Restated March 20th, 2015 Million Rials
Dues to the central bank	18	144,353,255	170,231,439
Dues to banks & credit institutions	19	54,846,294	80,678,012
Sight deposits	20	205,141,164	257,337,335
Saving deposits & the like	21	56,831,835	63,737,998
Time investment deposits	22	624,831,520	870,288,480
Other deposits	23	32,161,502	27,916,083
Payable tax	24	4,669,031	1,448,750
Provisions & other dues	25	90,119,662	156,330,811
Acceptances & endorsements	26	21,990,083	15,523,759
Dividend due	27	73,811	68,011
Severance provisions	28	6,172,663	8,472,663
Items in transit	17	49,268,580	42,986,951
Total Liabilities		<u>1,280,459,402</u>	<u>1,695,020,293</u>
Shareholder's Equity:			
Capital	29	40,000,000	40,000,000
Reserves	31	15,240,229	27,679,690
Difference due to conversion of financial statements of branches abroad	33	2,077,265	1,583,125
Accumulated profit		13,944,520	10,294,517
Total shareholders' equity		71,262,014	79,557,232
Total liabilities & shareholders' equity		<u>1,351,721,415</u>	<u>1,774,577,625</u>
Contingent liabilities	55		
Party to liabilities for L/Cs		49,953,647	40,166,498
Party to liabilities for L/G'		142,536,792	143,012,052
Party to other liabilities		269,514,606	310,747,865
Party to managed funds & the like		107,064,266	131,016,861
Total		<u>569,069,312</u>	<u>624,943,276</u>

Bank Mellat (PJSC)
Profit & Loss Statement
For the Financial Year Ending on March 20th, 2016

	Note	March 20 th , 2016	March 20 th , 2015
A- Income from Joint Activities		Million Rials	Million Rials
Profit from granted loans	35	122,587,445	88,403,023
Profit from investments and deposits	37	22,898,405	29,678,543
Total joint incomes		145,485,850	118,081,566
Less:			
On-account profit of investment deposits		(136,014,670)	(94,942,742)
profit – depositors' share	39	(136,014,670)	(94,942,742)
profit – bank's share and spread		9,471,180	23,138,824
B- Non-Joint Incomes			
Received profit & late payment charges	41	22,979,079	27,097,439
Received commission	42	12,247,855	18,371,270
Other incomes	43	25,049,503	1,934,836
Total non-joint income		60,276,437	47,403,545
Total income		69,747,617	70,542,369
C- Expenses			
Admin, & general expenses	44	(39,483,390)	(27,062,698)
Doubtful loans expenses	45	(1,005,803)	(4,960,343)
Financial expenses	46	(15,588,783)	(13,673,439)
Other expenses	47	(490,523)	(5,668,293)
Total expenses		(56,568,499)	(51,364,773)
Pre-tax profit		13,179,118	19,177,596
Less: Tax		(789,661)	(874,140)
Net Profit		12,389,457	18,303,456
Basic earnings per share – IRR (with a capital of IRR 40,000 billion)		310	458

Turnover of retained earnings(loss) account

Net profit(loss)		12,389,457	18,303,456
Retained earnings at beginning of the year		18,806,786	14,837,776
Yearly adjustments	48	(4,862,267)	(2,360,133)
Adjusted retained earnings at beginning of the year		13,944,520	12,477,643
		26,333,977	30,781,099
Approved dividend		(3,600,000)	(13,200,000)
Attributable profit		22,733,977	17,581,099
Profit allocation			
Legal reserves		(2,439,461)	(3,636,579)
Capital adequacy reserve		(10,000,000)	(0)
		(12,439,461)	(3,636,579)
Retained earnings at the end of the year		10,294,517	13,944,520

Bank Mellat (PJSC)
Profit & Loss Statement
For the Financial Year Ending on March 20th, 2016

	Note	Year ended on March 20 th , 2016 Million Rials	Restated Year ended on March 20 th , 2015 Million Rials
Net profit		12,389,457	18,303,456
Foreign currency translation difference of foreign branches		(494,140)	177,666
Comprehensive profit of financial year		11,895,317	18,481,122
Yearly adjustments	48	(4,862,267)	(2,360,133)
Comprehensive profit (loss) recognized from the preceding financial year		7,033,050	16,120,989

Bank Mellat (PJSC)
Cash flow Statement
for the financial year ending on March 20th, 2016

	Note	March 20 th , 2016	March 20 th , 2015
Operating Activities		Million Rials	Million Rials
Net cash in/outflow from operating activities	51	22,104,241	15,939,146
Return on investments & profit paid for financing			
Paid out dividend		(3,605,801)	(13,155,544)
Net cash outflow from profit paid for financing		(3,605,801)	(13,155,544)
Income Tax			
Paid income tax		(8,417,436)	(3,847,063)
Investment Activities			
Funds paid to acquire tangible fixed assets		(4,249,406)	(3,487,160)
Funds received from disposing tangible fixed assets		(52,222)	801,640
Funds paid for acquiring intangible assets		(2,083,118)	0
Net cash in/outflow for investment activities		(5,806,302)	(2,685,520)
Net cash in/outflow before financing activities		4,274,702	(3,748,981)
Financing Activities			
Repayment of principal amount of loans		0	(12,481)
Net cash inflow for financing activities		0	(12,481)
Net (increase) decrease in cash	52	4,274,702	(3,761,462)
Cash at the beginning of the year	52	16,479,349	20,240,811
Cash at the end of the year	52	20,754,052	16,479,349

Bank Mellat (PJSC)
Consolidated Financial Statements of the Group & Bank
For the Financial Year Ending on March 20th, 2016

1- History of the Bank's Activities

1-1 Generalities

The group includes Bank Mellat (Public Joint Stock Company) and its subsidiaries. by virtue of the resolution of General Meeting of Banks dated May 19, 1979, Bank Mellat was established on 22 July, 1980 through merger of Banks: Tehran, Omran, Daryush, Iran International, Farhangian, Iran Insurance, Pars, Foreign Trade, Iran and Arab, Cooperative Credit and Distribution, and registered at the Companies Registrar Office under No, 38077, and on the strength of the decision taken at the Extraordinary General Meeting of Banks, held on April 06, 2008 and Enactment No, T/68985, dated July 24, 2007, approved by the Board of Ministers, the legal entity of the Bank was converted to "Public Joint Stock" and on February 11, 2009 it was the first public bank listed on the signboard of Tehran Securities Exchange Market, in the section of banks and credit institutions and other public monetary institutes, and on February 19, 2009, 5% of its shares were offered at the Stock Market to discover the price; and currently, 17% of its shares is owned by the Government, 30% is owned by Provincial Investment Companies, known as Justice(Edalat) shares, and the remainder is owned by the private and non-governmental sectors.

1-2. Major Activities

According to provisions of Article (2) of the Articles of Association approved in 28 October 2014 and registered on 12 January 2014 in Companies Registrar Office, the bank's activities include engagement in banking operations under framework of the Iranian monetary and banking rules and regulations and its subsidiaries are mainly engaged in banking, leasing, investment, exchange, design and production of computer software and provide maintenance services concerning produced software, as detailed in Note (13-3).

1-3. Number of the Branches:

The Bank's branches are as follows:

BRANCHES	March 20 th , 2016	March 20 th , 2015
Branches in Tehran Province	289	290
Branches in other Provinces	1,292	1,303
Branches in Free Trade Zones	9	9
Foreign branches	4	4
Total	1,594	1,606

1-4. Number of Employees:

Average number of permanent and temporary staff during the financial period is as follows:

DESCRIPTION	March 20 th , 2016	March 20 th , 2015
A) Bank:		
Head Office	2,553	2,844
Tehran Province Branches	4,142	4,304
Branches of Other Provinces	14,647	15,330
Total	21,342	22,478
B) Subsidiaries	7,369	6,351
Total	28,711	28,829

2. Accounting Convention**2-1. Basis for Preparation of Financial Statements**

Consolidated financial statements of the group and Bank Mellat have basically been prepared under historical cost convention, and current values have also been used when necessary.

3. Consolidation Bases

3-1. consolidated financial statements were resulted from consolidation of the Bank's financial statements and those of subsidiaries subject to consolidation, after deleting in-group transactions and balances and unrealized profit and loss of transactions among them. The subsidiaries have been disclosed in the Note (13-3) and their financial year ends on of March 20th (Except Mellat Bank Armenia).

3-2. Concerning companies acquired during the period, the results of operations thereof as of the date whose control is effectively transferred to the parent company and concerning assigned subsidiary companies, the result of operations until the date of assignment are recorded in the consolidated profit and loss statement.

3-3. Shares of the parent company acquired by the subsidiaries are recorded at the cost price in the accounts and are reflected as the equity reducer under the entry of "parent company's shares owned by the subsidiaries" in the consolidated balance sheet.

4. Summary of Significant Accounting Policies**4-1. Inventory**

Inventory is evaluated at "minimum cost price and net sales value" of each single item. If the cost price is greater than the net sales price, then, the difference will be recognized as the impaired retained value of the inventory. Cost price of inventory is determined as follows:

Explanation	Applied methods
Raw materials and packaging	Moving weighted average and FIFO
Goods in progress	Weighted average
Finished goods	Weighted average
Spare parts & accessories	Specific recognition & Moving weighted average
Inventory at hotel reception halls	FIFO

4-2. Investments

Parent company	Consolidation method	Evaluation method
Long-Term Investments:		
Investment in subsidiaries subject to consolidation	Consolidation	Cost price (Less: accumulated impairment)
Investment in affiliates	Net value	Cost price (Less: accumulated impairment)
Other long-term investments:	Cost price (Less: accumulated impairment provisions)	Cost price (Less: accumulated impairment)
Current Investments:		
Marketable investments	Lower of cost and net sale value of total investments	Lower of cost and net sale value of total investments
Other current investments	Lower of cost and net sale value of either investment	Lower of cost and net sale value of either investment
Income Recognition:		
Investment in subsidiaries subject to consolidation	Consolidation	Upon approval of profit by the general meeting of shareholders of the investee company (up to the approval date of financial statements)
Investment in affiliates	Equity method	Upon approval of profit by the general meeting of shareholders of the investee company (up to the date of approval of financial statements)
Long-term and current investments	Upon approval of profit by the general meeting of shareholders of investee company (up to the date of approval of balance sheet)	Upon approval of profit by the general meeting of shareholders of the investee company (up to the date of approval of balance sheet)

4-3. Tangible Fixed Assets

4-3-1. tangible fixed assets, except for the items set out in the Note 4-3-2, are reflected in the accounts on the basis of cost price. Renovation and major repairs expenditures that may cause significant increase in capacity or useful life of the fixed assets or basic renovation in return quality thereof are considered as capital expenditure and will be depreciated during remained part of useful life. Maintenance expenses and slight repair charges spent from standards of basic assessed operations of assets for maintenance and repair of expected economic resources of commercial unit shall be considered as current expenses and will be recorded in the profit and loss statements of the period, when realized.

4-3-2. In execution of Article (62) of Third Development Plan, the land and building of the Bank on March 20th, 2005 was recorded in the statements on the basis of revaluated price and for IRR 11,543 billion, and the surplus amount of the mentioned reassessment amounting IRR 10,637 billion was recorded in the account of “government’s increased capital in the bank” according to the mentioned regulations.

Further, with respect to requirements of the Executive Directive – Part (B) of Clause (78) of Iranian Budget Act 2011, Bank Mellat revaluated the land and building sites of all of its owned properties and recorded amounting IRR 13,100 billion out of such reassessment.

4-3-3. With respect to the Enactment of 1077th Meeting of Money & Credit Council, held on February 17th, 2007, the depreciation of fixed assets, will be calculated based on the rates and methods as per the Depreciations Table, subject of Article (151) of Direct Tax Act, since 2006.

Asset	Depreciation rate	Depreciation method
Building & Installations	7%	Declining
Vehicles	25%	Declining
Computer Systems Software	10 years	Direct
Computer Hardware (P.C)	3 years	Direct
ATM	5 Years	Direct
POS	5 Years	Direct
Furniture	10 Years	Direct
Sorter	6 Years	Direct
Telecommunication Equipment	3 Years	Direct
Module	4 Years	Direct

Depreciation of the Bank's buildings revaluated on March 20th, 2005 is calculated at the rate of 3.5% using declining method ever since as per Note (10) of the Depreciations Directive, subject of Article (151) of Direct Tax Act.

4-3-4. Depreciation of fixed assets of the subsidiaries is calculated according to Article (151) of Direct Tax Act and at the rates and methods as follows:

Asset	Depreciation rate	Depreciation method
Building	7, 8, 10, 12 percent	declining
Installations	10, 12, 15 percent	declining
Installations	10 & 15 Years	Straight Line
Machinery	10, 12, 15, 25, 30 & 35 percent	declining
Machinery	4, 8, 10 & 15 Years	direct
Vehicles	20, 25, 30 & 35 percent	declining
Furniture & Fixtures	3, 5, 10 Years	direct
Tools	10, 15 & 25 percent	declining
Tools	1, 4, 8, 10 & 20 Years	Straight Line
Software (Intangible Asset)	3 & 4 Years	direct

4-4. Good will of the business units of the Bank

In execution of provisions of Article (62) of Third Development Plan, the good will of the Bank's business units in 2004 have been recorded in the books on the basis of revaluated prices. Moreover, as in accordance with the resolution of 1077th Meeting of the Money & Credit Council, Bank's assets are depreciated based on the depreciation tables, subject of

Article (151) of Direct Tax Act; therefore, no depreciation is calculated since beginning of the 1385(2006/07).

4-5. Consolidated Good will

Accounting for consolidation of the acquired business units is carried out based of purchase method. Surplus amount of cost price of acquired investment in subsidiaries subject to consolidation, and affiliates subject to equity method concerning the group's share out of net fair value of recognizable assets and liabilities thereof at the time of acquiring is recognized as good will and is depreciated during 20 years through direct line. The good will resulted from acquiring affiliated companies is reflected in the consolidated balance sheet as a part of book value of the long-term investment in the affiliated companies.

4-6. Bank's Income Recognition

With respect to the directive No, 772/MB, dated July18th, 2005, issued by the Central Bank's Department of Baking Studies & Regulations and on the strength of enactment of the meeting No, 1044, dated July16th, 2005 of the Money and Credit Council, the Bank's incomes have been calculated on accrual basis and have been reflected in the financial statements.

Accordingly, the recognition method of the Bank's incomes are as detailed below:

Type of Income	Recognition Method
Profit of granted loans	Based on duration and balance of principal loan and minimum expected profit
Delay penalties of repayment of loans installments	Based on duration and amounts of outstanding installments and due delay rate
Commission of issued guarantees	Pro rata duration
Commission of other banking services	At the time of rendering services
ATM	5 Years

4-7. Basis for Determining Depositors' Profit Share from joint income

By virtue of the Usury-Free Banking Act, ratified on 30 August, 1983, and its executive directives and with respect to the directive No. 1799/MB, dated January 08th, 2004 issue by the Central Bank of I.R. of Iran, the profit derived from granting loans, investment in stocks and participation bonds that are recognized according to the prevailing accounting convention, is considered as joint income and the depositors' share will be determined in proportion to their net resources invested in the mentioned loans.

4-8. Foreign Currency Translation

4-8-1. Domestic Accounts

Monetary FC items with official rate are translated on the balance sheet date and non-monetary items which have been recorded at the historical cost price and in terms of registered FC are translated at the prevailing rate of the creation date on the transaction date. The balance of overdue and doubtful loans is converted at the date of balance sheet at the transactional rate and an equivalent reserve for the same amount are lodged as difference of the FC translation for the overdue loans.

The differences due to settlement with translation of FC Items are recognized as income and/or expense in the occurrence period. The difference of translation of FC assets and liabilities of branches abroad is reported in the comprehensive profit and loss statement.

4-8-2. Foreign branches and subsidiaries

According to the CBI notification all monetary and non-monetary items (except for shareholders equity) of the foreign branches and subsidiaries are converted at the official rate on the date of balance sheet and shareholders' equity are converted at market rate (transactional) on the date of creation (historical rates). Profit and loss items in accordance with the CBI notification are converted during the period at the official rate (transactional). The differences due to conversion of financial statements of the mentioned units are reflected under the entry of shareholders' equity.

4-9 Loans Classification

Bank's loans are classified based on the Directive of classification of credit institutes, approved by Money and Credit Council, subject of Circular No. 2823/MB, dated February 24th, 2007, served by Banking Studies and Regulations Department of the CBI, with respect to the factors of payment delay, customer's financial status and conditions of customer's activity field.

- 1.Current (Max. 2 months passed the maturity date)
- 2.Overdue (between 2 to 6 months passed the maturity date)
- 3.Non-performing (between 6 to 18 months passed the maturity date)
- 4.Doubtful (over 18 months passed the maturity date)

4-10. Doubtful Loans Provisions

According to the Directive, approved in the meetings set out in Clause (4-10) of Money and Credit Council, doubtful loans provisions are calculated and reflected in the accounts as detailed below:

4-10-1. General provisions since beginning of 1385 (March 21st, 2006), is calculated equal to 1.5% (it used to be 2% until 20 March 2006) of the total balance of loans, except for the loan for which specific provisions has been considered.

4-10-2. specific provisions concerning the balance of non-current classes and after deduction of collaterals according to the directive is calculated as detailed below:

Classification	provisions
Overdue loans (up to 2 months)	10%
Defaulted loans (up to 6 months)	20%
Doubtful loans, with respect to customer's solvency (up to 18 months)	50 %
loans with overdue of principal and interest for 5 years or longer	100 %

4-10-3. By virtue of Circular No. 21270/91, dated April 19th, 2012, issued by the Central Bank, for the loans for which more than five years has elapsed from the maturity date of principal and interest, the total outstanding loan, without deducting the collaterals, has been considered as the basis for specific provisions.

4-11. Severance provisions

Severance provisions is reflected in the accounts based on the one last month fixed salary and continuous allowances is calculated and registered for each year of service of the staff.

4-12. Staff Leave repurchase provisions

Concerning the accumulated leave of staff for previous years and current year, the required provision based on up to 9 days of salary and allowances per year has been calculated and reflected in the account.

4-13. Severance liabilities

Current value of Severance liabilities in relation to previous annual services of the staff (including employed, retired and pensioners subject to retirement scheme) are calculated on the basis of actuary's assumptions and reflected in the accounts.

4-14. Dues from the Government

Mandatory loans, which have been granted based on the guarantee of State Management and Planning and Deputy of Strategic Supervision of the President, are classified as dues from the government under the following conditions:

A. Overdue loans because of the loan-taker's failure for repayment, inadequacy of the relevant collaterals, or failure of the Bank's measures in debt collection.

B. Overdue loans, related to execution of plans of acquisition of capital assets.

C. Loans granted to Ministries and Government agencies.

D. All the called debts and liabilities for the period when the bank was state-owned, are related to pre-privatization era.

5. Cash

Cash is comprised of following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Cash	9,844,501	9,432,381	9,176,963	7,747,580
Cash in transit / IRR	18,796	17,529	18,796	17,529
Cash in transit / FC	23,587	33,593	23,587	33,593
FC notes & coins	15,392,798	12,573,027	9,570,848	7,868,006
	<u>25,279,682</u>	<u>22,056,529</u>	<u>18,790,194</u>	<u>15,666,708</u>

5-1- The cash in the branches and funds in transit are sufficiently insured against robbery and accidents. The IRR 2,745 million discrepancy faced when comparing the result of counting the cash held by treasury with that registered on the ledgers at the end of the year is related to the systematic error of registrations in the latter.

6- Dues from the Central Banks

Dues from the Central Banks are as follows:

	Bank	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Current account at the CBI	1,558,709	273,841
Legal deposit at the CBI	110,953,718	94,423,328
Legal deposit at units abroad	236,618	185,709
Current account at the Local Central Banks (foreign Branches)	214,280	254,797
Sight FC Deposit at the CBI	2,575,759	454,219
Prepayment to purchase FC from the CBI	0	2,205
Dues from the CBI for public deposits	1,107,505	887,703
CBI's liability due to withdrawal from the accounts 6-1	2,537,107	2,537,107
Dues from the CBI for SHAPARAK transactions	41,821,457	29,480,461
Dues from the CBI for FC obligations 6-2	39,540,684	29,006,646
Party to the Central Bank's notice	5	0
Less: Prepayment to purchase FC from the CBI	(0)	(2,205)
Total	200,545,841	157,503,810

6-1-As per resolution No. 47698T/M/90-34030, dated January 5th, 2012, approved by 5-Member FC Issues regulating Committee, the Central Bank withdrew net sum of IRR 2,537 billion as the FC rate difference from Bank Mellat's account, which has been recorded in the books in the Central Bank's account. The Bank is following up to collect the said amount.

6-2- Pursuant to the Circular No. 60/1015, dated December 7th, 2013 issued by the CBI concerning Bank Mellat's FC obligations in consideration of L/Cs and drafts in FC, sum of IRR 32,690 billion (USD 1,081 million) was reflected in the account of dues from the Central Bank and sum of IRR 14,347 billion was reflected in the account of the liabilities to the said Bank (under title of loans received out of FC reserve account (Explanatory Note 18), consequently, sum of IRR 12,791 billion was reflected in the account of the result of local FC transactions in consideration of difference of reference and transactional FC rate. Also IRR 5,552 billion profit has been recognized for this year as mentioned in explanatory note 43.

6-3. The legal reserve deposited at the Central Bank has been calculated toward execution of Clause (3), Article (14) of Monetary and Banking Law, and based on the rates designated by the Money and Credit Council, and has been approved by the Central Bank; details of the legal reserve are as follows:

	March 20 th , 2016		March 20 th , 2015	
	Rate (%)	Million Rials	Rate (%)	Million Rials
Sight deposits	12	18,901,688	13.5	16,656,672
Non-interest-bearing saving deposits and free trade zones	10	3,572,607	10	5,321,026
Short-term & 1-year deposits	12	53,106,531	13.5	70,046,599
2 to 5-year long-term deposits	12	15,408,775	13.5	13,352,843
Guarantee and housing-purchase deposits	12	1,035,139	13.5	943,179
Advances due to L/Cs	12	2,398,588	13.5	4,633,399
Total		110,953,718		94,423,328

7- Dues from Banks & Credit Institutions

The amounts reflected in the above-said entry are constituted of the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Current account with banks (after clearing)	283,361	366,810	283,361	366,810
Sight deposits in local banks	153,443	152,496	153,443	152,496
Due profit for time deposits with banks	5,981,986	2,390,197	5,981,986	2,390,197
Call F/C deposits with the local banks 7-1	26,314,793	43,717,218	27,799,363	44,872,925
Call F/C deposits with the foreign banks 7-1	87,716,476	19,356,111	86,852,458	18,765,213
Time F/C deposits with the foreign banks 7-1	2,251,242	2,135,192	2,251,243	2,135,191
Time F/C deposits with the foreign branches	211,680	95,175	211,680	95,176
Non-interest bearing deposit	200,000	200,000	200,000	200,000
Short term deposits with banks 7-2	64,406,337	2,182,407	64,406,000	2,182,407
Investment CDs with other banks 7-2	10,268,777	4,541,061	10,268,777	4,541,061
Overnight interbank loans 7-3	18,500,000	16,793,000	18,500,000	16,793,000
Checks under collection	892,862	12,409,265	892,862	12,409,265
Total	217,180,957	104,338,933	217,801,509	104,903,742

7-1- Call FC deposits are held with the local and foreign banks, which are used in the local and foreign banking operation. The unreconciled figures of the account statements are related to FC deposits at Local banks which are mainly due to failure in finalizing the relevant vouchers by the branches due to lack of supply of FC by the Central Bank.

7-2- increasing short-term deposits with banks and investment certificates of deposit at other banks is related to the banks' assets and absorbing clients' deposits in financial year ending March 20th 2016.

7-3- the sum of IRR13,000 billion of above-mentioned amount is related to bank Sepah and bank Keshavarzi for purchasing wheat, which due to failure of CBI in repayment, the same amount has been received from Central Bank (note18 of financial statements amount of IRR 12,800 billion). A profit of 25% is being paid to Central Bank In this regard. Furthermore, with respect to payable funds, 25% profit is being calculated and transferred to the relevant account.

8- Dues from the Government

Dues from the Government are as follows:

	Bank			
	March 20 th , 2016		March 20 th , 2015	
	Principal	Interest	Balance	Balance
	Million	Million	Million	Million
Dues from Government in H/O 8-1	10,071,018	41,682,186	51,753,204	39,639,581
Dues from Government in FC for ABC Bank of Bahrain	924,929	150,351	1,075,280	995,416
Dues from Government at Branches & Treasury Division	12,316,967	31,360,220	43,677,186	30,403,191
Total	23,312,913	73,192,757	96,505,669	71,038,188
Less:				
Following years profit of rider loans, pledged by the Government	(0)	(28,007,522)	(28,007,522)	(17,015,123)
Balance after deducting following years profit	23,312,913	45,185,235	68,498,147	54,023,064
General provisions of doubtful loans	(349,694)	(677,779)	(1,027,472)	(810,346)
Total	22,963,219	44,507,456	67,470,675	53,212,718

8-1- Sum of IRR 51,753 billion of dues from the Government in the H/O is as follows:

	Bank			
	March 20 th , 2016		March 20 th , 2015	
	Principal Million Rials	Interest Million Rials	Balance Million Rials	Balance Million Rials
Ahvaz Sugar Lump & Sugar Treatment	0	0	0	70,806
Outstanding profit of withholding loans	0	38,755,258	38,755,258	26,570,830
Deficit of operation tax provisions obligated by government (2006-2008)	0	2,926,928	2,926,928	2,926,928
Flood and earthquake victims share of Bank Saderat	703	0	703	703
Loans to the married 1988 - share of Bank Saderat	59	0	59	59
Earthquake striking north and northwest of Iran - share of Bank Saderat	8,946	0	8,946	8,946
Relief to flood and earthquake victims Bank Melli	802	0	802	802
Salary to prisoners of war for their captivity period	128,000	0	128,000	128,000
Liability of Privatization ORG.	9,932,507	0	9,932,507	9,932,507
Total	10,071,018	41,682,186	51,753,204	39,639,581

8-2- Turnover of Receivable Account from the Government

Year	Opening Balance	Debit Turnover	Credit Turnover	Closing Balance
	Million Rials	Million Rials	Million Rials	Million Rials
2009	16,289,516	91,882,451	93,433,629	14,738,337
2010	14,738,337	23,052,019	3,751,251	34,039,106
2011	34,039,106	15,243,397	20,543,377	28,739,126
2012	28,739,126	28,729,042	22,936,097	34,532,071
2013	34,532,071	14,648,344	8,150,970	41,029,444
2014	41,029,444	34,354,916	21,361,296	54,023,063
2015	54,023,063	39,385,077	24,909,993	68,498,146

8-3- According to the Resolution No. 45251/150061, dated September 21st, 2011, approved by the Council of Ministers, in consideration of assignment of shares for IRR 5,292 billion, title of shares of some companies for IRR 4,331 billion were transferred.

8-4- According to Resolution No. 48485T/262656, dated March 18, 2013, approved by the Council of Ministers, concerning the government's liability to the banks, upon calculating the government's previous amounts and assignments via shares, the government's properties and assets and those of the public companies, at the discretion of the Minister of Economic Affairs and Finance, have to be settled applying the method and pricing procedures approved by the assignment Board, toward execution of clause (24-3) and Part (C) of the Clause (24-3-4) of the Iranian Budget Law for the Year 2012. Despite conclusion of collective contract No. 90/2/11422 with the Privatization Org. concerning transfer of titles of the shares of some companies, the provisions of the said contract has not been executed. Therefore, out of IRR 12,139 billion of the bank's receivables due from the Government, shares for IRR 2,756 billion has been transferred and IRR 9,383 billion out of assignment of the shares of the preceding years has not been settled and the relevant proprietary rights have not been allocated to the bank in this respect; therefore, the receivables relevant profit, up to the settlement date, are reflected in this entry.

8-5- According to the Resolution No. 48485T/262656, dated March 18th, 2013, approved by the Council of Ministers, out of sum of IRR 9,808 billion, sum of IRR 530 billion shares has been transferred and sum of IRR 9,279 billion of assignable shares of public companies has been allocated to the Bank through Privatization Org., but proprietary rights have not been allocated to the bank in this respect; therefore, the relevant receivables and profit are reflected under this entry until total settlement.

8-6- Interest of dues from the Government has been calculated and reflected in the accounts according to the rate of transactional contracts, notified by the Central Bank of I.R. of Iran. Further the delay penalty concerning such receivable from the government has been calculated and recorded in the accounts. The aforementioned interest in this way will be less for the amount of IRR 3,555 billion.

9. Loans and advances to public Sector

The balance of Loans and advances to public Sector (totally belonging to the Bank) is as follows:

Title	Granted Loans & Receivables from Public Sector		Rider Granted facilities to Public Sector		Total Granted Loans & Receivables	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
Local currency loans (net)	1,499,272	1,637,519	992,346	1,151,961	2,491,618	2,789,480
Foreign currency loans (net)	144,635,473	144,635,473	-	-	161,790,342	144,635,473
Receivable for due to L/C paid in Rials	41,534	49,075	-	-	41,534	49,075
Redeemed bonds	49,075	74,255,109	-	-	85,157,248	74,255,109
Receivable delay payment charges	17,752,965	69,817	-	-	69,817	69,817
Receivable profit	1,300,271	905,889	-	-	1,300,271	905,889
Other	249	249	-	-	249	249
Less:						
translation Difference of NPLs	(0)	(164)	(0)	(0)	(164)	(164)
Provisions for doubtful loans	(4,028,013)	(4,792,256)	(0)	(0)	(4,028,013)	(4,792,256)
Total	263,513,867	216,760,710	992,346	1,151,961	264,506,213	217,912,671

9-1- Sum of IRR 161,790 (EUR 4,783) millions of loans granted in FC to National Iranian Oil Company and National Iranian Refinery And Distribution Company out of energy fund is overdue.

The said loans have been extended after a three-year period according to the Agreement dated March 17th, 2014 with the said company, and for the purpose of collecting interest of the said loans and participating bonds reflected in the financial statements, sum of EUR 50 million is being collected on a quarterly basis (Sum of EUR 650 million has been collected up to now), and with regard to the said agreement, no reserve for the dedicated doubtful accounts has been considered in the account. Also, Sum of IRR 44,137 (EUR 1,172) billions of the total loans granted to the National Iranian Refinery And Distribution Company has become overdue. With respect to received collateral and the above agreement, no specific provisions for doubtful loans has been considered in the accounts. Furthermore, the sum of EUR 600 million of the mentioned loans is related to the Setareh Khalij Fars Company of which the National Iranian Refinery And Distribution Company has not accepted repayment. Moreover, according to clause "N" of note 2 of the 2016 budget law, subsidiaries of the Ministry of Petroleum will receive a two-year moratorium for repayment of the principal and interest of the granted loans.

10. Loans and advances to other parties

	Group		Bank	
	March 20 th 2016 Million Rials	March 20 th 2015 Million Rials	March 20 th 2016 Million Rials	March 20 th 2015 Million Rials
Installment sale	65,890,912	56,869,323	72,369,685	62,547,244
Reward contract	11,608,557	20,258,595	11,608,557	20,258,595
Hire purchase	2,021,659	1,976,898	2,262,025	2,353,153
Forward	544,423	335,938	544,423	335,938
Profit sharing	34,328,147	27,122,155	39,267,748	29,406,926
Equity participation	294,262,151	235,234,961	302,654,470	243,972,877
Interest-free	36,822,103	30,962,511	36,822,103	30,962,511
Debtors for paid L/Cs	4,672,581	2,773,229	4,672,581	2,773,229
Debtors for paid guarantees	1,695,403	3,739,731	1,695,403	3,739,731
Debtors due to FC L/Cs	5,852,831	10,700,007	5,852,861	10,700,007
Granted FC loans	187,820,573	121,172,847	187,820,573	121,172,847
Factoring	12,159,962	3,459,512	12,159,962	3,468,370
Loans granted to foreign branches	143,516	166,601	143,516	166,601
Rent-to-own loans	129,345,212	111,200,602	129,345,212	111,200,602
Redeemed participation bonds	4,250,038	2,840,000	4,250,038	2,840,000
Persia International Bank	1,857,182	1,834,557	0	0
Total	793,275,249	630,647,469	811,469,128	645,898,632

10-1. Loans and advances to subsidiaries are as follows:

	Group	
	March 20 th , 2016	March 20 th , 2015
Loans and advances to other entities of the bank	811,469,128	645,898,632
Loans and advances to subsidiaries	(20,051,059)	(17,085,720)
Loans and advances to the Persia International Bank	1,857,182	1,834,557
Total	793,275,249	630,647,469

10-1-1- Loans granted to other entities includes IRR 60,933 billion of loans to banks' staff, in the form of reward contract for IRR 12,519 billion, installment sale for IRR 31,285 billion and interest-free loan for IRR 17,128 billion.

10-2. Loans and advances to other related parties except for subsidiaries are as follows:

	March 20 th , 2016			Bank		March 20 th , 2015	
	Balance	Profit & Commission	Net	Translation Difference	Net	Reserve of Receivables	
	Million Riels	Million Riels	Million Riels		Million Riels	Million Riels	
Installment sale	98,945,319	(26,622,893)	(6,431,515)	(0)	65,890,912	56,869,323	
Reward contract	17,262,273	(5,024,686)	(629,030)	(0)	11,608,557	20,258,595	
Hire purchase	3,108,446	(812,145)	(274,642)	(0)	2,021,659	1,976,898	
Forward	1,649,457	(0)	(1,105,035)	(0)	544,423	335,938	
Profit sharing	37,143,240	(0)	(2,815,093)	(0)	34,328,147	27,122,155	
Equity participation	308,131,959	(0)	(13,869,808)	(0)	294,262,151	235,234,961	
Interest-free	38,515,866	(75)	(1,693,688)	(0)	36,822,103	30,962,511	
Debtors due to paid out L/Cs	7,659,073	(0)	(2,986,493)	(0)	4,672,581	2,773,229	
Debtors due to paid out guarantees	5,524,328	(103,073)	(3,725,853)	(0)	1,695,403	3,739,731	
Debtors due to FC L/Cs	24,974,734	(0)	(19,121,903)	(0)	5,852,831	10,700,007	
Granted loans in FC	211,293,080	(1,783,826)	(5,144,870)	(16,543,810)	187,820,573	121,172,847	
Factoring	13,793,570	(1,415,836)	(217,772)	(0)	12,159,962	3,459,512	
Loans granted to branches abroad	144,478	(0)	(962)	(0)	143,516	166,601	
Rent-to-own contract	159,326,555	(27,550,289)	(2,431,054)	(0)	129,345,212	111,200,602	
Redeemed bonds	4,323,409	(0)	(73,371)	(0)	4,250,038	2,840,000	
Total	931,795,787	(63,312,822)	(60,521,088)	(16,543,810)	791,418,069	628,812,912	

10-2-1. Classification of granted loans, according to directive approved by the Money and Credit Council, is as follows:

Bank March 20 th , 2016					
	Current	Passed due date	Arrear	Doubtful account	Total
	Million Rials	Million Rials	Million Rials	Million Rials	Million Rials
Installment sale	87,751,893	1,279,761	641,527	9,272,138	98,945,319
Reward contract	15,959,140	66,492	128,552	1,108,089	17,262,273
Hire purchase	3,005,193	9,121	21,471	72,660	3,108,446
Forward	394,043	2	8	1,255,404	1,649,457
Capital bailment	32,882,048	126,961	266,432	3,867,799	37,143,240
Civil participation	282,019,797	925,963	1,925,658	23,260,542	308,131,959
Interest-free	36,914,220	82,489	432,429	1,086,727	38,515,866
Debtors due to paid out L/Cs	831,237	0	0	6,827,837	7,659,073
Debtors due to paid out guarantees	0	0	0	5,524,328	5,524,328
Debtors due to FC L/Cs	0	0	0	24,974,734	24,974,734
Granted FC loans	181,337,236	78,719	320,529	29,556,596	211,293,080
Factoring -IRR	13,741,001	7,873	44,696	0	13,793,570
Loans granted to branches abroad	64,120	0	80,358	0	144,478
Rent-to-own	151,164,877	3,836,079	3,421,338	904,261	159,326,555
Redeemed participation bonds	4,323,409	0	0	0	4,323,409
Total	810,388,213	6,413,459	7,282,999	107,711,116	931,795,787
Less: Difference of FC conversion in arrears	(0)	(0)	(312,939)	(16,230,871)	(16,543,810)
Total	810,388,213	6,413,459	6,970,060	91,480,245	915,251,977
Less:					
Following years profit &	(63,312,822)				(63,312,822)
General provisions of doubtful loans	(11,206,038)				(11,206,038)
Specific provision of doubtful loans	(0)	(326,952)	(877,711)	(48,110,386)	(49,315,050)
Total	735,869,353	6,086,507	6,092,349	43,369,859	791,418,069

10-2-1-1- Loans in FC are as follows:

1- Sum of IRR 113,284 billion, equal to USD 3,746 million of loans to Petro Sina Aria Co. Oil Industry Eng. Co. sum of USD 3,157 million and Petro Paidar Co. sum of USD 343 million out of National development Fund resources for the development of South Pars

Installments. According to the agency contracts between the Bank and National Development Fund it is agreed that totally sum of USD 8,940 million be granted to above said companies in which sum of USD 5 million to be paid to the Petro Sina Aria Co. Oil Industry Eng.

until August 22 2016. Also sum of USD 2 million to be paid to Petro Paidar Company until November 23 2016, finally sum of USD 1,940 million pay to Setareh Khalij Fars Oil Co. until July 6th. 2017.

2- The loans for sum of IRR 23,172 billion (equal to EUR 683 million) out of the OSF, also sum of IRR 4,722 billion (equal to EUR 140 million) of loans granted out of the OSF have not yet been set off (note 18). On the whole, the above said loans have received moratorium as per applicant's request and with respect to CBI's delegation of power to the Bank's credit authorities for settlement.

3- Furthermore, the granted FC loans include sum of 40,265 billion in consideration of interest and delay penalty received concerning granted FC loans to the public and non-public companies.

10-3- According to the requirements set out in the provisions of Articles (28) and (29) of Budget Laws for the years 2011 and 2012 and also the Bank's Credit Policies, sum of IRR 82,600 billion of receivables was depreciated and classified as current loans. and according to the Bank's policy, the relevant doubtful provisions are calculated with regard to the new classification and they are recognized as the earning due from the said process. It is evident that failure in compliance with the conditions of the contract, depreciation of the said loans will return to the initial receivables class and the required reserves are considered in the accounts and the recognition of earning is ceased.

10-4- About 42% total securities provided in return for the private loans is made up of checks and promissory notes.

10-5- Out of IRR 5,775 billion of loans granted to Tehran Municipality and sum of EUR 184 million (principal and liability) are for the L/Cs related to Wagon making and Tehran Subway Companies, which are past due and in arrears; nevertheless, according to the Letter of Understanding, dated April 10th, 2012 it was decided that they may be sett off against density duty of construction of the Bank's buildings. Additionally, sum of IRR 3,042 billion was received in consideration of L/Cs of Wagon Making Co. and recorded in the entry of advance.

10-6- The entry of loans granted and dues from others (explanatory note 10 of financial statements) including IRR 16,000 billion civil participation working capital granted to the Social Security Investment Company in the current year, the initial agreement in order to increase the level of mutual cooperation by concentrating resources of the Ministry Of Health And Medical Education, and subsidiaries in order to develop a suitable platform and making loans to the said Ministry. Principal and interest Settlement is not realized on the maturity

(March 20th, 2016); however, it has been extended by payment of the interest. Meanwhile, the collateral of the mentioned loan is Bank Mellat shares, held by the Social Security Organization and Saba Taamin Investment Company.

10-7. Loans granted to the Group Member Companies

	Bank				
	March 20 th , 2016			March 20 th , 2015	
	Balance	Following Year Profit	NPLs	Net	Net
	Million Rials	Million Rials	Million Rials	Million Rials	Million Rials
Installment Sale	6,582,052	(4,617)	(98,662)	6,478,774	5,677,921
Hire purchase	297,561	(53,535)	(3,660)	240,366	376,254
Reward	5,014,824	(0)	(75,222)	4,939,601	2,284,770
Factoring	0		(0)	0	8,858
Equity partnership	8,520,120	(0)	(127,802)	8,392,318	8,737,916
Total	20,414,557	(58,151)	(305,346)	20,051,059	17,085,720

10-7-1. According to the directive approved by the Money & Credit Council, the above loans are classified as below:

	Bank				
	March 20 th , 2016				
	Current	Overdue	Defaulted	Doubtful	Total
	Million Rials	Million Rials	Million Rials	Million Rials	Million Rials
Installment Sale	6,582,052	0	0	0	6,582,052
Hire purchase	297,561	0	0	0	297,561
Reward	5,014,824	0	0	0	5,014,824
Equity partnership	8,520,120	0	0	0	8,520,120
Total	20,414,557	0	0	0	20,414,557
Less:					
Following years' profit	(58,151)	0			(58,151)
General provisions of doubtful loans	(305,346)	0			(305,346)
Specific provisions of doubtful loans		(0)	0	0	(0)
Total	20,051,059	0	6,092,349	43,369,859	20,051,059

10-7-2- Out of IRR 6,582 billion of installment sales, sum of IRR 6,537 billion is related to granting loans to construction companies of Bank Mellat and Peiriz Bonyan Marsus Co. to purchase Autobank, Elahieh, Bagh-e-Jamshidieh, Shahab and Latman-e- Kan Bank properties.

11. Dues for L/Cs & time drafts

Balance of dues for L/Cs (totally owned by the Bank) is as follows:

	Bank	
	March 20th 2016	March 20th 2015
	Million Rials	Million Rials
Debtors due to FC L/Cs & time drafts	15,523,759	24,194,666
Less:		
General provisions for doubtful loans	(232,856)	(329,851)
Total	<u>15,290,903</u>	<u>23,864,815</u>

11-1. Out of sum of IRR15, 524 billion Dues for L/Cs & time drafts (Note 26 of Financial Statement) are related to foreign banks' overdue finance credit lines and as it was not possible to settle the obligations with respect to the sanctions and lack of payment channel via foreign correspondents and also clarification of FC dues subject of circular 60/1015 of central bank; after special FC auditory and FC allocation from Central Bank, settlement of the obligations is not feasible. Further, some amounts have been received in this regard as detailed in Note (23).

12. Participation Bonds & the like

The above entry includes balance of participation bonds and securities as follows:

	Group		Bank	
	March 20th 2016	March 20th 2015	March 20th 2016	March 20th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Participation bonds	1,501,891	1,448,752	2,448,678	2,382,035
Participation bonds – private sector	1,644,164	0	1,644,164	0
Participating bonds – public sector	8,061,159	7,725,282	5,537,576	4,523,107
Total	<u>11,207,214</u>	<u>9,174,034</u>	<u>9,630,418</u>	<u>6,905,142</u>

13. Investments & Partnerships

The above entry includes balance of participation bonds and securities as follows:

	Group		Bank	
	March 20th 2016	March 20th 2015	March 20th 2016	March 20th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Investments & Participations	45,959,341	37,662,540	25,383,779	24,859,670
Total	<u>45,959,341</u>	<u>37,662,540</u>	<u>25,383,779</u>	<u>24,859,670</u>

13-1. Investments & Partnerships of the Group include the following items:

Group			
Note		March 20 th 2016	March 20 th 2015
		Million Rials	Million Rials
Liquid investments:			
Shares of listed companies	13-1-1	10,086,091	10,590,438
Total		10,086,091	10,590,438
Investment in the other companies:			
Affiliates		3,368,201	3,486,769
Companies abroad	13-1-2	5,754,247	5,754,247
Other Local companies		10,525,337	4,020,503
Investment in properties		3,742,522	3,847,481
Investment Deposits at Banks		12,482,943	9,963,102
Total		35,873,250	27,072,102
Total investment in securities		45,959,341	37,662,540

13-1-1. Investment of the group in the shares of listed companies is mainly related to investment of the Mellat Financial Group in the listed companies. The said investment is mainly to the following companies:

		March 20 th ,2016		March 20 th ,2015
		NO. of Shares	Cost Price	Cost Price
		Million Rials	Million Rials	Million Rials
Bandar Abbas Oil Refinery	10,5731,962,597	3,981,426	3,688,470	3,712,058
Isfahan Oil Refinery	766,025,244	2,405,232	1,037,846	1,076,334
Mobile Communication Co.	41,442,613	1,566,441	949,541	947,889
Pardis Petrochemical Co.	69,238,382	649,715	677,013	601,835
Bank Saderat Iran	240,000,000	252,367	222,196	441,710
National Iranian Copper Industries Co.	209,337,915	361,416	553,086	553,086
Jam Petrochemical Co.	21,850,431	203,231	220,774	370,485
Iran Telecommunication Co.	101,395,863	294,585	338,780	334,381
Other	-		2,398,385	2,552,660
Total			10,086,091	10,590,438

13-1-2. Investment in companies abroad is mainly related to Bank Mellat (parent Company) as follows:

Bank				
	% stake	March 20 th 2016	March 20 th 2015	
		Cost Price	Cost Price	Cost Price
		Million Rials		
			Million Rials	Million Rials
EIH Bank	26.31%	92,031,154	1,059,064	1,059,064
Other	-	-	4,695,183	4,695,183
Total			5,754,247	5,754,247

13-1-3- Due to the insignificant difference between equity and cost price of investment in EIH Bank, disclosure of investment using equity method was disregarded.

13-2. Investments and partnerships of Bank Mellat (parent company) are as follows:

Bank		
	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials
Subsidiaries	18,101,878	18,027,989
Other Companies – local	259,288	259,288
Other Companies – abroad	7,033,292	6,582,410
Total	<u>25,394,458</u>	<u>24,869,688</u>
Less:		
Impairment provisions	(10,679)	(10,017)
Total	<u>25,383,779</u>	<u>24,859,670</u>

13-3. Particulars of subsidiaries of the group are as follows:

Name of Company	Location	stake%		
		Group	Main Ent	Major Activity
A) Parent entity's direct investments				
Persia International Bank (PIB)	England	60	60	Banking
Mellat Bank Armenia	Armenia	100	100	Banking
A-1) Behsaz Partnership Group				
Behsaz Mellat Partnership	Iran	100	100	Investment
Almaseh Saz	Iran	92.93	-	Cutting tools production
Behsaman Mellat	Iran	100	-	Manpower supply
Isfahan Behris	Iran	99.62	-	Thread production
Kerep Naz	Iran	100	-	Textile
Airdak	Iran	99	-	Constructional contract
Bank Mellat Construction	Iran	100	-	Constructional services
Bank Mellat publication	Iran	100	-	publication services
Rahbari Behsaz Industry	Iran	100	-	Business services
Peiriz Bonyan Marsous	Iran	100	-	Project management
Jahan Behsaz Mofarah	Iran	100	-	Hotel management
Tehran-Saveh Freeway	Iran	55	-	Build & Operate of the Freeway
Maad Marketing & Sales Development	Iran	100	-	Bank's Surplus properties management
B) Fanavaran Houshmand Behsazan Farda Group				
Fanavaran Houshmand Behsazan Farda Group	Iran	100	100	Software design & production
Behsazan Mellat	Iran	100	-	Software design & production
Behpardakht Mellat	Iran	100	-	Software design & production
Yas Arghavani System Engineering	Iran	100	-	Software design & production
Yas Arghavani Industrial Engineering	Iran	100	-	Software design & production
Shaghayegh Software Engineering	Iran	100	-	Software design & production
Secure Infrastructure of Transactional Services Co.	Iran	100	-	Equipment installation
C) Mellat Financial Group				
Mellat Financial Group	Iran	100	100	Investment
Behsaz Mellat Insurance Services	Iran	100	-	Insurance services
Maa Insurances	Iran	17	10	Insurance services
Tadbirgaran Behsaz Mellat	Iran	100	-	Eveluation of properties
Tarh va Andisheh Behsaz Mellat	Iran	100	-	Collection debts
Behsaz Business Service Development	Iran	100	-	Business & partnership
Mellat leasing	Iran	90	-	Leasing
Mellat Investment Bank	Iran	100	-	Financing
Bank Mellat Brokerage	Iran	100	-	Share brokerage services
Moein Investment Development	Iran	100	-	Investment
Mellat Exchange	Iran	100	-	Exchange services
Arzesh Afarin Atlas	Iran	100	-	Collaboration, Brokering & Trading
Petro Faravaran Atlas	Iran	100	-	Business services
Nosaz Construction & services	Iran	99	-	Constructional services
Vavan Construction & Urban Development	Iran	100	-	Constructional services
Kavosh Research Town	Iran	70	-	Research services
Mellat Insurance Coverage Services	Iran	100	-	Insurance companies' agency
Nogam Oil & Gas Co.	Iran	100	-	Oil & gas field activity

13-4. Particulars of group's affiliates are as follows:

Name of Company	Location	stake%		Main Ent	Major Activity
		Group			
Refah Chain Stores	Iran	10	-		Retails
Amin Investment	Iran	10	-		Financing
Bafgh Iron & Steel Mineral & Industrial Complex (Plan)	Iran	40	-		Minerals extraction
EIH Bank	Germany	26.31	26.31		Banking
Construction Industry technology development	Iran	40	-		Construction affairs
Excavating and exploration of Mineral	Iran	40	-		Mining operation
Saderat Fars development industry	Iran	19			Mining operation
Alborz Insurance	Iran	30	-		Insurance services
Foulad Shargh Kaveh	Iran	16			Mining operation
Asia insurance	Iran	16	-		Insurance services

13-5- With regard to insignificance and lack of on-time access to the affiliate's financial statements, disclosing investment using equity method has been disregarded.

14. Tangible Fixed Assets of the Group & Bank

Items	Cost Price or Revaluated Amount					Accumulated depreciation					Book Value	
	Million Riials					Million Riials					Million Riials	
	Balance on 20/3/2015	Added assets in the financial year	Sold assets in the financial year	Movements & other changes	Adjustments	Balance on 20/03/2016	Financial year depreciation	Accumulated depreciation of sold assets	Adjustments	Accumulated depreciation of sold assets	Balance on 20/03/2016	Balance on 20/03/2015
Bank	56,711,782	5,478,833	(1,093,682)	(0)	(2,207,960)	58,888,973	2,743,135	(611,107)	(653,312)	(611,107)	47,862,235	47,163,761
Bank	50,624,637	4,249,406	(1,045,143)	(0)	(2,526,334)	51,302,566	2,136,588	(599,133)	(630,487)	(599,133)	41,751,687	41,980,727

14-1- Ratio of net fixed assets according to the Circular No. 94/62147, dated June 01th, 2015, issued by the Central Bank has been calculated as follows:

	Restated	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Fixed assets	51,302,566	50,624,637
Less		
Net surplus of revaluation of the years 2004 - 2011	(20,069,195)	(20,410,683)
Provision for depreciation of movable and immovable	(9,550,879)	(8,643,910)
Net fixed assets	21,682,492	21,570,044
Add		
Intangible assets	6,087,169	3,346,186
Leased capital items	85,383	71,040
Above-2 year property collateral	13,445,817	2,931,171
Total	41,300,861	27,918,441
Shareholders' equity	79,557,332	71,262,014
Less		
Net surplus of revaluation of the years 2004 - 2011	(20,410,683)	(20,069,195)
Retained earnings	(13,944,520)	(10,294,517)
Total	36,906,811	49,193,621
(%) Ratio	75.65	83.96

14-2. Tangible Fixed Assets of the Bank are as follows:

Cost Price or Revaluated Amount – Million Rials						
Items	Balance at the beginning of year	Assets added during financial year	Assets sold during financial year	Movements & other changes	Adjustments	Balance at the end of year
Land	20,277,235	-	(76,049)	123,162	477,222	20,371,570
Building	13,221,992	5,790	(54,883)	1,383,462	(3,471)	14,552,891
Computer equipment	4,920,545	-	(667,612)	382,843	(2,095,552)	2,540,224
Vehicles	209,834	-	(272)	29,327	(0)	238,890
Furniture	3,530,884	206,690	(246,328)	899,380	991	4,391,617
Total	42,160,490	212,480	(1,045,143)	2,818,174	(2,050,810)	42,095,191
Assets in the process of completion	7,124,472	3,175,538	-	(1,506,624)	(458,087)	8,335,299
Orders & capital prepayments	507,689	19,132	-	(28,140)	(17,437)	481,244
Capital items at warehouse	831,986	842,256	(0)	(1,283,410)	(0)	390,832
Total	8,464,147	4,036,927	(0)	(2,818,174)	(475,525)	9,207,375
Grand Total	50,624,637	4,249,406	(1,045,143)	(0)	(2,526,334)	51,302,566

14-3- Fixed assets as detailed in the Explanatory Note 4-3-2 have been revaluated.

14-4- The Bank's properties and the acquired properties are insured up to IRR 31,908 billion.

14-5- 1,138 real estates are occupied by other entities, lay within municipal plans and have encumbered title deeds. 147 real estate's lack title deeds, the Bank is pursuing for receiving respective title deeds.

14-6- Accumulated depreciation of scrap movable assets are written off upon disposal and/or conveyance.

Accumulated Depreciation – Million Rials						
Balance at the beginning of year	Depreciation of financial year	Accumulated depreciation of sold assets	Adjustments	Balance at the end of year	20/3/2016	20/3/2015
					20,371,570	20,277,235
4,151,072	4,151,072	(17,225)	(2,388)	4,527,091	10,025,798	9,070,920
1,894,603	1,894,603	541,423	(629,840)	1,816,589	723,635	9,070,920
113,862	113,862	(267)	0	136,577	102,313	95,973
2,484,373	2,484,373	40,219	1,741	3,070,621	1,320,996	1,046,511
8,643,910	8,643,910	(599,133)	(630,487)	9,550,879	32,544,312	33,516,580
					8,335,299	7,124,472
					481,244	507,689
					390,832	831,986
					9,207,375	8,464,147
8,643,910	2,136,588	(599,133)	(630,487)	9,550,879	41,751,687	41,980,727

14-7- Assets in progress are mainly comprised of Sakhteman Asef, Salsabil Hotel of Mashhad, Golestan Pasdaran, Jeihoun Site projects, etc.

14-8- The Bank's properties are insured according to the standing property value, and with regard to the fact that building site is not subject to insurable risk; so, the buildings and immovable properties are adequately insured.

15. Intangible Assets

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Good will	1,318,176	1,329,479	1,205,085	1,210,213
Royalty	307,269	323,811	0	0
Computer software – Net	2,723,352	579,894	2,693,573	574,870
Constructing Computer software	2,165,230	1,559,965	2,165,230	1,559,965
Other	24,454	72,306	23,281	71,175
Total	6,538,481	3,865,455	6,087,169	3,416,223
Accumulated depreciation	(983,626)	(395,797)	(983,626)	(395,797)
Total	5,554,855	3,469,658	5,103,543	3,020,426

16. Other Assets

The constituents of the above entry on the balance sheet date are as follows:

		Group		Bank	
		March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
		Million Rials	Million Rials	Million Rials	Million Rials
Interim receivables – Rial	16-1	16,676,773	17,858,138	36,767,712	30,711,665
Interim receivables – FC	16-2	44,356,047	9,197,108	44,356,047	9,197,108
Interim receivables FC abroad		712,707	636,593	712,707	636,593
Accounts receivables	16-3	14,651,114	13,904,336	0	0
Group Co.		76,396,641	41,596,175	81,836,466	40,545,367
Owned collaterals	16-4	14,311,923	14,024,594	14,311,923	14,024,594
Receivable profit & commission		60,896	80,619	60,896	80,619
inventory		346,062	342,863	346,062	342,863
Ready-for-sale assets		1,685,124	1,774,692	1,374,126	1,480,894
Other		1,761,999	6,175,885	121,118	116,603
Total		94,562,644	63,994,828	98,050,591	56,590,939
Less :					
Doubtful loans provisions		(1,216,856)	(598,585)	(1,216,856)	(598,585)
Total		93,345,788	63,396,243	96,833,735	55,992,354

16-1. Interim receivables in Rials are comprised of the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
On-account payment & receivables from companies	5,181,348	752,417	5,181,348	2,302,721
Dividend receivable from other companies	1,124,570	6,505,391	25,426,499	21,603,438
Profit due from bonds	84,916	1,934,124	84,916	1,934,124
Other items	10,285,939	8,666,206	6,074,949	4,871,383
Total	16,676,773	17,858,138	36,767,712	30,711,665

16-2. Out of IRR 44,356 billion of interim FC receivables, sum of IRR 42,412 billion is related to the FC bonds of South Pars Oil & Gas Co. which will be collected according to the agreement reflected in Explanatory Note (9-1). Further, sum of IRR 965 billion of the interim FC receivables is related to dues from Bank Maskan for 2 L/Cs opened by the said bank, for collection of which legal actions are in progress. Subsequently, Bank Maskan has litigated against Bank Mellat, also clarification of the situations is subject to the verdict of the court.

16-3. Accounts receivables are comprised of the following items:

	Group	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Trade notes receivables	9,330,556	802,654
Trade receivables	5,377,442	13,525,447
Other	0	205,722
Doubtful loans provisions	(56,884)	(629,488)
Total	14,651,114	13,904,336

16-4- Securities include IRR 6,458 billion of shares of National Iranian Copper Industries Co., sum of IRR 1,986 billion of movable properties, sum of IRR 5,667 billion of immovable properties and sum of IRR 201 billion of other possessed securities.

16-4-1- According to the Minutes of Extraordinary General Meeting held on November 30, 2014 National Iranian Copper Industries Co. have agreed with 24% increase of their capital, and the foregoing is being followed up concerning registrations of the same in the books.

16-4-2- Out of the possessed properties, 1,061 properties in provinces and 70 properties in Tehran and free zones have not yet been handed over by the former owners.

16-4-3 ready-for-sale assets have been classified according to the Resolutions No. 3247/18, dated March 03th, 2014 and 3274/74, dated July 07th, 2014 adopted by the Board of Directors of the Bank, which were published in the widely-circulated Newspapers for several times

17- Items in Transit

Items in transit on the balance sheet date are as follows:

	March 20 2016	March 20 2015		March 20 th 2016	March 20 th 2015
	Debtors	Debtors		Restated creditor	Creditor
	Million Rials	Million Rials		Million Rials	Million Rials
Center /IRR	470,811,848	369,702,237	Center /IRR	533,890,876	435,141,922
Center /FC	205,647,079	198,613,435	Center /FC	219,088,950	201,295,978
Branches /IRR	0	10,538	Branches /IRR	1	0
Branches / FC	18,114,904	546,137,817	Branches FC	0	546,137,817
Local receivables /IRR (17-3)	67,273,847	112,046,490	Local creditors/ IRR (17-4)	18,731,500	60,672,074
Local receivables /FC	446,344	47,308	Local creditors/ FC (17-3-2)	36,155,970	25,874,836
Capital paid to foreign branches FC	1,435,559	1,435,559	Capital of branches abroad	1,759,559	1,435,559
Surplus resources	36,416,781	15,704,249	Surplus resources	36,420,644	15,704,249
Legal deposit of branches in free zones	3,087,940	1,059,621	Legal deposit of Free Zones Branches	3,115,469	1,059,621
Rial equivalent of FC transactions account (17-1)*	325,016,678	256,234,906	FC position account	325,016,678	256,234,906
FC position account	132,620,119	120,867,115	Rial equivalent of FC transactions account	132,620,119	120,867,115
Sight FC Deposit in foreign branches	4,953,398	5,028,111	Sight deposit of H.O.	4,757,667	4,743,247
Sight FC Deposit at branches foreign held with one another	13,335	338,328	Sight Deposit at branches abroad foreign held with one another another	246	245
Time FC Deposit at branches foreign held with one another	0	310,492	Time FC Deposit at branches foreign held with one another	643,560	454,743
Dues from H.O.	3,627,980	2,817,526	Time deposits of H.O.	215,522	-
Total	1,269,465,810	1,630,353,731		1,312,452,761	1,669,622,311
Items in transit	42,986,951	39,268,580		0	0
Total	1,312,452,761	1,669,622,311		1,312,452,761	1,669,622,311

17-1- Concerning the above note, provisions of the Letter No. 1225/BM, dated February 06th, 2002, issued by General Management of Supervision on banks and credit institutions department of Banking Studies & Regulations of the Central Bank, subject of the Directive of Procedure of Issuance and Registration of Accounting Documents for to FC Operations have been complied with.

17-2- Major items of IRR Center / FC Center and Local debtors and creditor, subject of the Note.

17-3 and 17-4 are mainly due to process of crediting/withdrawal to/from SHETAB, SATNA, SHAPARAK etc. clearing systems with the branches and divisions, which are settled within a few days.

17-3. Local receivables include the following items:

	Note	March 20 th , 2016	March 20 th , 2015
		Million Rials	Million Rials
Intra-unit Accounts	17-3-1	1,599,128	1,249,914
Payments to SATNA for departments		10,448,854	19,001,083
Core Unit		85,600	55,000
Funds credited to Mellat current account		0	49,732,123
SHAPARAK		1,148	2,874,046
PAYA Drafts System		1,283	1,285
SHETAB		12,252,543	0
Funds withdrawn from core accounts		49,690	1,396,129
Allocation of FC for LCs & DCs	17-3-2	36,146,875	25,874,836
Other items	17-3-2	6,688,725	11,862,074
Total		67,273,847	112,046,490

17-3-1. Items related to intra-unit accounts comprise the following items:

	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Payment of drafts drawn by other departments	807,957	861,648
Working capital of branches	791,172	388,266
Total	1,599,128	1,249,914

17-3-2- The entries for internal receivables in Rial and local payables in FC, are intermediary entries between the branches and international division related to the past FC obligations subject of circular No. 60/1015.

17-4. Internal payables comprise the following items:

	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Intra-unit accounts	7,738,749	386,129
Shetab	0	22,034,356
Clearing house	436,586	11,730,848
Funds credited to JAMM account	2,650,505	0
Subsidy of SME's	91	295
Shaparak	0	0
Funds deposits out of core accounts	70,276	444,964
Other items	7,835,294	26,075,482
Total	18,731,500	60,672,074

18. Dues to the CBI

Bank

	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Sight FC deposits of the CBI	1,514,360	2,665,044
Time FC deposits of the CBI 18-1	137,268,018	123,787,862
Loans received from the CBI	12,800,000	800,000
Loans received from the NDF 18-2	4,722,340	4,282,270
Dues to the CBI	14,347,725	13,083,667
Dues to the CBI for FC rate difference (non-exempt cases)	39,337	45,271
Total	170,691,780	144,664,114
Less:		
Dues from the CBI for managed float rate difference	(460,341)	(310,859)
Total	170,231,439	144,353,255

18-1- It is related to extension of FC deposits with the central bank which is conducted via SWIFT up to the end of the year and due to the liquidity problem in FC segment, sum of IRR 10,226 billion as the profit of the central bank's FC deposit with Bank Mellat has not been remitted to the account of central bank.

18-2- The entry of liability to the Central Bank includes loans received out of the NDF which were granted to the private sector in the preceding years. The profit share of the NDF out of these kind of loans, regardless of the maturity, will be credited to the Central Bank's account at the rate of 40% interest and delay penalty after collecting the installments. Meanwhile, as the amount of EUR 27.8 million of the matured principal installments have been extended, it has not yet been remitted to Central Bank's account.

19. Dues to Banks and Credit Institutions

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Interest-free current Vostro account deposit (after clearing)	92,492	82,806	92,492	82,806
Interest-free current account deposit of non-bank credit institutes	685,227	985,383	685,227	985,383
Sight FC deposit of Iranian banks	6,756,913	9,249,912	6,756,913	9,249,912
Sight FC deposit of foreign banks	844,163	23,677	2,328,733	2,112,668
Time FC deposit of Iranian banks	9,213,793	9,896,358	9,213,793	9,896,358
Time FC deposit of foreign banks	4,235,588	3,737,668	4,235,588	3,737,668
Loans received by subsidiary companies from other banks	2,736,109	2,544,985	0	0
Deposits of other banks	57,365,267	28,781,499	57,365,267	28,781,499
Total	81,929,551	55,302,289	80,678,012	54,846,294

20. Sight Deposits

Sight deposits on the balance sheet date are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Current interest-free deposits- IRR	127,006,168	135,845,307	127,136,981	135,774,268
Current interest-free deposits- FC	42,549,382	15,959,192	42,562,315	15,976,803
Different bank checks	12,410,021	15,462,786	12,410,021	15,462,786
Equity participation joint-account	5,784,177	2,991,795	5,784,177	2,991,795
Interim payables – IRR	8,655,690	4,925,408	10,570,772	6,150,540
Interim payables – FC	57,295,049	26,973,722	57,295,049	26,973,722
Payable profit & commission	46,868	44,504	46,868	44,504
Other items	1,531,152	1,766,747	1,531,152	1,766,747
Total	255,278,507	203,969,461	257,337,335	205,141,164

20-1- Different bank checks sold include local intra-city issuing branch, bank checks issued by other branches and inter-bank checks issued by other banks, which have been issued at the request of the customers and are settled within 72 hours.

20-2- the balance of this entry is related to the FC drafts of customers.

21. Savings Deposits & the like

The above entry on the balance sheet date includes:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Interest-free savings deposit / IRR	57,920,064	50,025,701	57,920,851	50,025,769
Interest-free savings deposit / FC	5,371,271	6,384,369	5,371,271	6,384,369
Customers saving	445,876	421,698	445,876	421,698
Total	63,737,211	56,831,768	63,737,998	56,831,835

22. Time Investment Deposits

Investment deposits are comprised of the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Long-term investment deposits 22-1	363,362,287	262,111,277	367,460,407	263,357,576
Short-term investment deposits	243,124,274	298,715,458	426,675,727	299,377,289
Special Short-term investment deposits	5,052,890	4,870,589	5,053,890	5,146,889
Public servants savings (Employees' share)	1,123,158	882,940	1,123,158	882,940
Public servants savings (Government's share)	1,116,089	881,622	1,116,089	881,622
FC time deposits	68,800,183	55,021,705	68,800,183	55,021,705
Time deposits of branches abroad	59,025	163,500	59,025	163,500
Total	862,637,907	622,647,090	870,288,480	624,831,520

22-1- Long-term investment deposits include IRR 21,985 billion investment by individuals for Hajj pilgrimage, the profit of which have been calculated at 20%.

23. Other Deposits

Constituents of the above entry are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Advances from customers for Rial LCs / private (23-1)	326,122	0	326,122	0
Advances from customers for FC LCs / public	11,973,084	12,782,086	11,973,084	12,782,086
Advances from customers due from Local FC LCs / private	4,132,648	7,881,260	4,132,648	7,881,260
Cash deposit for LGs – IRR/ private	8,483,744	8,307,905	8,559,951	8,314,438
FC Cash deposit for LGs	2,692,783	2,539,902	2,692,738	2,539,902
Advances received from customers for Local LCs / private	230,160	633,412	230,160	633,412
Other	14,912,806	11,584,565	1,379	10,405
Total	42,751,303	43,729,129	27,916,083	32,161,502

23-1- The said amount mainly relates to sums received for L/Cs and time FC drafts (as detailed in the Note 11 of financial statements). Also advances items from customers are related to Rial and FC L/Cs due to loans granted to the public and private sectors, as explanatory notes (10, 9).

24. Payable Tax

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Balance at the beginning of the year	5,327,390	1,825,318	4,669,031	747,510
Reserve of tax for operations of the year	1,201,573	4,463,148	789,661	3,874,140
Preceding years tax reserves	8,503,555	3,894,444	8,310,478	3,894,444
Tax adjustments	61,689	433,428	(0)	(0)
Settled during the year /period	(9,111,432)	(4,933,882)	(8,417,436)	(3,843,486)
Tax paid on-account	(4,120,955)	(355,067)	(3,902,984)	(3,577)
Balance at the end of the year	1,861,821	5,327,390	1,448,750	4,669,031

24-1. The Bank's tax has been settled with the tax authorities until March 20th, 2010 and duly paid out. Summary of tax status of the Bank for operations of the year 2011 up to March 20th, 2015 is as follows:

Year	Declared Profit (Loss)	Taxable Income	Tax				Balance reserve	Balance reserve	Assessment
			Declared	Assessed	Final	Settled	March 20 th , 2016	March 20 th , 2015	Method
2011	8,037,969	6,422,225	1,284,445	4,193,967	2,149,772	3,090,745	0	791	Audited books
2012	7,528,606	2,310,207	519,797	5,658,041	4,376,363	4,890,731	0	167,586	Audited books
2013	16,050,972	3,475,859	1,344,908	7,109,493	5,050,696	5,782,359	0	419,209	Audited books
2014	17,894,159	4,477,227	1,101,780	6,820,073	0	3,948,486	2,400,000	210,882	Audited books
2015	19,177,596	4,370,698	874,140	8,047,681	0	1,812,066	2,162,073	3,874,140	Unaudited
2016	13,179,119	3,948,304	789,661	0	0	0	789,661	0	
Total	81,868,420	25,004,520	5,914,730	31,829,255	11,576,831	19,524,387	5,351,734	4,672,609	
Less: Settled on-account tax							(3,902,984)	(3,577)	
Grand Total							1,448,750	4,669,031	

24-2. In consideration of contingent liability to the Iranian National Tax Administration, in addition to the reserved funds set out in the tax payable entry, the required reserves are available in the entries of other reserves.

24-3. With regard to the settlement of tax balance liabilities until March 20th, 2010, the relevant settlement slip for March 20th, 2010 was received.

24-4. On the strength of final tax assessment notice for the financial year ended on March 20th, 2011, bearing No. 2946323, dated March 08th, 2014, sum of IRR 2,149 billion was totally paid; nevertheless, whereas Supreme Tax Council reissued another final tax notice with an equivalent tax amount, and the case was objected by the chief auditor, the bank lodged a complaint to the High Administrative Tribunal. It is to be noted that according to the decision of Tax Dispute Settlement Board indicating acceptance of doubtful account costs in the year ended on March 20th, 2011, the Case was referred to the Tax Supreme Council, and the Bank has considered reserves in the accounts on the strength of such decision and upon assuming acceptability of doubtful account cost for the years ended on March 20th, 2012 through March 20, 2013.

24-5. On the strength of final tax assessment notice for the financial year ended on March 20, 2012, bearing No. 7955191, dated September 15th, 2014, sum of IRR 4,376 billion was demanded from the Bank, which was totally paid up; nevertheless, the Bank has objected to the issued award, and intends to lodge a complaint to the Minister of Economic Affairs and Finance in compliance with Article 251 of Direct Tax Act.

24-6- On the strength of final tax assessment notice for the financial year ended on March 20, 2013, bearing No. 21655466, dated February 20th, 2014, sum of IRR 5,051 billion was demanded from the Bank, in execution of legal regulations, the Bank objected and it is following up the case at the Tax Dispute Boards.

24-7- On the strength of final tax assessment notice for the financial year ended on March 20th, 2014, bearing No. 11220198, dated February 08th, 2015, sum of IRR 6,820 billion was demanded from the Bank, and in execution of legal regulations, the Bank objected and it is following up the case at the Tax Dispute Boards.

24-8- On the strength of final tax assessment notice for the financial year ended on March 20th, 2015, bearing No. 213937797, dated February 13th, 2015, sum of IRR 8,048 billion was demanded from the Bank, and in execution of legal regulations, the Bank objected and it is following up the case at the Tax Dispute Boards.

25. Provisions & other dues

Provisions & other dues comprise the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Loans received from NDF/ FC 25-1	119,471,532	62,290,189	119,471,532	62,290,189
Provisions of foreign branches	46,065	42,979	46,065	42,979
Provisions of Bank's Pension Fund (Actuary) 25-2	7,899,922	8,173,922	7,899,922	8,173,922
Provisions for repurchasing leaves	3,095,143	1,195,143	3,095,143	1,195,143
Provisions of Personnel Expenses	168,128	415,525	168,128	415,525
Provisions of admin. Expenses	1,906	41,578	1,906	41,578
Provisions for bonuses of interest-free savings deposits	1,023,578	1,198,835	1,023,578	1,198,835
Tax reserve of previous years	186,670	3,860,554	186,670	3,860,554
Provisions of Deposits Guarantee Fund 25-3	822,209	1,704,170	822,209	1,704,170
Provisions of profit of Mouj plan	12,115,642	10,653,000	12,115,642	10,653,000
Other items	12,143,217	1,957,742	11,500,017	543,767
Total	156,974,011	91,533,636	156,330,811	90,119,662

25-1- The receivable loans from the NDF including loans principal sum of IRR70,883 billion and sum of IRR 4,819 billion profit from the profit of the participation period.

25-2- The actuary provisions, according to the qualified actuary's calculations, has been considered in the accounts and the amount regarded by the pension fund has not been recorded in the accounts due to objection to calculation procedures and assumption regarded by the bank's selected actuary.

25-3- In execution of Article 7 and Clause 1 of Article 9 of Directive of the Amount and Procedure of Receiving the Deposits Guarantee Fund Membership Fee, as set out in the Resolution No. H4837T/100998, dated July 24th, 2013, approved by the Council of Ministers, sum of IRR 1,057 billion, including initial membership fee has been paid on account and sum of IRR 823 billion

was recorded in the accounts as provision. Further, according to the note 2 clause 9 of the said directive assigning amount of the membership fee of the financial institute is the duty of the Deposits Reserve Guarantee Fund.

26. Acceptance & endorsements

	Bank	
	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials
Liability for accepting time FC L/Cs and drafts	15,445,416	21,910,274
Loans received for refinance lines from foreign banks	44,711	47,419
Loans received from foreign branches for refinance lines	33,632	32,390
Total	15,523,759	21,990,083

[illegible]

28. Severance provisions

The turnover of the account of the severance provisions is as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	September 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Balance at the beginning of the year	6,407,802	5,021,282	6,172,663	4,868,100
provisions secured for the year	2,762,253	1,584,844	2,620,317	1,472,515
Paid during the year	(368,198)	(198,324)	(320,317)	(167,952)
Balance at the end of the year	8,801,858	6,407,802	8,472,663	6,172,663

29. Capital

29-1. The Bank's capital at the beginning of establishment was IRR 33,500 million (including 33,500,000 shares, each at par value of IRR 1,000), which through the following steps reached sum of IRR 40,000,000 million.

Capital Increase Finance Source	Date of Increase	% of Increase	Amount	New Capital Amount
			Million Rials	Million Rials
Revaluation of fixed assets	01.09.1993	1,706	571,500	605,000
Special Bonds – subject of Article (93) of 3 rd Development Plan	01.09.2001	104/8	634,000	1,239,000
Revaluation of fixed assets and conversion of FC assets & liabilities	10.08.2005	957/3	11,861,000	13,100,000
Shareholders' Cash Contribution	26.04.2011	22/1	2,900,000	16,000,000
Retained earnings	24.06.2012	25	4,000,000	20,000,000
Revaluation of fixed assets	23.09.2012	65	13,100,000	33,100,000
Retained earnings	29.04.2014	20,8	6,900,000	40,000,000

29-2. Composition of shareholders at the balance sheet date is as follows:

	March 20 th , 2016		March 20 th , 2015	
	# of Shares	%	# of Shares	%
Provincial Justice Share Investment Companies (PJSC)	11,999,999,797	30	11,999,999,797	30
Government of I.R. of Iran	6,800,000,000	17	7,621,893,854	19.05
Social Security Org.	1,523,825,986	3.81	3,997,007,592	9.99
Bank Mellat Personnel Future Security Fund	2,579,762,512	6.45	2,426,176,841	6.07
Saba Tamin Investment Co. (PJSC)	3,884,272,273	9.71	1,560,907,558	3.90
Mellat Financial Group Co.	1,353,802,496		1,534,781,637	3.84
Staff preferential shares	0	0	1,534,781,637	3.05
Mehr logistic services Co.	663,239,006	1.66	0	0
Moin Atieh Khahan Cooperative Co.	1,160,575,223	2.90	710,575,223	1.78
Trans-Iran Distribution Co.	576,730,331	1.44	651,288,358	1.63
Shirin Asal Co.	483,397,223	1.21	483,397,223	1.21
Oil Pension Fund Investment Co.	484,632,277	1.21	484,632,277	1.21
Iran National Investment Co.	450,079,625	1.13	444,562,983	1.11
Mehran Kohan Tejarat Co.	0	0	422,733,678	1.06
Other shareholders	8,039,683,251	20.10	6,443,660,696	16.11
Total	40,000,000,000	100	40,000,000,000	100

	March 20 th , 2016		March 20 th , 2015	
Number of Shareholders:	No. of Shares	%	No. of Shares	%
Legal Entities	539	89.99	441	92.28
Natural Entities	54,958	10.01	46,987	7.72
Total	55,497	100	47,428	100

29-3- Capital Adequacy Ratio

Capital adequacy ratio, which is obtained by dividing the Bank's basic capital by risk weighted assets, as required by Basel Committee, subject of Approval No. BM/1967, dated February 19th, 2004, and Circular No. 353249 dated March 16th, 2010 has been calculated at the balance sheet date as detailed below

	March 20 th 2016	March 20 th 2015
	Bank	Bank
	Million Rials	Million Rials
Paid-up capital	19,930,805	19,589,319
Legal reserve	17,612,269	15,158,355
Other reserves	11,650,546	2,159,140
Retained earnings	9,055,571	15,206,786
Total core capital	58,249,191	52,113,600
General provisions for NPLs and reserves for revaluation of fixed assets	35,145,740	32,110,762
Less: Tier 2 capital adjustments	(0)	(0)
Total supplementary capital	35,145,740	32,110,762
Less: Investments	(2,087,464)	(2,087,464)
Total core capital after deduction of investments	91,307,467	82,136,898
Total risk-weighted assets (note 29-4)	1,206,123,582	936,006,289
Capital adequacy ratio (%)	7.57	8.78

29-3-1. 10% net profit (legal stipulation of distribution of profit to shareholders) out of retained earnings at end of financial year was deducted and considered in calculation of the core capital.

29-4- Risk-weighted Assets

	March 20 th , 2016			Restated March 20 th , 2015		
	Assets	Conversion Factor	Risk adjusted assets	Assets	Conversion Factor	Risk adjusted assets
	Million Rials	Percent	Million Rials	Million Rials	Percent	Million Rials
Cash balance	18,844,735	-	0	15,709,484	-	0
Funds in transit	42,383	-	20	51,122	-	20
Receivables from central bank	154,277,322	-	0	128,116,592	-	0
Receivables from Banks	183,434,669	-	20	36,686,934	-	20
Receivables from Government	68,498,147	-	0	63,426,103	-	0
Public & central Bank bonds	3,146,055	-	0	1,540,683	-	0
Investments & partnerships (net)	27,886,633	100	27,886,633	27,274,620	-	100
Public loans (net)	170,634,302	0	0	232,928,570	-	0
Private loans, secured by the government (net)	992,346	0	0	1,151,961	-	0
Private loans	451,967,266	100	451,967,266	343,097,408	-	100
Housing loans	95,318,756	-	50	47,659,378	-	50
Outstanding receivables	37,028,340	-	100	46,767,992	-	100
Fixed assets	62,656,428	100	62,656,428	60,502,228	-	100
Debtors for time FC LCs & drafts	1,974,439	100	1,974,439	8,966,591	-	100
Other Assets	344,586,378	100	344,586,378	240,435,172	-	100
Total Assets	1,621,288,199		1,010,454,272	1,347,113,202		790,862,834
Dues for LCs after deduction of advances	9,155,141	20	100	17,777,569	20	100
Dues for under 1 year guarantees after deduction of cash deposit	50,676,461	20	100	10,135,292	74,052,119	20
Dues for over 1 year guarantees after deduction of cash deposit	92,335,591	50	100	46,167,796	68,484,673	50
Other dues (private)	134,003,425	100	100	134,003,425	83,960,912	100
Other dues (corporate bonds)	14,125,181	50	50	3,531,295	34,295,181	50
Other dues (Inter-bank)	11,830	20	20	473	11,830	20
Other dues(public)	165,298,365	0	0	0	153,884,161	0
Total liabilities	465,605,994		195,669,309	432,466,445		145,143,455
Total Risk-weighted Assets	2,086,894,193		1,206,123,582	1,779,579,647		936,006,289

30. Shares of Parent Company Owned by the Subsidiaries

Shares of parent company owned by the subsidiaries at the date of balance sheet are as follows:

	March 20 th , 2016		March 20 th , 2015
	Cost Price	No. of shares	Cost Price
Mellat Financial Group Co.	1,574,965	2,003,187	1,353,802,496
Mellat Partnership Behsaz Co.	23	27	30,524
Behsazan Co.	29	29	28,882
Total	1,575,017	2,003,242	1,353,861.902

31. Reserves

Balance of reserves includes the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Capital adequacy reserve	10,000,000	0	10,000,000	0
Local statutory reserve	19,318,459	16,458,918	17,481,795	15,036,245
statutory reserve abroad	130,475	122,110	130,475	122,110
Other Local statutory reserves	228,281	123,555	3,137	3,137
Other statutory reserve abroad	64,284	78,738	64,284	78,738
Total	29,781,498	16,783,320	27,679,690	15,240,229

31-1- Discrepancy in the note of reserves is due to compliance with international standards of branches abroad, and to this end, the branches' auditors have given their confirmation.

32. Subsidiaries capital derived from revaluation surplus

	Group	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Fixed assets revaluation surplus	420,484	420,484
Total	420,484	420,484

33. FC translation difference of Foreign Branches statements

	Group		Bank	
	March 20th 2016	March 20th 2015	March 20th 2016	March 20th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Difference due to conversion of FC Assets & Liabilities	3,419,795	3,580,406	1,583,125	2,077,265
Total	3,419,795	3,580,406	1,583,125	2,077,265

33-1. In execution of clause 4-A and 4-C of the Circular No. 1844/BM, dated January 12th, 2004, issued by the Central Bank of I.R. of Iran, the difference of conversion of assets and liabilities of the branches abroad was calculated and recorded in the accounts.

33-2. Increase in the difference due to conversion of FC Assets & Liabilities is due to exercising exchange rates in the year 2016.

34. Minority interest

	March 20th, 2016	March 20th, 2015
	Million Rials	Million Rials
Capital	981,807	988,283
Reserves	78,617	52,077
Retained FC translation difference	943,970	780,808
Retained earnings(loss)	145,241	181,790
Total	2,149,636	2,002,957

35. Profit from granted loans

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Installment sale	5,078,319	5,517,440	6,741,143	5,259,567
equity participation	38,913,900	33,184,153	38,913,900	33,184,153
Reward	1,513,190	1,835,882	1,513,190	1,835,882
Hire purchase	344,137	183,601	344,137	183,601
Capital bailment	4,656,433	3,756,417	4,656,433	3,756,417
Regular notified governmental loans	165,295	186,048	165,295	186,048
Receivable from government profit	12,144,471	9,796,000	12,144,471	9,796,000
Factoring	1,699,171	497,076	1,699,171	497,076
Rent-to-own	18,484,661	11,178,195	18,484,661	11,178,195
Forward purchasing	53	1,152	53	1,152
Retained portion of Loans in IRR 35-1	37,924,992	21,383,333	37,924,991	22,524,932
Total	120,924,622	87,519,297	122,587,445	88,403,023

35-1- Income from the delay payment charges of Loans in IRR is related to the deferred profit of restructured loans and delay payment charges of participation bonds as well as loans.

36. Profit from Sales of goods & services

	Group	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Sales of FC by Mellat Exchange	16,078,842	18,262,862
Sales of goods	9,029,423	4,717,926
Profit from providing service	15,526,196	6,583,640
Other	262,128	887,420
Total	40,896,589	30,451,848

37. Profit from Investments & Deposits

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Dividend from subsidiaries subject to consolidation	0	0	4,052,978	8,566,660
Profit de from investment in the shares of companies	2,785,922	4,621,079	1,874,230	1,977,349
Total	2,785,922	4,621,079	5,927,208	10,544,009
Profit from investment deposit and bonds and legal deposits	16,546,257	13,766,473	15,732,866	18,316,498
Profit from sales of shares	0	462,210	0	
Impairment losses	(664)	(632,123)	(664)	(9,192)
Profit from selling warrants	0	826,440	0	826,440
Profit from purchasing CDs of other bank	1,238,995	788	1,238,995	788
Net profit from investment in the shares of companies	20,570,510	19,044,867	22,898,405	29,678,543

37-1. Bank's income from investment deposits and participation bonds is as follows:

	Bank	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Profit from deposits:		
Profit from legal deposit (punctuality bonus)	999,735	905,984
Profit from deposits at banks	10,929,440	9,983,498
Total profit from deposits	11,929,175	10,889,482
Profit from investment in participation bonds	3,803,691	7,427,804
Total	15,732,866	18,317,286

38. Cost price of goods and services

	Group	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Consumable supplies	692,077	907,319
Direct wages	1,810,049	1,304,427
production surplus	1,250,956	851,377
Costs unabsorbed in production	(14,510)	(11,122)
Total production costs	3,738,572	3,052,001
Increase(decrease) in inventory of goods in progress	(156,580)	(103,576)
Wastage	(1,345)	(386)
Cost price of production	3,580,647	2,948,039
Purchase of finished goods	4,948,949	3,338,830
Increase(decrease) in inventory of produced goods	87,769	105,585
Cost price of sold goods	8,617,365	6,392,454
Cost price of rendered services	13,952,825	6,242,246
Cost price of sold FC	15,364,992	14,792,331
Cost price of sold goods	37,935,181	27,427,031

39. on-account Profit of Investment Deposits

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Short-term deposits profit:	41,773,614	30,208,614	41,773,614	30,208,614
special short-term deposits profit	2,068,156	1,835,653	2,068,156	1,835,653
1-year	55,869,949	30,369,035	55,868,481	30,367,547
2-year	5,264,610	5,647,690	5,264,610	5,647,690
3-year	1,455,730	1,415,074	1,455,730	1,415,074
4-year	259,021	202,513	259,021	202,513
5-year	21,555,974	23,349,655	22,732,359	22,882,264
profit of 1-year CD	6,592,699	2,383,387	6,592,699	2,383,387
Total	134,839,753	95,411,621	136,014,670	94,942,742

Note – Increase in the profit payable to the deposits is mainly due to increasing the deposits and profit payable to the current year and absorbing deposit at different rates.

39-1. On-Account profit of investment deposits are as Follows:

	Bank	
	Year ended on March 20 th , 2016	Year ended on March 20, 2015
Regular short-term and house purchase	10	7
3-month special short-term	17,5	14
6-month special short-term	17,7	16
9-month special short-term	17,9	18
1-year	18	22
2-year	18	22
3-year	18	22
4-year	18	22
5-year	18	22
Investment certificate of deposit	20	22

40. Difference of Final & On-Account Profits of Investment Deposits

The difference of final & on-account profits of time investment deposits of customers has been calculated as per Directive No, 22243/BM, dated April 26th 2009, issued by Central Bank of I.R. of Iran, as follows:

	March 20 th , 2016	March 20 th , 2015
Average Joint allocotions	Million Rials	Million Rials
Granted loans	588,376,096	495,802,850
Investments	73,258,756	62,217,670
Participation bonds	25,027,072	32,226,277
Total	686,661,924	590,246,797
Less: Net depositors' Resources:		
Ordinary Average short-term	336,653,550	268,965,651
Special Average short-term	5,086,573	5,042,426
Average 1-year	206,929,615	137,997,250
Average 2-year	21,641,457	22,845,074
Average 3-year	5,753,578	5,932,991
Average 4-year	1,219,919	1,055,279
Average 5-year	98,526,486	107,785,477
Average investment deposits of other banks	42,128,585	17,878,010
Total average investment deposits	717,939,763	567,502,158
Average legal deposit of investment deposits	(76,375,196)	(63,953,853)
Net depositors' resources	641,564,567	503,548,305
Bank's resources	45,097,357	86,698,492
Joint Income:		
Profit from granted loans	122,587,445	84,403,024
Profit from investments (Except for statutory deposit)	10,929,440	9,983,498
Profit from investments	10,969,231	18,789,061
Total joint profit	144,486,116	117,175,583
depositors' profit share	134,996,815	99,964,229
Bonus of legal reserve of investment deposits	999,465	887,633
Depositors' profit	135,996,280	100,851,862
Received spread	(0)	(14,187,554)
Profit payable to depositors	135,996,280	86,664,308
On-account profit paid to depositors during year (Note 39)	(136,014,670)	(94,942,743)
Deficit (surplus) of profit paid to depositors	(18,390)	(8,278,435)

40-1. The spread has been calculated as 0% of the average investment deposits (Bank's approved spread for the year ending on March 20th, 2016 is 3%)

41. Received profit & delay payment charges of non-joint income

Profit & D.P. charges Money of Non-Joint income are as follows:

	Group		Bank	
	Restated March 20th, 2016	March 20th 2015	March 20th 2016	Restated March 20th, 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Profit (branches abroad)	252,545	237,933	252,546	237,933
D.P. charges from other receivables	2,126,449	11,463,024	2,134,055	4,522,968
D.P. charges granted FC loans/private (41-1)	348,343	1,428,666	348,348	1,428,666
Profit out of granted FC loans/ public	16,040,660	16,255,091	16,040,660	16,255,091
Profit out of FC investments and FC bonds	399,093	1,119,088	399,093	1,119,088
FC bonds	3,804,381	3,533,172	3,804,381	3,533,670
Other	1	23	1	23
Total	22,971,472	34,036,997	22,979,079	27,097,439

42. Commission received

Commissions received include the following items:

	Group		Bank	
	March 20 th , 2016	March 20 th , 2015	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Commission of issued LCs	117,139	335,712	117,139	335,712
Commission of issued LGs	2,055,164	2,379,316	2,055,187	2,379,337
Commission of received bills	242,836	212,818	242,836	212,818
Bank drafts Commission (SHETAB)	2,054,541	1,505,383	2,054,541	1,505,383
Commission of interest-free loans	1,050,749	1,019,864	1,050,749	1,019,864
Commission of branches abroad	73	14	73	14
Commission of public accounts	119,141	93,048	119,141	93,048
Received Commission of loans of worn-out vehicles	1	34	1	34
Commission of current accounts (bounced checks)	99,707	81,193	99,707	81,193
Commission of insurance services	185,791	163,839	185,791	163,839
Commission of drafts in the local and foreign currency	485,021	403,169	485,022	403,169
Commission of bad checks	45,688	38,784	45,688	38,784
Commission of expert's fee concerning plans	35,680	43,056	35,680	43,056
Commission of preparation of report on credit data	20,813	27,166	20,813	27,166
Credit card subscription fee	4,202,921	8,784,512	4,202,921	8,784,512
Commission of securities sales agents	73	40	73	40
Other Banking Services	1,533,505	3,284,619	1,532,494	3,283,301
Total	12,248,843	18,372,567	12,247,855	18,371,270

42-1- The commission of yearly subscription of money lending credit card and the profit related to money lending loans are reflected in the Note (35) (Profit of granted loans).

43. Other non-joint incomes

	Group		Bank	
	March 20 th 2016	March 20 th , 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Result of Local FC transactions	804,902	262,635	804,902	262,635
Result of FC transactions (branches abroad)	33,514	12,271	33,514	12,271
Result of conversion of FC accounts	21,611,342	240,473	21,513,661	0
Miscellaneous incomes 43-1	2,491,259	3,000,927	2,689,696	1,650,619
Miscellaneous incomes (branches abroad)	7,731	9,311	7,731	9,311
Total	24,948,748	3,525,617	25,049,503	1,934,836

43-1. Miscellaneous incomes are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Post, Telegraph & Telephone	2,649	3,734	2,649	3,734
Profit from disposing fixed assets & scraps	1,030,740	595,754	1,012,164	420,373
Income from rentals	33,426	22,354	33,427	22,354
Card Issuance	173,244	158,248	173,244	158,248
Fee assets evaluation	303,674	232,048	303,674	232,048
Other	947,526	1,988,789	1,164,537	813,862
Total	2,491,259	3,000,927	2,689,695	1,650,619

44. Admin. & General Expenses

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Personnel expenses	27,305,032	18,115,784	26,351,652	17,337,043
Other Admin. Expenses	13,098,719	9,555,450	13,131,738	9,725,655
Total	40,403,751	27,671,234	39,483,390	27,062,698

44-1. Personnel expenses are constituted of the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Payroll	3,936,760	3,272,125	3,178,594	2,689,840
Overtime allowance	3,068,490	2,593,434	3,068,490	2,593,434
Clerks' deficit allowance	1,800,120	946,821	1,800,120	946,821
Balance sheet bonus	2,018,073	1,429,578	2,018,073	1,429,578
Other Allowances	2,209,816	1,484,737	1,604,284	1,381,582
Welfare & groceries & health	1,851,272	952,984	1,851,272	945,966
Savings & retirement	2,871,077	2,294,435	2,871,077	2,255,615
Personnel retirement costs	1,572,056	1,058,041	1,572,056	1,057,598
Bonus & benefits	515,232	464,088	515,233	464,088
Severance benefits	2,268,002	1,519,534	2,220,316	1,472,515
Commission plan	3,130,171	1,969,015	3,588,174	1,969,015
Leaves repurchase cost	1,982,820	49,382	1,982,820	49,382
Expenses of Expat staff	81,143	81,610	81,143	81,610
Total	27,305,032	18,115,784	26,351,652	17,337,043

44-2. Admin. Expenses are constituted of the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Health & treatment	1,557,418	902,126	1,557,418	902,126
Contractual services	1,154,620	981,369	1,154,620	981,369
Software & bank system logistic expenses	1,077,148	758,192	1,077,148	758,192
Other Contractual services 44-2-1	1,593,092	1,522,070	2,313,231	2,379,044
Consumables & accessories	844,977	935,140	818,114	916,719
Communications and telecommunications	1,206,607	714,336	1,206,607	714,336
Rentals and duties	407,858	371,273	395,431	317,815
Water, power & fuel	400,136	342,514	372,283	320,006
Traveling and mission	203,292	204,223	170,962	198,545
Calculating machines	243,455	266,191	243,456	266,191
Depreciation expenses	2,443,064	1,682,169	2,134,323	1,429,737
Other items	1,918,623	811,929	1,639,716	477,657
Admin. Expenses of branches abroad	48,429	63,918	48,429	63,918
Total	13,098,719	9,555,450	13,131,738	9,725,655

44-2-1- The figures in the contractual services are mainly related to advertisement expenses and other contracts of contractual services.

45. Doubtful loans expenses

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Specific expenses of doubtful loans	(1,584,058)	4,069,918	(1,584,059)	4,069,917
General expenses of doubtful loans	2,287,455	1,052,232	2,589,862	890,426
Total	703,397	5,122,150	1,005,803	4,960,343

45-1. specific expenses of doubtful loans is as detailed below:

	Bank			
Description	Passed due date	Arrears	Doubtful	Total
	Million Rials	Million Rials	Million Rials	Million Rials
Balance of granted loans at the end of the year	6,413,459	6,970,060	91,480,245	104,863,764
Less: Value of collaterals upon applying Coefficient:				
Properties, deposits, real estates & machinery	(3,143,939)	(2,584,629)	(15,812,153)	(21,540,721)
Basic Balance used for calculation of specific provisions	3,269,520	4,385,431	75,668,092	83,323,043
Basic coefficient used for calculating specific provisions	10%	20%	50% up to 100%	-
Specific provisions of doubtful loans	326,952	877,711	48,070,077	49,274,740
Bad debts /adjustments	(0)	(0)	(2,222)	2,222
Specific provisions doubtful loans at the beginning of the year	(362,965)	(923,048)	(49,575,008)	(50,861,021)
Expense of specific provisions of the current year	(36,013)	(45,337)	(1,502,709)	(1,584,059)

45-2. General expenses of doubtful loans is as detailed below:

General provisions for doubtful loans have been calculated as follows:

Bank	
March 20th, 2016	
	Million Rials
Balance of loans on 20 March, 2016	1,308,508,402
Less:	
Balance of loans for which specific provisions has been considered	(104,863,764)
Balance used as the basis for calculation of general provisions	1,203,644,638
General provisions for doubtful loans (1.5%)	18,054,670
Balance of general provisions for doubtful loans at the beginning of the year.	(15,464,808)
General provisions for doubtful loans	2,589,862

46. Financial Expenses

Financial expenses are constituted of the following items:

	Group		Bank	
	March 20th 2016	March 20th 2015	March 20th 2016	March 20th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Expense of loans received from Central Bank.	5,823,400	6,420,658	5,390,704	4,973,356
Expense of banking service fees	3,415,228	3,619,111	3,407,331	3,441,870
Total financial expenses	9,238,628	10,039,769	8,798,035	8,415,226
Profit paid to the FC deposits	6,790,748	5,258,213	6,790,748	5,258,213
Total financial expenses and profit paid to FC deposits	16,029,376	15,297,982	15,588,783	15,588,783

47. Other Expenses

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
FX translation expenses	0	4,802,466	0	4,802,466
Non-Interest-bearing accounts bonuses	565,505	912,626	490,523	865,827
Total	565,505	5,715,092	490,523	5,668,293

47-1. By virtue of Article (2) of the Directive concerning bonuses to be granted to the non- interest-bearing savings deposits, approved by the enactment of 534th Meeting, dated August 04th, 1984 of the Money and Credit Council, the maximum amount to be used for granting bonuses to the holders of non- interest-bearing savings deposits will be designated by the Money and Credit Council.

48. Yearly Adjustments

48-1- Yearly adjustments include the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Foreign branches adjustments	(102,267)	(115,002)	(102,267)	(115,002)
Actuary expenses	0	(274,000)	0	(274,000)
Deposits Guarantee Fund Annual adjustments	0	(1,218,000)	0	(1,218,000)
Doubtful loans expenses Annual adjustments	(1,760,000)	(1,760,000)	(1,760,000)	(1,760,000)
Profit of receivables from governments Annual adjustments	0	3,968,691	0	3,968,691
Bonds retention money	0	1,193,718	0	1,193,718
Tax cost	(3,000,000)	(4,030,000)	(3,000,000)	(4,030,000)
Fixed assets annual adjustments	0	(138,809)	0	(138,809)
Other items' annual report	0	13,269	0	13,269
Adjustment from consolidation	863,786	295,699	0	0
Total	(3,998,481)	(2,064,434)	(4,862,267)	(2,360,133)

48-2 - In order to provide a better view of financial statements, comparative items in relation to yearly adjustments and other classified adjustments have been restated as follows:

Description	Balance Before Adjustment 2015	Classified Adjustments		Annual Adjustments		Adjusted Balance-2015
		Debit	Credit	Debit	Credit	
Dues from CBI	160,214,833	0	2,711,023	0	0	157,503,810
Dues from banks and financial institutes	105,002,834	0	99,092	0	0	104,903,742
Loans & advances to public sector	244,446,078	0	26,533,407	0	0	217,912,671
Loans & advances to other parties	674,151,157	0	26,492,525	0	1,760,000	645,898,632
Dues for LCs and time drafts	13,157,925	10,706,890	0	0	0	23,864,815
Participation bonds & the like	14,194,139	0	7,288,997	0	0	6,905,142
Other assets	100,077,004	0	43,982,383	0	102,267	55,992,354
Dues to CBI	(251,491,067)	107,137,812	0	0	0	(144,353,255)
Dues to the banks and financial institutions	(54,945,387)	99,092	0	0	0	(54,846,294)
Sight deposits	(208,730,164)	3,589,000	0	0	0	(205,141,164)
Payable Tax	(1,699,031)	0	0	0	3,000,000	(4,669,031)
Reserves and other liabilities	(86,530,662)	0	3,589,000	0	0	(90,119,662)
Acceptances and endorsements	(13,358,299)	0	8,631,784	0	0	(21,990,083)
Items in transit	(26,188,014)	0	13,080,566	0	0	(39,268,580)
Other deposits	(43,037,486)	10,875,984	0	0	0	(32,165,502)
Retained earnings	(18,806,786)	0	0	4,862,266	0	(13,944,520)
Profits from investments and partnerships	(23,683,818)	0	5,994,725	0	0	(29,678,543)
Received profit and retained money	(43,833,497)	16,736,058	0	0	0	(27,097,439)
Granted loans profit	(77,661,690)	0	10,741,334	0	0	(88,403,024)
Other incomes	(2,727,299)	792,463	0	0	0	(1,934,836)
On- account payable profit	95,735,206	0	792,463	0	0	94,942,743
Total		149,937,299	(149,937,299)	4,862,266	(4,862,267)	

49. Retained earnings at the year end

Legal assignments:

49-1- According to the Article 90 of the amendment to the commercial code, the Board of Directors propose 10% percent of net profit to be paid out as dividend.

50. Earnings per share

Bank		
	March 20th, 2016	March 20th, 2015
	Million Rials	Million Rials
Earnings before tax deduction	13,179,118	19,177,596
Tax due	(789,661)	(874,140)
Earnings after tax deduction	12,389,457	18,303,456
Earnings per share (40,000 million shares)- Rial	310	458

Group		
	March 20th, 2016	March 20th, 2015
	Million Rials	Million Rials
Earnings before tax deduction	11,949,552	16,125,646
Tax due	(1,199,485)	(1,446,957)
Earnings after tax deduction	10,750,067	14,678,689
Earnings per share (40,000 million shares)-Rial	278	382

51. Reconciliation Statement of earnings before Deduction of Income Tax

Reconciliation statement of earnings before deduction of income tax with net cash in-flow from operating activities is as follows:

	Group		Bank	
	Restated March 20 th , 2016	March 20 th , 2015	Restated March 20 th , 2016	March 20 th , 2015
Operating Activities	Million Rials	Million Rials	Million Rials	Million Rials
Earnings before deduction of income tax	12,083,819	16,306,084	13,179,119	19,177,595
Depreciation expense	2,443,064	1,682,169	2,136,588	1,460,388
Profit from disposing tangible/intangible fixed assets	(1,030,740)	(595,754)	(364,379)	(420,373)
Total	13,496,143	17,392,499	14,951,328	20,217,610
Net increase (decrease) in operating liabilities				
Liability to Central Bank	25,878,184	14,020,521	25,878,184	14,020,521
Liability to banks and credit institutes	25,822,033	4,730,896	25,822,033	4,730,896
Sight deposits	53,167,546	(59,845,497)	52,196,171	(58,225,914)
Savings deposits & the like	6,905,443	(2,542,193)	6,906,163	(3,318,908)
Dues for accepting LCs time drafts	(6,466,324)	(3,413,001)	(6,466,324)	(12,044,785)
Other deposits	4,188,368	(8,427,049)	(4,245,419)	(7,622,207)
Provisions and other liabilities	63,581,875	17,156,073	69,885,033	19,163,610
Time FC Investment Deposits	239,990,817	82,464,144	245,456,960	82,906,569
Severance provisions	2,394,056	1,386,520	2,300,000	1,304,563
Items in transit	3,718,371	26,188,015	3,718,371	26,188,015
Total	419,180,369	71,718,429	421,451,172	67,102,360
Net increase/decrease in operating assets				
Dues from Central Bank	(43,060,867)	(56,007,766)	(41,797,680)	(56,007,766)
Dues from banks and credit institutes	(112,965,990)	40,996,834	(112,981,217)	40,996,834
Dues from the Government	(23,644,613)	(8,830,024)	(14,257,957)	(8,830,024)
Granted loans and dues from public entities	(51,401,542)	32,986,543	(46,593,542)	32,986,543
Granted loans and dues from private entities	(172,437,937)	(69,354,777)	(165,570,496)	(93,211,940)
Investments and partnerships	(4,745,348)	(3,279,181)	(524,108)	(2,962,249)
Acceptances and endorsements	6,369,329	3,361,806	8,573,912	11,864,113
Participating bonds and the like	(381,971)	4,926,445	(2,725,276)	2,033,481
Other assets	(9,046,326)	(15,906,387)	(38,421,895)	(3,953,307)
Items in transit	0	5,703,491	0	5,703,491
Total	(411,315,265)	(71,106,507)	(414,298,259)	(71,380,824)
Cash in-flow from operating activities	21,361,247	18,004,421	22,104,241	15,939,146

52. Net Increase (Decrease) in the Cash

Net cash reflected in the cash flow statement is as follows:

	Group		Bank		Group	Bank
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015	Changes in March 2016	Changes in March 2016
	Million Rials	Million Rials	Million Rials	Million Rials	Million Rials	Million Rials
Cash	25,279,682	22,056,529	18,790,194	15,666,708	3,223,153	3,123,486
Current Account at CBI	1,558,709	273,841	1,558,709	273,841	1,284,869	1,284,869
Branches abroad Current Account at Central Bank	214,280	254,797	214,280	254,797	(40,517)	(40,517)
Our Balance at Local banks after clearing	283,361	366,810	283,361	366,810	(83,449)	(83,449)
Balance of Local banks kept by us after clearing	(92,492)	(82,806)	(92,492)	(82,806)	(9,685)	(9,685)
Cash balance at the year end	27,243,540	22,869,171	20,754,052	16,479,349	4,374,368	4,274,703

53. Non-Cash Transactions

Major non-cash transactions during the year are as follows:

	Group	
	March 20 th , 2016	March 20 th , 2015
	Million Rials	Million Rials
Mellat Financial Group Co.	52,291	2,970,068
Mellat Behsaz Partnership Co.	1,734,388	146,260
Fanavaran Hushmand Behsazan Farda Group Co.	2,031,125	120,857
Total	3,817,804	3,237,185

54- Comparing the recommended percentages set out in Article (10) of supervising monetary and credit policies of CBI and credit operations for the year ending March 20th, 2016.

Economic Sector	Recommended %	Actualized %
Agriculture	20	2.61
Industry and Mine	37	26.52
Building & Housing	25	12.00
Services and business	8	58.35
Export	10	0.52
Total	100	100

55. Contingent liabilities

Balance of the contingent liabilities on the date of balance sheet, includes the following items:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Party to liabilities for LCs	40,166,498	49,953,647	40,166,498	49,953,647
Party to liabilities for LGs	143,012,052	142,536,792	143,012,052	142,536,792
Party to other liabilities	310,747,865	269,514,606	310,747,865	269,514,606
Party to managed funds & the like	131,016,861	107,064,266	131,016,861	107,064,266
Total	624,943,276	569,069,312	624,943,276	569,069,312

55-1. Constituents of contingent liabilities due to L/Cs are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Liabilities due to opened LCs	37,520,156	43,766,899	37,520,156	43,766,899
Branches' liabilities due to opened LCs by branches abroad	3,280	2,960	3,280	2,960
Liabilities due to opened Local LCs	2,643,062	6,183,788	2,643,062	6,183,788
Total	40,166,498	49,953,647	40,166,498	49,953,647

55-2. Contingent liabilities for issued guarantees and acceptances are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Bank's liabilities for issued guarantees and acceptances in IRR	97,716,918	94,408,548	97,716,918	94,408,548
Bank's liabilities for issued guarantees and acceptances in FC	39,727,855	42,420,529	39,727,855	42,420,529
Branches' liabilities for issued guarantees	41,544	126,591	41,544	126,591
Branches' liabilities for issued counter-guarantees in FC	5,525,734	5,581,124	5,525,734	5,581,124
Total	143,012,052	142,536,792	143,012,052	142,536,792

55-3. Constituents of other Contingent liabilities are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 2016	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Liabilities for contracts concluded with Management & Planning Org.	1,757,233	1,627,881	1,757,233	1,627,881
Liabilities for FC contracts concluded	12,165	11,824	12,165	11,824
Liabilities for concluded transactions contracts	130,414,970	79,822,056	130,414,970	79,822,056
Liabilities for rescheduling debts.	2,519	2,519	2,519	2,519
Bank's Liabilities for guaranteeing bonds	24,125,181	44,295,181	24,125,181	44,295,181
Bank's Liabilities for credit cards	3,235,798	3,785,145	3,235,798	3,785,145
Bank's Liabilities for received funds from National development Fund / FC	151,200,000	139,970,000	151,200,000	139,970,000
Total	310,747,865	269,514,606	310,747,865	269,514,606

55-4. Administered funds and the like are as follows:

	Group		Bank	
	March 20 th 2016	March 20 th 2015	March 20 th 216	March 20 th 2015
	Million Rials	Million Rials	Million Rials	Million Rials
Loans granted out of managed funds	2,029,009	1,957,137	20,29,009	1,957,137
Unused managed funds	300,027	317,318	300,027	317,318
Loans granted out of inter-bank funds	11,830	11,830	11,830	11,830
Loans granted out of special non-interest-bearing deposit	350,070	351,192	350,070	351,192
Loans granted out of special Non-interest-bearing deposit	128,325,925	104,426,789	128,325,925	104,426,789
Total	131,016,861	107,064,266	131,016,861	107,064,266

56. Post Balance Sheet Events

There have been no material post balance sheet events that would require disclosure or adjustment to these financial statements.

57. Capital commitments, Contingent assets & Liabilities

57-1- The Bank's Capital commitments at the Balance Sheet date include: Hotel Mashhad Moghadas (Mellat Grand Hotel), for IRR 100 billion and Elgoli of East Azarbaijan, for IRR 20 billion. Due to numerous capital commitments, we have avoided from mentioning all of them.

57-2- Contingent liabilities of subsidiaries on the balance sheet date are as follows:

Description	Related to Company	March 20 th , 2016
		Million Rials
Acting as market maker for bonds of the " developing mine and mineral industries holding company"	Mellat Financial Group	2,650,000
For the trilateral contract among Bank Mellat, Mellat leasing & Saipa	Mellat Financial Group	4,521,727
Our security instruments held with others	Mellat Financial Group	1,582,419
For guaranteeing the credits allocated to Behsaz Business Services Development Co.	Mellat Financial Group	5,930,810
Bank Mellat Shares kept in trust, owned by Pars Fund	Mellat Financial Group	884,775
Guaranteeing purchase contract of Oxin sheet and Slab by " Petro Fanavaran Atlas company"	Mellat Financial Group	856,950
For equity participation contract with Bank Tejarat	Mellat Financial Group	260,000
Security instruments received from other companies	Mellat Financial Group	29,242
Bank guarantees provided to the Central Bank	Mellat Financial Group	14,000
Bank guarantees provided to Mercantile Exchange	Mellat Financial Group	6,000
Bank guarantees given to stock exchange	Mellat Financial Group	5,730
Goods future contract	Mellat Financial Group	1,000
Guaranteeing loans of the subsidiaries	Behsaz Mosharekatha Mellat	589,305
Our security instruments held with others	Behsaz Mosharekatha Mellat	1,320,191
Promissory notes presented to the Ministry of Finance and companies	Behsaz Mosharekatha Mellat	101
Guaranteeing execution of obligations and contracts	Behsaz Mosharekatha Mellat	280,844
Security instruments of Yas Arghavani Co. held with contractors	Fnavaran Houshmand Behsazan Farda Group	692,743
Total		19,625,837

58- Transactions with the subsidiaries

58-1. Bank's transactions with the subsidiaries during the financial year are as follows:

Transactions are subject to Article (129) of Commercial Code, as amended

Transaction counterparty	Affiliation type	Transaction description	Transaction amount Million Rial	Receivable/payable Balance at year end Million Rial
Mellat Financial Group	Joint board member	Received loans	300,000	(11,332,393)
Fanavaran Houshmand Behsazan Fard Co.	Joint board member	Providing services	2,820,763	0
		Received loans	1,841,147	0
Maa Insurance Co.	Joint board member	Selling insurance policies	919,350	282,451
Mellat investment bank	Joint board member	Lease purchase facilities	377,266	11,971
Behsaz Mellat Design And Plan	Joint board member	NPL collection	612,583	43,099
Tadbirgaran Co.	Joint board member	Leasing offices & loans repayment	(8,747)	23,185
Houshmand Behsaz Farda	Joint board member	Selling goods, services and loans	4,661,910	3,770,565
Behsazan Mellat Co.	Joint board member	Buying & Selling goods	2,791,277	(1,856,080)
Yas Arghavani System Engineering Co.	Joint board member	Buying & Selling goods	605,596	126,762
Tadbirgaran Co.	Joint board member	Leasing offices & loans repayment	14,769	23,185
Leasing Co.	Joint board member	Leasing	51	(51)

58-2. Bank's transactions with the affiliate companies (except for those subject to consolidation) during the period under report:

Million Rials				
Transaction Counterparty	Affiliation	Transaction	Transaction Amount	Receivable/payable Balance at year end
Mellat financial group:				
Alborz Insurance Co.	Joint Shareholder	Reinsurance operation	1,128	(1,134)
Sepahan Oil Co,	Shareholder	Sales of insurance policy	148	(0)
Iran Zamin Investment Fund	Same Group	Transaction of securities	91,421	(0)
Atieh Mellat Investment Fund	Same Group	Transaction of securities	842,373,872	1,648
Andoukhteh Mellat Investment Fund	Same Group	Transaction of securities	2,158,306	(0)
Bank Mellat Brokerage Funds	Same Group	Fund operation	89,620	349
Atiyeh Khahan investment fund	Joint board member	Participation Fund	32,783	349
Kheradmandan Saber Company	Same Group	On-account vehicle delivery	3,900	(18,960)
Mianeh Azarbayjan Steel plant	Same Group	Buying assets and Services	638	638
Atiyeh Khahan International Trade	Same Group	FC Buying and selling	148,745	0
Satrab Rahjou Co.	Joint board member	On- account receivable	300	(300)
Toseeh Moein Investment Co.	Same Group	Shares profit	0	840
Behsazan Farda Company				
Adonis Co.	Same Group	Buying goods and services	147,646	0
BehsazanMosharekatha				
Darya Sazan Bahman Co.	Same Group	Buying goods and services	12,293	0

58-2. Bank's transactions with the affiliate companies (except for those subject to consolidation) during the period under report:

Million Rials				
Transaction Counterparty	Affiliation	Transaction	Transaction Amount	Receivable/payable Balance at year end
Mellat financial group:				
Alborz Insurance Co.	Joint Shareholder	Reinsurance operation	1,128	(1,134)
Sepahan Oil Co.	Shareholder	Sales of insurance policy	148	(0)
Iran Zamin Investment Fund	Same Group	Transaction of securities	91,421	(0)
Atieh Mellat Investment Fund	Same Group	Transaction of securities	842,373,872	1,648
Andoukhteh Mellat Investment Fund	Same Group	Transaction of securities	2,158,306	(0)
Bank Mellat Brokerage Funds	Same Group	Fund operation	89,620	349
Atiyeh Khahan investment fund	Joint board member	Participation Fund	32,783	349
Kheradmandan Saber Company	Same Group	On-account vehicle delivery	3,900	(18,960)
Mianeh Azarbayjan Steel plant	Same Group	Buying assets and Services	638	638
Atiyeh Khahan International Trade	Same Group	FC Buying and selling	148,745	0
Satrab Rahjou Co.	Joint board member	On- account receivable	300	(300)
Toseeh Moein Investment Co.	Same Group	Shares profit	0	840
Behsazan Farda Company				
Adonis Co.	Same Group	Buying goods and services	147,646	0
Behsazan Mosharekatha				
Darya Sazan Bahman Co.	Same Group	Buying goods and services	12,293	0

58-3. Transactions of parent company with affiliates are as follows:

Transaction Counterparty	Affiliation	Transaction	Transaction Amount	Balance of Receivables/ Liability until the end of year
Mellat Financial Group				
Mellat Leasing		Provide services	2,488,606	(450,027)
Bank Mellat Supply Investment		Provide services	46,982	0
Bank Mellat Supply Investment		Received lease purchase	22,382	0
Mellat exchange Co.		FC Buying and Selling	2,488,606	(450,027)
Ma Insurance Co.		Sales of insurance policies	754,833	282,451
Ma Insurance Co.	Subsidiary	Participating in profits	161,686	0
Ma Insurance Co.		lease the branches	3,831	0
Bank Mellat Brokerage Co.		Securities transaction	1,071,060	0
Tadbirgaran Behsaz Mellat Co.		Leasing provinces offices	3,011	(206)
Tadbirgaran Behsaz Mellat Co.		Payment of installments of loans	11,758	23,391
Behsaz Mellat Design & planning		Collection of outstanding receivables	612,583	43,099
Behsaz insurance services		Leasing office	313	1,035
Toseeh Mizan Andishe Co.		Provide services	490	0
Mellat Partnership Behsaz Co.				
Behsazan Mellat Co.		Providing services	860,452	0
Behpardakht Mellat Co.		Providing services	215,579	0
Yas arghavani engineering system Co.		Providing services	547,436	0
Shaghayegh software engineering Co.	subsidiary	Providing services	80,178	0
Yas arghavani engineering system Co.		Providing services	41,091	0
Zir Sakhte Amn transaction services Co.		Providing services	273,741	0
Fanavaran Hushmand Behsazan Farda Group Co.				
Behsaman Mellat Services		Providing Services	303,540	25,392
Behsaz Industry Router		Issued Account statements	21,992	(38,557)
Bank Mellat Publication		Providing Publication Services	370,281	0
Krep Naz	subsidiary	Chador Purchas	7,350	(0)
Jahan Behsaz Mofarrah		Provide Services	137,574	0
Maad Development, Marketing & purchase		Issued Account statements	33,001	(0)
Bonyan Marsous Foundation		Goods & Services Purchas	199	(0)

58-4. Transactions with affiliates have been conducted according to fair value.

59- Foreign Currency Position

Assets and liabilities monetary and Local FC obligations are as follows:

	USD	EUR	KRW	YTL	JPY	AED	SKR	DKR	Other FCs Million Riials	2016/03/20 FC Status Million Riials	2015/03/20 FC Position Million Riials
Cash	217,299,980	68,754,917	0	0	928,000	41,948,052	0	0	177,259	9,427,268	7,518,118
Dues from other banks & institutions	200,783,093	2,589,317,392	202,007,615,314	31,818,608	1,797,055,815	677,739,303	2,439,000	5,806	10,758,984	116,312,034	66,652,890
Loans	1,358,387,274	9,637,345,736	122,198,111,023	32,123,492	7,022,457,607	4,554,004,467	0	0	27,295,594	417,938,372	433,244,798
Other	3,799,361,285	15,458,839,902	953,411,520,191	478,589,069	20,860,880,478	8,962,665,478	631,521	61,457,482	43,475,178	787,179,379	634,030,261
Total FC assets	5,555,831,633	27,754,257,947	1,277,617,246,528	542,531,169	29,681,321,900	14,236,357,300	3,070,521	61,463,287	81,707,015	1,330,857,053	1,141,446,067
Received deposit	1,039,157,137	5,106,451,916	1,958,686,014,062	54,810,532	601,806,471	2,841,914,265	1,152,497	48,957	1,708,951	281,024,528	231,462,643
Received loans	749,506,884	2,634,772,588	0	374,941	588,908,571	3,572,410	0	0	21,421,164	133,530,631	180,768,547
Other	3,852,916,443	14,499,199,555	921,827,539,852	462,130,491	20,812,546,170	8,986,794,021	22,477,891	2,485	47,165,111	761,996,138	628,503,030
Total FC liabilities	5,641,580,464	22,240,424,058	2,880,513,553,914	517,315,965	22,003,261,212	11,832,280,695	23,630,387	51,443	70,295,226	1,176,551,297	1,040,734,220
FC position	(85,748,831)	5,513,833,888	(1,602,896,307,386)	25,215,205	7,678,060,688	2,404,076,605	(20,559,866)	61,411,844	11,411,788	154,305,756	100,711,847
Bank's liabilities for opened L/Cs	9,802,040	904,112,335	24,272,439,218	270,593	3,156,572,788	10,137,061	0	0	4,981,366	37,520,156	43,754,899
Bank's liabilities for issued LG and acceptances	187,826,381	966,417,972	0	0	0	123,650,993	0	0	13,165	39,506,571	42,194,474
Bank's liabilities for issued CGs	49,169,036	116,826,372	0	0	0	0	7,849,575	0	16,491	5,496,755	5,542,078
Bank's liabilities for contracts concluded with Management & Planning Org.	58,109,548	0	0	0	0	0	0	0	0	1,757,233	1,627,881
Bank's liabilities for concluded FC contracts	0	358,467	0	0	0	0	0	0	0	12,165	11,824
Bank's liabilities for FC funds received from NDF	5,000,000,000	0	0	0	0	0	0	0	0	151,200,000	139,970,000

59-1- "Other" in the assets section is mainly related to the FC account of foreign branches.

59-2- The Bank has always complied with the provisions of Clause (2) of directive related to supervising regulations and control of foreign currency position, as set out in the directive No. 1345BM, dated March 18th, 2002, issued by the CBI, indicating authorized limit of open foreign currencies position being maximum 10% for each single foreign currency and for the aggregate foreign currencies 30% of the base capital. Nevertheless, due to some reasons, including translation of the Bank's FC liabilities in consideration of FC reserve account with the account receivables from the Government and impossibility of transactions with international banks due to sanctions imposed on the CBI, the Bank was unable to comply with the limits in conversion of foreign currencies into one another.

